

Aadhar Hsg. Fin. (AADHARHFC)

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Call: Jun 2024

Date: 4th June, 2024

To,
The General Manager,
BSE Ltd.
P. J. Towers, Dalal Street,
Mumbai - 400001
Scrip Code: 544176 To
Sr. General Manager
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G, Bandra Kurla
Complex
Bandra (E), Mumbai – 400 051
Symbol: AADHARHFC

Kind Attn.: Listing Corporate Relationship Department

Sub: - Transcript of the Earnings Conference Call for the Quarter and Financial Year ended March 31, 2024.

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our prior intimation dated 27th May 2024 please find enclosed the transcript of the Earnings Conference Call on the Financial performance of the Company for the Quarter and Financial Year ended March 31, 2024 held on Thursday, May 30, 2024 :

The above information is also available on the website of the Company and can be accessed at:

<https://aadharhousing.com/disclosures-under-regulation-62-of-the-sebi-lodr-regulation-2015-pdf/schedule-of-analysts-or-institutional-investors-meet-and-presentations-made-by-the-listed-entity-to-analysts-or-institutional-investors>

The above is for your information, records and dissemination please .

Thanking you.
For Aadhar Housing Finance Limited

Harshada Pathak
Company Secretary and Compliance Officer
Encl.: As above

CC:- Debenture Trustees -
1. Catalyst Trusteeship Limited
2. Beacon Trusteeship Limited

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“Aadhar Housing Finance Limited
Q4 FY '24 Earnings Conference Call ”
May 30, 2024

MANAGEMENT : MR. DEO SHANKAR TRIPATHI – EXECUTIVE VICE-
CHAIRMAN – AADHAR HOUSING FINANCE LIMITED
MR. RISHI ANAND – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – AADHAR HOUSING FINANCE
LIMITED

MR. RAJESH VISWANATHAN – CHIEF FINANCIAL
OFFICER – AADHAR HOUSING FINANCE LIMITED
MR. SANJAY MOOLCHANDANI – HEAD FINANCIAL
PLANNING – AADHAR HOUSING FINANCE LIMITED

MODERATOR : MR. AJIT KUMAR – NOMURA

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Moderator: Ladies and gentlemen, good day and welcome to Aadhar Housing Finance Limited 4Q -FY24 Results Earnings Group Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Ajit Kumar from Nomura. Thank you and over to you, Mr. Kumar.

Ajit Kumar: Thanks, Sagar. Good evening, everyone. On behalf of Nomura, I welcome everyone to 4Q -FY24 Earnings Conference Call of Aadhar Housing Finance Limited.

From the management team, we have with us today Mr. Deo Shankar Tripathi, Executive Vice - Chairman, Mr. Rishi Anand, MD and CEO, Mr. Rajesh Viswanathan, Chief Financial Officer and Mr. Sanjay Moolchandani, Head Financial Planning. We will start with opening remarks and then open the floor for Q&A. I will now hand over the call to MD and CEO, sir, for his opening remarks. Over to you, sir.

Rishi Anand : Thank you so much, Ajit. Very good evening, ladies and gentlemen. On behalf of Aadhar Housing Finance, I extend a very warm welcome to all of you. Thank you for joining us on the first post-listing call. With all your good wishes, the company got listed on 15th May 2024 on NSE and BSE. Before I take you all through the performance of FY24, I would like to thank all of you for supporting us in the IPO and making it a grand success. I wish to share some subscription details with you.

QIB portion was subscribed 76.3 times. HNI 2 to 10 lakhs was subscribed 14.5 times. HNI greater than 10 lakhs was subscribed 19.1 times and retail 2.60 times. Overall subscription was 26.8 times. The total size of the IPO was INR3,000 crores of which primary was INR1,000 crores and INR2,000 crores was OFS by the selling shareholder. This infusion of INR1,000 crores of equity will allow us to meet our future capital requirements and general corporate purposes.

Since this is our first call post-listing, I would like to share a brief overview of Aadhar Housing Finance, its journey so far and the growth strategies going ahead. This will be followed by the operational and financial performance for the quarter and FY24, post which we will open the floor for Q&As. Aadhar Housing Finance was born in the year 2010 in a JV with IFC, International Finance Corporation, with a very specific purpose to cater to the housing needs of the EWS and LIG segment, which is economically weaker section and lower income group. Given this social fabric, we for the first five years started and operated our business only in the low income states of the country. We commenced our operations from Uttar Pradesh, followed by Bihar, Jharkhand, Odisha, West Bengal and Chhattisgarh. In early 2015, we started to expand to other larger states of the country.

In the year 2017 -18, post merger with a South based affordable housing company within the group, we became a pan India player, now spreading our footprints to 20 states and union territories. So that was in 2017 -18. And we continue to grow from there.

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The company is being run by professional management, backed by marquee Private Equity Investor Blackstone. We are led by diverse board with an extensive experience in the banking and finance sector. We are a retail focused housing finance company focused on low income housing segment mainly serving the EWS and LIG segment as I indicated. 71% of our AUM happens to be in this segment. The average ticket size of our loan stands at 1 million, which is 10 lakhs, with an average loan to value ratio at 58.5% as of March 31st. As of dat

e, we are proud

to help 2,66,000 plus customers in making their dream come true.

We offer a range of mortgage related products, including loans for residential property purchase, self construction on a pre owned land, home improvements, extension loans and micro loan

against property. As on 31st March 2024, we have an extensive network of 523 branches. Our branches and sales offices are spread across 20 states and United Territories operating in approximately 11,000 plus PIN codes in the country, out of the total 18,000 PIN codes in the state that we operate.

We today cover approximately 534 out of the 806 districts in the country. Our branch and sales office network is widely diversified with no state accounting for more than 14% of our gross AUM. We believe that our diversified reach is well positioned to meet the specific needs of our target customers across geographies and in the urban and semi-urban areas.

On the product composition, 75% of the book is home loans and 25% is micro loan against property, with an average ticket size on the AUM of 10 lakhs. Home loan incremental ticket size stands today at 12.9 lakhs and loan against property, which I referred to as micro loan against property, stood at 8.2 lakhs.

We have a robust and comprehensive systems and processes for underwriting, collection and monitoring the asset quality. These systems and processes are technology enabled across our front office and back office, digitizing the entire lifecycle of the loan from origination to closure. On underwriting, we follow a hybrid model, which is a mix of RPU (Regional Processing Unit)-based central underwriting for salaried customers and branch-based underwriting for self-employed customers, which need a better cash flow assessment. Further, given the importance of recovery and collection, especially in the segment that we operate in, it is imperative that we follow a complete hands-on approach and hence, the entire collection mechanism is in-house for all the buckets.

We don't outsource any collection activity. Collection for us is more like an education series where we try to educate the customer on the importance of not being delinquent and how it affects his bureau scores. In FY '22, we migrated to an integrated digital IT infrastructure developed by TCS with a view to reducing costs, carrying on real-time analysis of customer data, improving our control and governance while increasing customer reach and distribution capability.

Alongside the IT enhancement, we have also invested in data science as a separate function, which enables us to understand consumer behavior better and also provides us -- and also helps us develop models for better efficiencies. This framework helps us to mitigate risks, grow our business, perform market research and strengthen the integration of data and analytics within Aadhar Housing Finance Limited

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our operations. Our data science team is pivotal in driving the innovative and delivering impact insights for our organization.

We have a very strong, experienced and dedicated management team, with our mid and senior management having an average of 25 years of experience in the financial services industry and over five years tenure, average tenure, within the company. A balanced mix of CXOs and HODs help us steer the company in day-to-day matters. Further, to maintain high standards of governance, we have highly respected Board comprising of independent directors who are qualified and experienced personnel with extensive knowledge and understanding of the BFSI industry.

Mr. O. P. Bhatt, former SBI Chairman, is our Non-Executive Chairman. Mrs. Sharmila Karve, former Risk and Quality Assurance Head of PwC, is our Audit Chairperson. Mrs. Nivedita Haran, IAS Kerala cadre, served in various positions in the Government of Kerala and Government of India, is our third Independent

Director. Apart from this, we have three nominee directors from Blackstone. Mr. Amit Dixit, who is Head of Asia Blackstone; Mr. Mukesh Mehta, Senior Managing Director, Blackstone; and Mr. Prateek Roongta, Managing Director, Blackstone.

We have made social objectives one of the core objectives of our business model. We operate a financially inclusive customer-centric lending business and believe that our business model contributes significantly to the economic uplift of our target consumers, which is the EWS/LIG segment.

In addition to our customer-facing social objectives, we also have implemented social objectives in aspects of our business. Our presence in the urban and semi-urban locations across India provides a source of employment in these locations. On the environment front, the organization is promoting green housing in partnership with IFC to promote the end-user education and funding of construction of green housing.

Finally, coming to the financial results, we are pleased to report a good financial year closing, with our AUM crossing the threshold of INR20,000 crores and closing at INR21,120 crores, recording a growth of 23% Y-o-Y, driven by a disbursement growth of 20% on a year-on-year basis. My colleague Rajesh Viswanathan will talk a little more in detail about the financial

metrics and numbers, but before I hand over to him, I would want to sum up that Aadhar continues to focus in its core segment that is EWS /LIG. It will continue to go deeper into state expanding of our network.

It will continue to invest in technology and data science. It will continue to be hungry for innovative ideas, which will help enhance efficiency and growth with sustained profits and better asset quality. We firmly believe in the phrase that "Ghar Banega Toh Desh Banega ", and we will continue our journey with this sentiment.

Rajesh, over to you.

Rajesh Viswanathan: Thanks, Rishi. Good afternoon to all the friends on the call. Just a disclaimer, right upfront this is our first investor call and I am sure the entire investor community will excuse us if there are
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any gaps in the investor presentation, and we will only work towards improving the quality of the presentation to what we have currently. As they say, apologies for mistakes, if any.

I start with borrowings. Our overall borrowings as at 31st March 2024 is INR13,960 crores, a tad lower than INR14,000 crores as compared to INR12,153 crores last financial year -end. We have a very diversified source of borrowings with more than 38 borrowing relationships. Our borrowings mix is currently 55% of our borrowing comes from banks. NHB, which is an important component of our entire borrowing mix, is at 25% and NCDs make up the balance 20%.

In FY '24, we have borrowed INR5,560 crores, which has come at 8.04%, of which NHB borrowing was INR1,405 crores. In quarter 4, we have borrowed INR1,970 crores at a rate of 8.36%, of which NHB borrowings was only INR300 crores. Our cost of funds in FY '24 was 7.6% and our COF on quarter 4 was 7.7%. We continue to have zero borrowing exposure currently to short-term instruments like CPs and are constantly looking at increasing the sources of borrowings as well as looking for slightly higher tenor loans.

In terms of financial highlights, Rishi touched upon AUM and disbursements. I would touch upon other aspects, like cost to income. We have seen an improvement to 37.5% as compared to 38.1% last year, which is a 60 bps drop in cost to income. In terms of spreads, our spreads for the year was 6.2% as compared to 5.8% in the previous financial year, which is a 40 bps increase. This was also aided by an RPLR increase of about 75 bps, which we took in April 23 last year. Now, considering the way the interest rate movements are happening, and considering the overall stability that we need

to maintain in our spreads, the board yesterday, through the recommendation of the ALCO, has agreed to increase the RPLR rates by 25 bps, which will take effect from 16th June 2024.

In terms of profit after tax, our profit after tax came in at INR750 crores on a consolidated basis, which was INR565 crores before exceptional items in the last year, which is a 33% growth. Without the exceptional items, the growth was 750 crs as compared to 545 crs, which is a 38% growth.

Our net worth before the equity raise is at INR4450 crores versus INR3698 crores as at last year. We have raised primary of INR1000 crores, which will obviously go to improve the net worth. In terms of our debt to equity, the debt to equity stands at 3.14 times compared to 3.29 times last year. Very important part of the entire discussion is the GNPA. Happy to say that the GNPA has dropped to 1.08% as compared to 1.16% as the end of last year, which is an improvement of 8 bps.

More importantly is the way the GNPA has moved from December to March. In December, it was 1.40% and now it has improved to 1.08%. This has resulted in a release of credit cost in our P&L. More so, we have kept aside a management overlay of INR45 crores in our overall provisions that we have carried to take care of any exigencies. Our idea is to not release this in a hurry and this provision we expect to carry for a period of time. Stage 3 provision coverage ratio currently stands at March end at 41%. This was 37% in December '23 and at a previous
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year end was 34%. The other important aspect which I would like to initiate is that in terms of expenses, in quarter four of the current financial year, which is quite common to every quarter for of the financial year, we have typically sales, collection and other employee -driven incentives and contests taking place, which results in an additional INR12 crores to INR13 crores of expenses which gets booked in quarter four of the financial year, which happened even last year and even a year before that.

This typically does not flow forward into the next financial year and typically is a quarter four phenomenon. So I just wanted to bring out that point in terms of why is cost higher or why is opex higher in quarter four. So this is overall that we had -- we believe that the results that we have presented is fairly in line with the expectation that we internally as management have. It's a very stable growth that we have presented both on disbursements in terms of AUM, in terms of profitability.

And as management we strongly believe that we should have a very stable and a consistent delivery rather than having it in lumps and more importantly having grown to a book size of about INR21,000 crores, the healthy NPA numbers that we have disclosed is I think a very, very healthy sign especially on the robustness of our entire portfolio. With that, I think we can open up for questions. Over to you.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question is from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.

Sushil Choksey: Congratulations to team Aadhar for a successful listing and presenting this result on a very stable note. Sir, my first question is I heard your media interview and the opening remarks now on the presentation. Can you give some guidance on AUM growth? What is our strategy for growth on a PAN-India basis including states where we are? And some guidance on your borrowing cost and ROE, ROA and spread loan spread?

Rishi Anand: Thank you, Mr. Choksey. Thank you so much for your appreciation and thank you for watching the media interactions. As I had indicated in the media interaction also that over the last couple of years the organization has on the incremental disbursement grown at a rate of 20%. On AUM

we have grown at about 22%, 23% and PAT at about close to about 30%. And given the matrices on the demand side I don't see any reason why we should not be growing at similar percentages in the current year as well. So that's the indication that I can give you.

Similar ranges 20% of AUM growth is not looking difficult at all especially when on the demand side we look at data point from RBI throwing out a number of INR10 crore unit shortfall on households out of which INR9.5 crore unit shortfall happens to be in the EWS/LIG segment which is our prime segment and prime area.

And if I were to simply convert by simple math, convert this shortfall into housing loan requirement it is 35 trillion. So there is more than sufficient demand. It is all about reaching out to the right customer. With respect to what we are going to do, what is our plan about one and a half years back we ventured out.

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As I indicated in my opening statement we are already in 20 states. So obviously in all possible states we are there and about one and a half years back, we embarked on a journey of going deeper into states with our deeper impact strategy. The strategy definitely continues as we speak and as we go ahead anywhere between 70 to 75 branches a year -on-year basis is what we should be looking at in smaller towns and districts under the deeper impact strategy. And that is where the primary growth numbers are going to be coming in from.

In terms of ROA, ROE a similar trend ROE definitely because of the primary raise would look a little downsidled from the current levels. Current levels are at about 18.4 and the way we look at it should drop to about 17.2, 17.3, but in a couple of years we should be back to the current numbers and ROAs will be in the range of about 4% plus.

Sushil Choksey: And what is our strategy forward in business only through direct booking of housing loans or we'll be doing assignments, co-lending and are we going to borrow more from NHB because the borrowing cost is much lower from NHB compared to banks any views on that?

Rajesh Viswanathan: Sir in terms of assignment we do use assignment as a diversification process. And if you look at assignment what we have done in the year we have done about close to about INR1,200 crore of assignment. So we do anywhere between 8% to 9% of our opening book as assignment. I think we will continue to do that. On terms of co-lending, I think overall co-lending book that we have is in the range of around INR600 crores. I think in co-lending still we and the industry itself are at large finding its feet.

We have a tie up with one public sector bank and we are in the course of tying up with a private sector bank. Our intention is to go a slightly slower on co-lending till the time the business model becomes more robust for the entire industry, but yes assignment is something that we will continue doing in a similar levels as we go ahead.

Sushil Choksey: Thank you for answering all my questions. I'll come back and do if there is anything further. All the best.

Rajesh Viswanathan: Thank you Mr. Choksey.

Moderator: Thank you. Our next question is from the line of Gao Zhixuan from Schonfeld. Please go ahead.

Gao Zhixuan: A couple of questions. Firstly it's on the spread. How should we think about if I don't buy ...

Moderator: Sorry to interrupt. Your line is not clear.

Gao Zhixuan: Yes So in terms of spreads from the yield and the cost of borrowing, how should we think about FY24 ?

Rajesh Viswanathan: I think on an overall basis the spreads that we had in quarter 4 should ideally move into the next financial year to a broad extent. There will be some sale impact of increasing rates on the cost side which will come in -- which will be passed on by banks. It will be a very minimal thing which will come in probably in q

uarter 1 and quarter 2 of this financial year. To take care of this
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that is a reason that the ALCO and the board have gone ahead with the 25 bps increase in our RPLR rates to customers.

And the more important thing is that when we have the RPLR rates which is passed on to customers in our case almost 80% or I think 79% of our book is floating. So in that sense whatever we pass on to 80% of the customers get passed on this increased rate with effects on 16 June. So I think that will be a very important component as we look going ahead. And I think beyond the end of quarter 2 of this financial year I don't think there will be any increase in rates. It will be probably quite a long plateau in rates till the time international rates start coming down and probably the Indian markets also follow and as since our book is floating, obviously, when there is a drop in rates and when we are a recipient of those rate drops we will have to pass on the rate drop to the customer as well.

So the way of looking at spreads is that probably currently we would be around the 6% spread mark as we end as we ended the financial year. I think we should be broadly in the range of about 5.8 %, 5.9% spreads as we look at it going forward because of this increase hopefully the 25 bps increase in the rate should take care of some of the spread compressions.

Gao Zhixuan: Got it. And on cost to income, how should we think about it FY '25 ?

Rajesh Viswanathan: Cost to income is basically what the cost to income that we have now currently generated is basically 37.5%. The last time it was about 38.1%. So if you look at it, we have dropped approximately 60 basis points. Aspirationally, I mean, honestly, since it's the first call, we are not really giving very, very clear guidance. But honestly, as management, we would love to drop this by 50 -60 basis points as we go into the next financial year. And that's what we are tracking.

Gao Zhixuan: Well, listen, lastly, on the price increase, do you think that will affect our demand? Or how much are we about to go for competitive pricing now after the 25 basis points increase?

Rajesh Viswanathan: So in terms of price increase, if you look at most of the competition, I think we are more or less in line with the increase in rates that the competition has also done. With this increase, we would have increased about 150 basis points. We did 50, then we did a 75, then we are doing a 25.

Most of the competition would be anywhere between a range of about 125 to I think there are some competitors who would probably be at 200 basis points also. So it depends really upon the way they drive, each one drives their own business and spreads. We believe that with this 25 basis points, I think we would be comfortable with the spreads that we internally want to deliver. In terms of does this impact the customer, in the last two times, as I explained, whenever we have done the increase in the rates, we have not seen a big impact on the customer. Because wherever possible, we try to minimize the impact of the customer by increasing the tenor of the customer's loan so that the EMI remains the same. And then also we try to increase the EMI in terms of Indian rupees in the range of about 500 to 1000 so that it reduces the impact on the customer's pocket in terms of paying the EMI.

Past also, whenever we had the rate increase, we did not see any spurt in any pseudo KPIs like for example, was there an impact on customers going delinquent or any of those sort. We did
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not see any instances when we did the 75 basis points or the 50 basis points. So we are quite strong. So one, we are strong internally. And secondly, I think we will be aligned with the competition also in terms of the pricing.

Moderator: Than

k you. The next question is from the line of Adarsh from Enam. Please go ahead.

Adarsh: Hello. Hi. Thank you for taking my question. A couple of questions for this quarter. If you look at the disbursement mortgages number, seems a flat quarter. So if you can explain that, anything specific there on the business front side. And second was sequentially again, there was about a 30 bps drop in the yield that you've reported 14 to 13.7 -odd. The mix hasn't really changed. So what led to that yield drop? Thanks.

Rajesh Viswanathan: So basically, one question was on the growth of driven by non -home loans. That was your question, right? The flat quarter?

Adarsh: So asking that your disbursement, Y -o-Y seems flat. So why was that? And yeah, the second question was for the yield?

Rajesh Viswanathan: So Y -o-Y, if you look at it, quarter four is always the highest quarter to be very honest. And in that sense, we deliver almost equal. It's always a tough quarter to do also because the numbers are delivered, which are very, very high. So if you look at it, it was about 20 billion. And here it was about 22 billion. In terms of home, yes, it was flat at about 15.

But if this is a decimal, it was 14.2. And this was about 15.1 or something. In terms of decimals, it is that way. But there was a slight growth, about 6 %-7%. But if you look at it on an overall basis, I think the growth in both home loans and non -home loans in the terms of disbursements has been quite granular. In terms of spreads, I think this spread which actually goes into the presentation is a realized spread because this is the way we have reported in the DRHP. These are realized spreads.

These are accounting yields and realized yields. This is basically the income which gets recorded in the P&L divided by the average assets. And there are other elements which also For example, there is a 91 days versus a 90 days which happens in the current financial year. There are some true ups which may be happening at the end of the quarter. There are some loan waivers of about INR4 crores to INR 5 crores that we would have given in the quarter.

So in that sense, if you look at the yield of 13.7, I think that takes all that. But if you look at the spreads which are more or less in the range of 6%, I think the way of looking at it is when we get into next year, I think with the spreads that we will take forward into next year would be more in the range of about 5.9 % to 6%. And that is what will be the starting point of spreads as we move into the next financial year.

And in terms of non -home loans and home loans, I think the company is very clear in terms of home loan to non -home loan mix. We currently would be in the range of 75 -25 – AUM is about 75-25. And the way we want to look at it is probably at a book level also. We would want to keep NHL in the range of 75 -25. On an AUM basis, probably we may be 1 %-2% lower in the sense that on an AUM basis, our home may be 73 and our non -home may be 27. But we will try

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and assign more of non -home loans so that on a book level, the home to non -home remains at a 75-25 ratio.

And anyhow, we have this minimum criteria of 60% of home loans as a qualifying factor for a housing finance company and we don't want to be anywhere near that. We are comfortably on top of that. So in that sense, internally, we are looking at keeping it at 75-25, a 0.5% , 1% here or there is okay. But we will try to assign more and more of non -home loans as we did. That's the way of looking at it. I don't think we should read too much into home loan and non -home loan portion in a quarter 4 versus quarter 4. We will maintain that 75 -25 bit.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe : In terms of

if more medium term spreads, now if I look at FY '21 to '24, your spreads have gone up by almost 120 basis points from 5 to 6.2. So for this business, 75 -25 kind of a business mix of mortgages and non -mortgages, what kind of a spread guidance would you want to give or what kind of a spread you would want to maintain? And the rate hike that we have done now, is it in anticipation of further increase in cost of borrowings?

Rajesh Viswanathan: I think the second one is slightly easier. The rate hike happened to a certain extent in quarter 4 already and to a certain extent will happen in quarter 1. Very small portion is expected in quarter 2. So 25 bps takes care of all the remnants of any rate hike which gets passed to us. Now in terms of guidance, I think we said that we are not very happy honestly putting our neck out on guidance.

But if you look at it in the past, Nischint , our spreads, if you look at it in the last three years post - COVID were in the range of about 5.6 to 5.8. Last two years has been quite good around 6%, 6.2%. I think with this increase in rate, if we manage to do 5.8, 5.9 in the current financial year and dropping by about 10 to 15 basis points in the next financial year, I think around 5.7, 5.8 as we look at two years down the line.

I think it's a fair thing that we should be looking at. So if you look at management perspective, I think immediately we would look at about 5.8, 5.9 and then dropping down to 5.7, 5.8. 10 bps drop, I think we should be able to take care.

Nischint Chawathe : What is the incremental cost of borrowing versus the weighted average cost of 7.7? 8.36?

Rajesh Viswanathan: So the incremental cost of borrowings that we currently have for the full financial year was about 8.02%. And quarter 4, which we had was around 8.36%. But the point to note over here is when

we did quarter 4 borrowings, the NHB portion of that was only about INR300 crores of an overall borrowing of about INR2000 crores.

Nischint Chawathe : Like around 8.45 or thereabouts or 8.4, 8.45.

Rajesh Viswanathan: So I don't think the cost of borrowings will move up that significantly as from now to quarter one and quarter two, probably will be in the same range in terms of incremental cost of

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borrowings will be probably in the range of about 8.3 % to 8.4%. I don't think we expect the incremental cost of borrowings to increase that much.

Nischint Chawathe : No, probably you're saying that there may be some catch up on the balance sheet in that?

Rajesh Viswanathan: That's was one of the primary reason that we did the 25 bps pass on.

Nischint Chawathe : And any kickers on the fee income side or insurance or, any of the other line items?

Rajesh Viswanathan: , I think on a fee basis, I think we do a fairly decent job in terms of both fees in terms of processing fee, I think we are one of the most aggressive in the industry. And in terms of attachment of life insurance and general insurance on a voluntary basis . I think we are we are fairly there.

I think , this is mainly done for the protection of the customer in terms of his loss of life or loss of property. And we try to do some health also because the typical type of customer that we have is from the low income group. And any loss of life really impacts the customer's family , in terms of having to pay the mortgage , as well as to take care after the loss of the life of a loved one. So we try to educate the customer of the benefit of taking a life insurance loan. And similarly, I think that less thought to process is a property loan because property insurance because typically, God forbid any natural damages cost to the property, he loses the property. So we also encourage the customer to take a property loan and be given the benefits of that. But these are purely voluntary.

Rishi Anand : And if I can add here, t

he property loan is by regulation also it is required to be done by the customer, whether he takes it from the tie ups that we have, or he takes it from anywhere else and assigns it. So property insurance or property insurance is kind of mandatory. But when it comes to life insurance, it is purely voluntary. If he is willing to, we would definitely go ahead and educate the customer. If he is willing to take, he takes. And then we've in the past seen a lot of benefits going out to customers in case of eventuality of any debts.

Rajesh Viswanathan: So I think we are fairly there in terms of fee income, whether it is processing fee, whether it is other fee. And as we have also explained during our various investor message, which we have made to most of you, we also maintain liquidity buffer of anywhere between 6% to 8%. And this 6% to 8% also earns us some investment income.

Currently, it must be earning some 7.1% in the investment income. These are primarily, this also includes LCR that we have need to carry, which gets invested in the Gsecs . Apart from that, we invest in bank FDs as well as in overnight liquid funds. So this generates, this is approximately INR1,500 crores , which we are carrying in the balance sheet as a liquidity buffer.

And at the end, this is a cash -and-cash equivalence on balance sheet, which we have, which gives us anywhere like 7.1% return. Apart from this, at any point of time, we'll add about INR400 crores to INR500 crores of undrawn lines, which would include NHB and includes non -NHB also.

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So I think in terms of, if you add all these income, the fee income, the insurance cross -sell income, and the investment income that we yield, I think we do a good job by moving from spreads to NIMs .

Nischint Chawathe : How much was the BT out and BT in for the year and the quarter?

Rajesh Viswanathan: So the BT out for the full year was about 6.9%. It was a tad higher for the quarter. The quarter came in at around about 7.2 % , 7.3%. Just to give a feel, 6.6 % was the BT out in FY23. From 6.6%, we have moved up to 6.9 % . And just to give a feel of post -COVID, I think post-COVID was around 5% to 5.5%.

We have taken various steps to look at BT out. While we do understand that BT out is a natural phenomenon , which does happen in our industry. But what we have also done is we have used a retention team, which we centrally keep to take care of BT requests. We have also used analytics.

As Rishi had said, we have interspersed analytics in our entire BT out process by which our customer being inquired by a third -party financial institution, we get an immediate trigger. And

we call up the customer trying to find out the comfort that he has with us as an institution. And based on that, if the customer has any agree on a rate or a loan increase amount that is taken care of. We are seeing some initial successes on this.

Our internal endeavor is to reduce this BT out figure a bit. I will be difficult to give out a number on this, but hopefully if we can shave off anywhere like 50 bps on the 6.9%, I think we would have done a fantastic job. Where does the BT out go to? The BT out generally does not go to peers. It goes to one notch higher HFCs and NBFCs.

Rishi Anand : If I can add to that, Nischint , while we have quoted a number of BT out of 6.9% annualized, given the industry trends and what we understand from market intelligence, we are far better from most of the peer groups. That is one. The second part of the question was BT in. As an organization, we do not promote the concept of BT in, and our teams are clearly advised not to do BT in because it defeats the social objective of why we exist, because there are no new housing created. Having said that, if there are any reference cases, we definitely take them in, and our BT in portion is below sub 1% today.

M

oderator: Thank you. The next question is from the line of Nidhesh from Investec .

Nidhesh: Thank you for the opportunity. Sir, yield in Q4 has declined 30 basis points Q-on-Q. So what is the reason for that?

Rajesh Viswanathan: We just covered that, Nidhesh. This is a combination of 2-3 things. This is a realized yield which comes from the P&L.

This is a combination of a period which is basically one day lower. This is a combination of INR4-INR5 crores of waiver of interest which happens, and this also takes care of some direct assignment interest income which gets booked over there. So it is a combination of 3 or 4 things in terms of this. A better way of looking at this is to look at the spreads at 6%. The exit spreads

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will also be in the range of 5.95-6. I think the better way of looking at this is to look at a spread basis and go ahead. That will be a better metric to build it out.

Nidhesh: What will be the incremental yields that we are seeing now?

Rajesh Viswanathan: So in terms of incremental yield, if you look at home loans, our incremental yield is around 12.4%, 12.5%. In terms of non-home, it will range between 16.7%-17%. At a company level, the incremental yield will range in the range of about 13.65%-13.75%.

Nidhesh: And so as the incremental cost of fund is slightly higher, so the cost of fund will continue to increase up in coming quarters, right?

Rajesh Viswanathan: As I said, Nidhesh, it is possibly the last of the cost of fund increase we will probably see. We will see some impact coming in the quarter 1, and I think a tail impact will happen in quarter 2 which will be very, very minimal. But the 25 bps increase that we will take effective in the RPLR from 16 June, I think will take care of most of these problems.

Nidhesh: Sure. And also, can you share the incremental ticket size and the incremental sourcing mix for Q4?

Rajesh Viswanathan: Just a sec. I will just pull it out. Overall, ATS's average ticket size disbursement is 11.7 Lakhs . It is in the range of about INR13.7 lakhs to INR13.9 lakhs on home loans, and non-home loans continues to be very low and the range of about INR8.3-INR8.5 lakhs. Overall, it will be in the range of INR11.6-INR11.8 lakhs.

Nidhesh: And the incremental sourcing mix also?

Rajesh Viswanathan: Yes. So, in terms of the overall incremental sourcing mix from our corporate DSAs , it will be in the range of about 32-33% will be from corporate DSAs. And from our in house Aadhar Mitras, we will have. 20% So, from corporate DSAs, it would be in the range of about 32%

Rishi Anand : Aadhar Mitra will be about 20% and the direct sales will be about 40%, 45%.

Nidhesh: Okay. And what are the plans to add branches in FY '25?

Rishi Anand : So, as I indicated already, we are looking at approximately 75 branches coming in year-on-year, out of which 50 branches will be in the deeper impact strategy, which are sales offices, the small 100, 150 square foot kind of setups, and about 20, 25 branches will be the large branches across the existing cities.

Nidhesh: Okay. So, that's it from my side. Thank you.

Rajesh Viswanathan: Thank you, Nidhesh . This is just a small correction. The corporate DSA amount is actually in the range of about 25%-26%.

Nidhesh: Sure, sir.

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Moderator: Thank you. The next question is from the line of Chinmay Nema from Prescient Capital. Please go ahead.

Chinmay Nema: Hi, sir. Thank you for taking my question. Just wanted to double click on the self-employed segment. Could you talk about your typical customer profile in this segment? And what kind of income verification and checks and balances go for this segment? And also, how does the asset quality differ between the salaried and the self-employee

d?

Rishi Anand : Thank you, Chinmay, for the question. Now, I will take your question. It's in 3 parts, one by one.

Self-employed customer, to give you a flavor of who my customer is, my customer can be anybody from a small grocery store guy, from an Ola driver to a Pan shop guy, to a very small MSME, SME industry running a proprietorship industry or a partnership industry. So, this is my typical self-employed customer. What do I do in terms of underwriting?

In terms of underwriting, as I indicated in my opening statement, salaried customers are tracked separately. They are underwritten centrally in the hybrid model. The self-employed customer is underwritten at the branch model. Why in the branch model? That's where your question gets answered. When we meet this customer, we actually they are typically no income proof kind of customers.

We have to go in and understand their cash flows better. So, we typically spend a lot of time with the customer at his workplace, understand the footfalls, understand the kind of goods and services that he's offering, what are the typical margins in that. So, once we understand his cash flow, we go and establish, go and visit his residence and try and establish his standard of living in context of the cash flow assessment, do multiple market reference checks, do online, wherever possible, online checks in terms of ITRs, in terms of KYC, etcetera .

So, these are the checks we do. Apart from this, mandatory 2 visits to the property in question, whether it's a loan against property, which would be typically existing property. If it is a home loan, typically it will be a new property. So, we will definitely visit the property at least twice. I missed the third part of the question.

Chinmay Nema: The last part was, do you see any difference in the asset quality of salaried and self-employed segment or if you could quantify it?

Rishi Anand : Okay. In terms of GNPA's, there is a 90 – 100 bps higher NPAs that you see on the self-employed segment, which gets countered by the fact that we get about approximately 3.5% higher risk-adjusted yields.

Chinmay Nema: Got it. Thank you.

Moderator: Thank you. Ladies and gentlemen, we would take that as a last question for today. I would now like to hand the conference over to the management for closing comments.

Rajesh Viswanathan: Thank you and thank you all for the questions. I hope we have been able to answer most of the questions to the best of our efforts. If there are any pending queries, you may write into Investor Relations ID, which has been given in the presentation, and we will try to answer the questions
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or any further clarifications that we have. As I conclude, I would say that it has been a fairly good, robust year for us. It has been a very important year and the first quarter has been very good in terms of us getting listed. The delivery on the full financial year has been very good, as has been consistently that we follow in the last 2-3 years.

Post quarter end, the IPO also has been a very good event that all of us in the company and our shareholders were looking forward to. As Rishi said at the outset, with the help of the support of all the investors and all our retail shareholders and all our corporate shareholders, I hope we will take this journey further and hopefully take the company to the heights that you guys are expecting. Thanks a lot for joining us and till we meet again next quarter, thank you very much.

Thank you so much, everyone.

Moderator: Thank you. On behalf of Nomura and Aadhar Housing, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2024

(no extractable text — likely a scanned image PDF)

Call: Nov 2024

Date: November 11, 2024

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001.
Security Code: 544176
Security ID : AADHARHFC To,
National Stock Exchange of India Limited
Listing Dept., Exchange Plaza, 5th Floor, Plot
No. C/1, G. Block, Bandra-Kurla Complex,
Bandra (E), Mumbai - 400 051

Symbol: AADHARHFC

Kind Attn.: Listing Corporate Relationship Department

Sub:- Transcript of the Earnings Conference Call for the Quarter ended September 30, 2024.

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our prior intimation dated October 25, 2024 please find enclosed the transcript of the Earnings Conference Call on the Financial performance of the Company for the Quarter ended September 30, 2024 held on Wednesday, November 06, 2024:

The above information is also available on the website of the Company and can be accessed at:

<https://aadharhousing.com/disclosures-under-regulation-62-of-the-sebi-lodr-regulation-2015-pdf/schedule-of-analysts-or-institutional-investors-meet-and-presentations-made-by-the-listed-entity-to-analysts-or-institutional-investors>

The above is for your information, records and dissemination please.

Thanking you.
For Aadhar Housing Finance Limited

Harshada Pathak
Company Secretary and Compliance Officer
Encl.: As above

CC:- Debenture Trustees-
1. Catalyst Trusteeship Limited
2. Beacon Trusteeship Limited

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"Aadhar Housing Finance Limited
Q2 FY '25 Earnings Conference Call "
November 06, 2024

MANAGEMENT : MR. DEO SHANKAR TRIPATHI – EXECUTIVE VICE-
CHAIRMAN – AADHAR HOUSING FINANCE LIMITED
MR. RISHI ANAND – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – AADHAR HOUSING FINANCE

LIMITED

MR. RAJESH VISWANATHAN – CHIEF FINANCIAL
OFFICER – AADHAR HOUSING FINANCE LIMITED
MR. SANJAY MOOLCHANDANI – HEAD FINANCIAL
PLANNING – AADHAR HOUSING FINANCE LIMITED

MODERATOR : MR. NISCHINT – KOTAK SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Aadhar Housing Q2 FY '25 Earnings Conference Call hosted by Kotak Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

I now hand the conference over to Mr. Nischint from Kotak Securities. Thank you and over to you, sir.

Nischint: Good evening. Welcome to the earnings conference call of Aadhaar Housing Finance Limited. We have with us the senior management of Aadhaar to discuss the financial performance. Let me welcome Mr. Deo Shankar Tripathi, Executive Vice Chairman, Mr. Rishi Anand, MD and CEO, Mr. Rajesh Viswanathan, Chief Financial Officer, and Mr. Sanjay Moolchandani, Head Financial Planning.

I would now like to hand over the call to Rishi for his opening comments. After which, we will take the Q&As.

Rishi Anand: Thank you so much, Nischint. And a very good evening, ladies and gentlemen. On behalf of Aadhaar Housing Finance, I extend a very warm welcome to all of you to our Q2 FY25 earnings call. We have successfully achieved yet another quarter of steady performance with sustainable AUM growth. Strategic investments in technology and data analytics have enhanced our operational efficiencies and our deeper impact strategy has further driven the growth.

Moving on to this quarter's performance, we have successfully crossed yet another milestone of an AUM of INR22,000 crores, closing the quarter at INR22,817 crores with a significant growth of 21% Y-o-Y. We continue to uphold our position as a leading low-income housing finance company in the nation. We continue to maintain 100% secure retail portfolio with no exposures to corporates or developers.

Our average ticket size stands at INR10 lakhs with an average loan-to-value ratio at 59%, catering to the salaried customer segment at 56% of our portfolio. Retail home loan continues to dominate the book at 74%. Disbursement for this quarter stood at INR2,036 crores, an increase of 18% on Y-o-Y basis. We have successfully maintained the quality of the book at a GNPA drop of 6 bps at 1.29% with a healthy collection efficiency at 99%.

The spread for the quarter stood healthy at 5.9%. Our deeper impact strategy is working well for us, enabling us to reach the niche markets in Tier 4 cities and beyond to small talukas and small district headquarters. We have focused on expanding our distribution network in the first half of the year and have reached a total of 545 branches spread across 540-plus districts in 21 states. This quarter, in question, we have added 9 branches, taking the total to 22 new branches in the current financial year. This has helped us to serve more than 277,000 live customers across the country. In H2, we will continue with this growth strategy on distribution. Wish to highlight yet another important update with respect to the Board of Directors at Aadhaar.

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We have further strengthened our corporate governance and strategy insights with the induction of Dr. Punita Kumar Sinha as an Independent Director to the Board, with effect from 7th August 2024. Dr. Sinha comes with a rich experience of over 30 years in investment banking and financial markets. The Indian housing finance industry has experienced significant growth over the past decade, with the mortgage to GDP penetration increasing from below 8% to nearly 12%. The sector has grown over 14% in the last five years, and similar growth is expected over the next three years. Government initiatives like the interest subsidy scheme, which is Pradhan

Mantri Awas Yojana, large-scale housing construction, GST reduction, and stamp duty rationalization are fueling the demand to India's housing sector. Additionally, rapid urbanization and rising disposable income are key factors contributing to

sector growth. The opportunity in India's housing finance market is huge, and we remain committed to drive this growth along with maintaining our financial stability. Our strategic focus remains in expanding our statewide presence, leveraging technology and data-driven insights. Along with ensuring long-term profitability coupled with superior asset quality, we will continue to focus on innovation, enabling us to grow and enhance our operational efficiency. Inspired by the principle of "Ghar Banega Toh Desh Banega", we will persist in our mission to serve the underserved section of the society.

I would like to hand over to our CFO Rajesh Viswanathan to take you through our detailed financial performance for this quarter. Rajesh, over to you.

Rajesh Viswanathan: Thank you, Rishi. Good evening, everyone. I would like to take you all through the financial performance for both H1 as well as Q2. In H1 FY25, as Rishi has just said, our AUM has grown well, grown by 21%. Our overall borrowings as on 30th September 24 stood at INR14,600 crores compared to INR12,750 crores as of 30th September '23. We have further diversified our sources of borrowing.

We have 40 borrowing relationships. The borrowing mix as at the end of 30th September is 50% from banks, 25% from NHB, and NCDs make up the balance 25%. Our incremental borrowing for Q2 stood at INR1,100 crores. In Q2, we have drawn down a second tranche of Asian Development Bank amounting to INR250 crores. A point to note over here is that during this quarter, we do not have any borrowings on the lower interest rate scheme from NHB during this quarter. Even on the entire financial year, the percentage of borrowings from NHB on the lower interest rate subsidized scheme is very, very minimal.

Liquidity for the quarter stood at INR2,273 crores. It is around 12% of the loan book. We aspire to keep anywhere between 8% to 10% of the loan book as a liquidity buffer. In terms of fixed and floating nature of the book, 77% of our borrowing is floating and 79% of our assets are floating. So, there is a clear match between the fixed and floating book. Portfolio yield for this quarter as we exited is 14% in Q2 FY24.

In terms of spreads, it stood at 5.9%. Our cost-to-income ratio for this quarter stood at 36.2% and for the whole six-month period was 36.4%. This was compared to 37.5% in FY24. As we have alluded in the last two calls, we aspire to drop our cost-to-income ratio from the FY24 level
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by at least 80 bps to 100 bps in the current financial year. And the first two quarters, we are sort of getting there in terms of achievement in terms of our cost-to-income reduction.

We have managed to maintain good standard of asset quality with GNPA on AUM coming at 1.29% compared to 1.35% same time last year. The net NPA stood at 0.9% in Q2 FY25 versus 0.92% in Q2 FY24. As at September end, the stage 3 provision stands at 35% and as we have mentioned in our previous calls, our provision will be in the range of about 35% to 37%. Capital adequacy ratio for Q2 FY25 at the end of Q2 stood at 45.9% for Tier 1 and 0.7% for Tier 2. In terms of overall growth, our total income stood at INR764 crores for this quarter as compared to INR629 crores in the corresponding quarter last year, which is a growth of 22%. For H1 level, our total income stood at INR1477 crores versus INR1222 crores, which is a growth of 21%. PAT came in at INR228 crores versus INR197 crores in Q2, a growth of 15% on Y-o-Y basis. For half year FY25, the PAT stood at INR428 crores compared to INR344 crores last year H1, translating to

a growth of 24%.

In terms of disbursement, and this was a matter which we discussed last time because of the RBS circular, I am happy to state that the disbursements in Q2 have evened out and Q2 disbursements have come in at a strong INR2,036 crores versus INR1,725 crores in Q2 FY24, which is a growth of around 18% to 19%. Full year growth is 12%. If we adjust for the circular, the growth will be in excess of 20%. So, this is all that we had to say in our opening remarks. And with this, we open up for any questions that we may have.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Rinesh from ICICI. Please go ahead.

Rinesh: Congrats on a good set of numbers. So just two things from my side, one on the yield side. So, if I recollect, in June, we hiked our rate by 25 basis points. And in this quarter also, if you look at the disbursement breakup, incrementally, the disbursement in loan book is higher. And despite that, our yields are flat. So, what is the reason, yield remaining flattish, despite the rate hike and high disbursement in loan?

Rajesh Viswanathan: Yes, as we had explained last time, the increase in the rates, which was about 25 bps we did in the middle of the first quarter would obviously impact the book. The incremental rate of lending, the marginal rate of lending, obviously would not move directly proportional to that. We are lending in quarter one and quarter two at rates which are almost 10 bps to 15 bps higher than what we achieved in quarter four of last year.

Having said that, if you look at our spreads, exit spreads, I think we have exited in the range of what 5.9 % to 5.95%. And as we have always guided, as we will end the current financial year, probably we will be ending in the range of somewhere between 5.8 % to 5.85% spreads as we exit the year. What you're saying is right, when we do marginal rate of lending, this is also impacted because of various factors, including the mix of our product, including the competition on the ground and other things. Rishi, you want to add?.

Rishi Anand: No, that's perfect, I think that concludes it.

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Rinesh: So, my question is actually why have we not been able to pass on this rate hike to the customer. Is this the competition which is impacting the gains or how should one look at it?

Rajesh Viswanathan: So, rate hike pass on to the customer, obviously we did for every customer who was there in the book on the floating basis in mid-June. But on the incremental basis, obviously the pass on would happen over a period of time. And for example, I assume theoretically we increased the rate by 25 bps on the RPLR basis. I think on a marginal basis, you may not see an increase of say 25 bps, you may see an increase of anywhere between 10 bps to 15 bps is a way it generally plays out.

Rinesh: Actually, if you look at the gains, I mean, sequentially it is flat at 14%. Now, even if we assume, let's say given almost more than 75% of the book is floating and 25 bps of rate hike in second half of June, so ideally this quarter should have the full quarter benefit. So, even if it is not 25 bps, ideally anywhere between 5 bps to 10 bps improvement should happen on the yield side, but maybe because of competition or I don't know.

Rajesh Viswanathan: You are right on an incremental basis if you look at it. The 13.9% from March, if you look at the yields, the yields have moved up to 14%. If you look at pure yields, it has moved from 13.9 % to 14%. These are the exit yields. But on the COF side is where the COF has moved up by 10 bps, if I'm not mistaken, and that is why the spreads have come down. But if you look at yields and generators more, and plus you are right, incremental yields, which typically is INR3,000 crores, INR4,000 crores of business, which would have got

done during the year, would

definitely have come at a rate which is at least about 40 bps lower than the 14%.

Rinesh: Okay. Got it. And my second question is on the BT out rate. How has it been trending, sir, let's say over the last couple of quarters?

Rishi Anand: So, Rinesh, BT out, if I were to compare versus on a Y-o-Y basis, we were in 24, 6.5%. And as we speak for the quarter, we are 5.8%. So that is a substantial improvement on this, on an annualized basis. So, there is a substantial improvement. And there are a lot of efforts that the organization is putting towards it.

Rinesh: Got it. And we don't foresee any risk of higher BT out because of the rate hike, right?

Rishi Anand: No, we don't. We don't. You know, after rate hike, these are these are numbers that I'm quoting to you. So, 5.8%. So that is a substantial drop of about 7 bps, which is a comfortable position to be in.

Rinesh: Got it. That's it from my side, sir. Thank you and best of luck.

Moderator: Thank you. Our next question is from the line of Satish Kumar from Mirae Asset Capital. Please go ahead.

Satish Kumar: Thanks for the opportunity, sir. My first question is related to cost of borrowing, which rose to 8.1% or 40 bps year on year. So, any view that it will reach near peak or may increase further from this level in coming quarters? And the second question is the share of economic weak

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section, which now declined below 70% of the AUM. Any specific cap there you plan to share in the mix in going forward? Thank you.

Rajesh Viswanathan: I think on the cost of funds we have - we are 8.1 %. There may be some pass throughs which may happen through some of the MCLR increases which some of the public sector banks are still doing. Probably as we exit the year we would be in the range of anywhere between 8.2 % to 8.25%. So basically, that is sort of cost of funds that we should be really looking at. And that is one of the primary reason that we are seeing as we enter year, our exit spreads would be in the range of about 5.8% to 5.85 %. In terms of economically weaker section...

Rishi Anand: Satish on EWS FY24, our numbers were 71% EWS which has dropped to about 69% marginal drop. The income levels are rising. So, the definition of EWS is annual income, annual household income up to INR3 lakhs. So while these levels were fixed way back in 2015 by the central government, there is obviously a request of revising these limits. Having said that the income

levels have slightly risen because of which there is this marginal dip of about 2%, but we still remain focused on EWS LIG as an organization.

Satish Kumar : Okay, that's all for my side.

Rishi Anand: Thank you, Satish.

Moderator: Thank you. Our next question is from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra: Hi, thanks for this opportunity. I just want to understand the number of home loans that we onboard on a monthly basis. Second is when we are talking on this growth and disbursement, can we decompose this of 18% and do what is coming out of...

Moderator: Sorry to interrupt you, Shubhranshu, if you can switch to handset mode, your voice is not clear.

Rishi Anand: Yes, I could not figure out the question, Shubhranshu, sorry.

Shubhranshu Mishra: Hi, is it better?

Moderator: Yes, Shubhranshu, please go ahead.

Shubhranshu Mishra: So, I wanted to understand the number of home loans that we onboard on a monthly basis. What would be the logins versus the number of files that were dispersed? Second is, so when we are talking about this 18% disbursement growth, how do we decompose this into what is coming out of the maturity of branches, what is coming out of geographic expansion and what is just about business as usual and what would be a forecast of disbursement growth and AUM

growth

for the next 2 years to 3 years? These are my first couple of questions.

Rajesh Viswanathan: I think on login we do anywhere between 16,500 to 17,500 files a particular month. And if you look at it, approximately anywhere between 27 %, 28% of this would be non-home loans. The balance would be home loans. In terms of sanction to login, the range will be in the range of about 60% to 65% is our sanction to login. And typically, login to disbursement would range between 42% to 45%. So that is the flow from login to sanction to disbursements.

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Rishi Anand: The second question, Shubhranshu, was on where on the maturity of branches versus new branches, where is the growth coming from? So, every year, the way it works is the current branches that you launch in a particular quarter, or a particular year will become productive and mature only in the following year. So current year, the enhanced efficiency comes from maturity of the existing branches. Sorry, I missed your third question.

Rajesh Viswanathan : The third question was 18% growth; how should we typically look at it? So, we still are guiding for 18% to 20% disbursement?

Rishi Anand: Yes, our guidance remains on 18% to 20% growth for the year. Are we in line? Yes, we are in line because the way our budget span out and we are right on the plan the way it was budgeted, which will culminate to about 22% to 24% AUM growth.

Shubhranshu Mishra: Understood. And if I can just squeeze in one last question, what would be the proportion of Cat A, B, C company, salaried employees coming into our login, home loan login?

Rishi Anand: Okay, so I don't think I would have that data right away. But primarily, if I can give you an indication who are my customers, you would have a range of customers right from army jawans to police constables to teachers in government schools. So that is one range of customers, second range of and you're referring to salaried. So second range of salaried customers will be customers working for private limited companies, partnership firms, proprietorship firms. So, we have - but right now I indicate if I can tell you 45% of my customers are our formal customers. So, these are customers which form in the formal category.

Shubhranshu Mishra: Understood. This is very helpful. I'll come back in the queue. Best of luck for ensuring quarters.

Rishi Anand: Sure. Thank you Shubhranshu.

Moderator: Thank you. Our next question is from line of Arjun Vikas from Alpha Wave Global. Please go ahead.

Arjun Vikas: Hi, first of all, congratulations on a great set of numbers. I just wanted to understand a few things to the extent possible. So, when we think about Tier 1, Tier 2 and versus Tier 3, Tier 4 markets, how is the sourcing different? So, for example, how much, you know, proportion comes from Aadhaar Mitra versus Direct versus others. Similarly, we'd love to understand B T in and B T outs to the extent possible between these two sets of markets and the login or the sanction disbursements ratios across these two set of markets like how does it differ between Tier 1, Tier 2, and Tier 3 and Tier 4?

Rishi Anand: Okay, first, let me give you the company level numbers Arjun. One is you asked about what comes from Aadhaar Mitra. So Aadhaar Mitra is typically anywhere between 20 % to 25%, depending on the month you're talking about. So on a quarterly basis, since you're referring to Q2 FY25, 24.4% business came from Aadhaar Mitra. So that is the split on Aadhaar Mitra. Your second question was on Tier 1, Tier 2, the business and the split of the branches and then the business?

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Arjun Vikas: No, I meant when we compare Tier 1, Tier 2 markets versus Tier 3, Tier 4 markets, is the sourcing mix different?

Are we getting that when you say 24.4% on an overall level, is that different in Tier 1, Tier 2 versus Tier 3, Tier 4?

Rishi Anand: From an Aadhaar Mitra perspective your Tier 1, Tier 2 will contribute more business from Aadhaar Mitra because these are larger locations where you have more Aadhaar Mitra. Smaller locations when we talk about very, very small locations which are Tier 3, Tier 4, the number of Aadhaar Mitras will be low, hence the contribution will be low.

Arjun Vikas: Understood. Would it be possible to quantify like when you say low, like is it like significantly low?

Rishi Anand: Arjun, I'll have to get back on that or somebody will get back on that because I don't have that split right away.

Arjun Vikas: No worries. And similarly, on does the login to disbursement ratio, the sanctioned disbursements which talked about 40%, 45%, does that vary significantly between these two types of markets?

Rishi Anand: No, so fortunately, that does not vary. It will vary a couple of percentages here and there, depending on the kind of business that is sourced in a particular month. But when we say 42 % to 45% that is standard all across the kind of cities that you're talking about, whether it is Tier 1 or Tier 4.

Management: I think you had a question BT in.

Arjun Vikas: BT in and BT out both?

Management: As a strategy I think last time also we spoke about it. As a strategy, we don't promote too much of BT in. BT in, in terms of percentage will be less than 2% annualized of my business. We don't promote too much of BT in unless it's a reference from an existing customer. BT out, we've already indicated on the call, it's about 5.8% annualized.

Arjun Vikas: Sorry, I just wanted to say again, is there a trend between or a difference between Tier 1, Tier 2 and Tier 3, Tier 4 on these numbers or are they broadly similar?

Rishi Anand: Yes, so Tier 1, Tier 2 we'll see a lot more percentage in terms of the split between Tier 1, Tier 2, BT out will be higher in Tier 1, Tier 2 versus which is higher, versus Tier 3, Tier 4. One is the quantum of book is small there. Competition plays a little more, I would say, aggressive strands in metros and Tier 1, Tier 2 locations.

Arjun Vikas: Understood. And since could you help us guide towards growth how much will come from Tier 3, Tier 4 locations going forward versus Tier 1, Tier 2?

Rishi Anand: So, Arjun, when we say 18 % to 20% disbursement growth and about 21% to 23% AUM growth, we are talking about all mature branches. In our case, Tier 1, Tier 2, Tier 3 or Tier 4, our branches are all mature. They've been around for greater than 12 months. So, I would say in terms of percentage contribution, it is going to be on a standalone basis, each branch will contribute similar percentages. And that's what we drive, we drive holistic approach rather than a metro

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location contributing more growth versus a smaller location not contributing growth. We drive that's how we run the company. We drive more holistic growth. Our new initiative, which I spoke about in my opening speech of deeper impact, they will contribute 5% to 8% of the business. It's a new initiative, so it will take a little more time to get matured.

Arjun Vikas: Understood. Thank you.

Moderator: Thank you. Our next question is from Lion of Sonal from Asian Market Securities. Please go ahead.

Sonal: Yes, thanks for the opportunity. Am I audible?

Rishi Anand: Yes, please.

Sonal: Yes. So, a couple of questions. First one is on free income. So, if I look at fee income as percentage of disbursement that has come down slightly this quarter. So, previous three quarters we've been in the range of 2.4 % to 2.9%. This quarter, we've been around 2.1%. So how should we kind of model this number and any sense that you can give that this number would be going down or will it

remain at 2.1%?

Rajesh Viswanathan: I think Sonal the way to look at it is that this may be some quarterly movements. It's not significant. I think to be conservatively you should model it around 2.2% to 2.4%.

Sonal: Around 2.4%. Okay.

Rajesh Viswanathan: That's right.

Sonal: So, there was a question earlier on disbursement yield. So you said that disbursement yields are basically 30 basis points to 40 basis points lower than on book yield. I'm not sure if I heard it correct, but if you could just tell me what is the disbursement yield at the moment and what is our on-book yield for home loans as well as non-home loan portfolio?

Rajesh Viswanathan: I think our book yields are about 14%. And as I said disbursement yields will be about 40 bps lower. And typically, we make about 350 basis points higher on non-home loan versus home loan. Typically, they earn us about 350 basis points higher. So that's basically the split which we will have on incremental disbursements also. So as I said, 40 bps lower in terms of overall yield and in terms of mixed non-home loans which to day constitute approximately 25%, 26% of AUM will give me 350 basis points higher and in terms of incremental disbursements also, they are in the same range of about 27%, 28% and they give us 350 basis points higher.

Sonal: Okay. And sir what is our branch addition plan for the year? So far, we've added about 22 branches. So how do we see for the entire year?

Rishi Anand: Sonal, as indicated last time also we are looking at anywhere between 70 to 75 new branch network. In H1, we've already added 22 branches into our latest 545 number. And we will currently as we speak, we want to stick to our plan of 70 to 75 new branches.

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Sonal: Okay. So just going back on the previous question on the yields, we've taken a 25 bps PLR hike. So what I understand is basically incremental rates are 40 basis points lower. We're expecting cost of funds will move from 8% to about 8.2% by the end of the year. So that's like a hike of 20 basis points. So how should we look at spreads? We've been guiding at 5.8%, but broadly the Math says it could trend a little lower than that. So, if you could just help me to understand those numbers?

Rajesh Viswanathan: Sure. I think 5.8% is something that we will strive to achieve. There are two, three reasons, two, three levers that we believe that we will have. One is that on an incremental borrowing basis, the entire NHB lower rate scheme has not come in. So basically, we expect that to come in hopefully by third quarter or fourth quarter. So, we will get some benefit from our incremental borrowings which will happen over there.

And typically, what we generally see that quarter 3 onwards or rather quarter 3 and a bit of quarter 4 is where the yields do increase a bit in terms of incremental yields. So, we are also looking at how we can increase the incremental yields from quarter 3, at least. Quarter 4 generally there is a lot of competition in the market in terms of various contests, which get launched and there is always pressures on yields in quarter 4.

So, we will try and maximize our yield during this period of say October to January is what we are internally planning.

Sonal: Okay. And any change in the mix?

Rajesh Viswanathan: In terms of HL, NHL, no we still believe that we should be as we end the year in terms of book composition we would be 75-25. In AUM composition, it could be slightly higher when you look at AUM of non-home loans. What we end up doing is we try to direct assign a significant portion of our direct assignment will come from non-home loans. So, on a book basis, we will strive to maintain 75-25.

And in terms of overall self-employed and salaried book, I think we try to as we have already always said that every year we

will try to move around 1.5% of AUM every year from salaried to self-employed. Because in self-employed again we have a 300 bps to 400 bps incremental rate that we are able to get from the consumer. And even risk adjusted for NPS, these are good spreads to strive. So, on an overall basis, no change HL, NHL.

On self-employed and salaried as we have guided earlier, we will try to move 1.5% every year.

This is a lever which we use very, very carefully.

Sonal: Sure. That answers. All the best sir.

Moderator: Thank you. Our next question is from Rajiv Mehta from Yes Securities. Please go ahead.

Rajiv Mehta: Hi, good evening. Congrats on good numbers. So my question first was on marginal rate of loans and you said that there's been an improvement of 10 basis points, 15 basis points from Q4 levels in the first half of the current year. So, this has been driven by any push-up in terms of rates from

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our side or is it purely a factor of mix, incremental lending mix moving towards mortgage loans and self-employed home loans?

Rajesh Viswanathan: No, major change in mix, Rajiv. As I said quarter 4 to a certain extent, is impacted because of various competitive elements in the market. Two things which played out is because we anyhow took a 25 bps increase in rates in June. I think the sales team was also guided internally to look at maximizing rates.

So a mixture of both, some unwinding of competitive schemes as well as the general strive to push through some rates, rate hikes which you took on the entire book on the incremental bit is what gave us the 10 bps to 12 bps of incremental hike over quarter 4 of last year, but no change in mix or no change in strategy on that.

Rajiv Mehta: And given the current competitive intensity which you see across markets, what is the thought process about how quickly we would want to pass on any cost of fund benefits to the customer through PLR, RPLR reduction? Would we keep some lag in passing it on whenever the cost of fund reduces, or would it be pretty immediate?

Rajesh Viswanathan: I think, Rajiv, rate increase or decrease is as per guidance by Board and ALCO, and I'll quote denominated RPLR policy. When the markets do correct in terms of rate decrease, first of all, the banks need to pass it on to us. So MCLR has to unwind for the bank. We have to then find out whether we fit into a bucket of a 6-month MCLR or a 1-year MCLR. So that gets passed on to me.

When we see definitive action happening and when we see our rates do drop, actually on the books and when it becomes a meaningful percentage to the consumer in the range of say broadly 0.15% onwards is something that we will look. In terms of lag, the lag will definitely be very short from the MCLR pass on to us to what we passed on to the consumer.

It will be an operational lag, but it can't happen that tomorrow RBI drops rates, and we pass it on to the customer because it should reflect in my COF. Once it reflects in my COF, there will be hardly maximum of a quarter by which I have to pass it on. That carry is more of an operational carry and that carry is not a profit and strategy carry.

Rajiv Mehta: No, understood. And just a clarification, the portfolio yield which you report in the presentation is that the contractual yield?

Rajesh Viswanathan: It's a contractual day and yield.

Rajiv Mehta: A day and yield and which is why that partly explains that we did not see much of an increase in Q2 over Q1 despite the PLR hike we did in June because it was already captured in the June end yield number?

Rajesh Viswanathan: That's exactly right. The June end yield number, though we did it on June 17th, what we reported captured the yield, whereas if you took out the realized yield which would have happened in the P&L.

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Rajiv Mehta: Yes, there's an increase.

Rajesh Viswanathan: It will actually reflect over here.

Rajiv Mehta: Got it. And just lastly on NHB sanction and pipeline, whatever we have, some visibility, what is the quantum and how much of it do we expect to come through under the low-cost scheme?

Rajesh Viswanathan: To be honest, we have applied to NHB. Our current sanctions, we exhausted in Q2. We have applied to NHB. NHB would come in with a sanction hopefully in quarter 3. And as a strategy, we draw it systematically over four quarters. Just to give a reference number, last year we had a INR1,000 crore sanction which came in, which was drawn down over a four quarter period.

Rajiv Mehta: Clear. Thank you and best of luck.

Rishi Anand: Thank you so much, Rajiv.

Moderator: Thank you. Our next question is from the line of Rudraksh Kalra from MB Investments. Please go ahead.

Rudraksh Kalra: Yes. My question to you is the housing finance, although the segment has been growing rapidly with competition has also been growing. So, my question is, how is Aadhaar going to navigate it and what is its broader strategy? Are you guys going to be aggressive or are you going to be moderate or are you going to be conservative in your approach? Thank you. That's my question.

Rishi Anand: Thank you, Rudraksh, for your question. You spoke about competition I think I would want to start with saying that we are the only low-income housing finance player available across 21 states. So, I think our biggest strength is our distribution. We have about 545 branches spread across the length and breadth of the country. When you talk about competition, competition is more regional for us.

So we go to South, we face some competition, come to Central India, some competition, Western some competition. So, we don't have a Pan-India competition. Are we going to be very aggressive in our approach? I would say no. We would be moderate. We will not be very conservative also, but we want to play very moderate. We would choose the risks that we want to choose. So, no aggressive play at all in the field.

Our branches and our people are over in terms of vintage, they are over 7 years plus in terms of branch manager and above. So, we have a very vintage team who understand the consumer, who understand the risk and who understand what is deliverable to the company. So yes, our distribution is going to play a very important role. Will competition keep coming?

Obviously, competition will keep coming, but our forward-looking strategy of deeper impact is where we are going to play a big role. In deeper impact, we've already in the last financial year, we've touched five states. As we speak in the current financial year, we've already initiated launch of deeper impact locations in three more states.

So that's where we are heading to. So, it's going to be a perfect balance between Tier 1, Tier 2, Tier 3, Tier 4 and deeper impact locations for us.

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Rudraksh Kalra : Just a follow-up question. So, when the RBI starts cutting rates, if it cuts too aggressively or if it cuts slowly, does that - will that have any sort of impact?

Rajesh Viswanathan: So 80% of our book are floating, 78% liability being floating. Whatever, as we explained just now, whatever aggressive or non-conservative pass-on to us happens, we will pass it back to the consumer. The 80% consumers will benefit from it as soon as I get benefit. So, this is the advantage of running a floating book and a well-matched floating book.

Rudraksh Kalra : Thank you so much.

Rajesh Viswanathan: Thank you, Rudraksh.

Moderator: Our next question is from the line of Jagdish Sharma, who's an Individual Investor. Please go ahead.

Jagdish Sharma : Hi there. Congratulations for the results. I have

two questions. The first question is, in recent interviews, you have told your bottom line may grow at 30% to 35% in the coming years. Will that guidance still be on, sir? Will you say the guidance is still on?

Rajesh Viswanathan: So, I think, to be honest, I think there may be some miscommunication here. We have guided two, three things. One is that we have guided disbursements will grow in the range of 18% to 20%. Our AUM growth will be in the range of about 22% to 24%. And profit, typically, if you look at the profit growth of the previous year, it will generally be in the treadmill of about if you look at the math, it will generally be in the threshold of about 23% to 27%. So that is the way it was. I'm not sure we ever mentioned 35%.

Jagdish Sharma : Okay, So the profit will be in the range of 23% to 27%, okay.

Rajesh Viswanathan: Sir, you can do the math yourself.

Jagdish Sharma : Yes, understood. So the second is one of the peers of yours...

Moderator: Sorry to interrupt Mr. Jagdish, I request you to join the question queue for any follow-up questions. Our next question is from the line of Faraz Motani from Paragon Partners. Please go ahead.

Faraz Motani: Yes, I have two questions. First one being, what would be a weighted average tenor on the borrowings? And the second question would be, what would be the productivity for sales employees in terms of files at the disbursement level?

Rajesh Viswanathan: In terms of borrowing tenor, it would be broadly in the range of 6 to 6.5 years. To put it into perspective, our behavioral tenors of our home loans in the range of 8 to 9 years and the behavioral tenor of our non-home loans is in the range of about 4 to 5 years. So typically, if you do a mix of both of that and compare it to our borrowings tenor, it is more or less in line with that. The other thing was on the number of files.

Rishi Anand: Yes, the productivity of the direct sales team, which is right at the front end, is 3 logins per month and about 1.25 to 1.29 disbursement units per month.

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Management: Got it. And this would be at a blended level across all the sales employees? 1.2 at a unit.

Rishi Anand: Every level would have a different productivity matrix for us. DST, right at the front end, is the one who matters the most and these are the numbers I have indicated. As you move ahead, the supervisory layers productivity numbers will depend on how many DSTs he has. So, it is a different mechanism.

Faraz Motani: Sir, what I am trying to understand is on a steady state basis, so when a sales employee matures being in a system for 9 to 12 months, what would be the files disbursed by him or logins done by him on a per month basis at the file level?

Rishi Anand: Very interesting question. So, when I told you 1.25 files disbursement, it is for all the people put together. But if the way you want to break it, if a person below 6 months, above 6 months, the

productivity actually becomes almost double. So, it is 2 plus, 2.2 to be precise when he moves 6 months plus.

Faraz Motani: Got it, sir. Thank you.

Rishi Anand: Welcome.

Moderator: Thank you. Ladies and gentlemen, that was our last question for today. I now hand the conference over to Mr. Nischint for closing comments.

Nischint : Thank you very much for joining us today. We thank the management for giving us an opportunity to host the call.

Rajesh Viswanathan: Thank you, Nischint so much . Thank you so much and regards to all of you for joining in so late. Thank you very much.

Management: Thank you. Have a good day.

Nischint : On behalf of Kotak Securities, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Feb 2025

Date: February 11, 2025

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001.
Security Code: 544176
Security ID : AADHARHFC To,
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Listing Dept., Exchange Plaza, 5th Floor, Plot
No. C/1, G. Block, Bandra-Kurla Complex,
Bandra (E), Mumbai - 400 051

Symbol: AADHARHFC

Kind Attn.: Listing Corporate Relationship Department

Sub:- Transcript of the Earnings Conference Call for the Quarter ended December 31, 2024.

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our prior intimation dated January 17, 2025 please find enclosed the transcript of the Earnings Conference Call on the Financial performance of the Company for the Quarter ended December 31, 2024 held on Thursday, February 06, 2025:

The above information is also available on the website of the Company and can be accessed at:

<https://aadharhousing.com/disclosures-under-regulation-62-of-the-sebi-lodr-regulation-2015-pdf/schedule-of-analysts-or-institutional-investors-meet-and-presentations-made-by-the-listed-entity-to-analysts-or-institutional-investors>

The above is for your information, records and dissemination please.

Thanking you.
For Aadhar Housing Finance Limited

Harshada Pathak
Company Secretary and Compliance Officer
Encl.: As above

CC:- Debenture Trustees-
1. Catalyst Trusteeship Limited
2. Beacon Trusteeship Limited

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"Aadhar Housing Finance Limited
Q3 FY '25 Earnings Conference Call "
February 06, 2025

MANAGEMENT : MR. DEO SHANKAR TRIPATHI – EXECUTIVE VICE-
CHAIRMAN – AADHAR HOUSING FINANCE LIMITED
MR. RISHI ANAND – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – AADHAR HOUSING FINANCE
LIMITED
MR. RAJESH VISWANATHAN – CHIEF FINANCIAL
OFFICER – AADHAR HOUSING FINANCE LIMITED
MR. SANJAY MOOLCHANDANI – HEAD FINANCIAL

MODERATOR : MR. KAMAL MULCHANDANI – INVESTEC CAPITAL SERVICES

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Moderator: Ladies and gentlemen, good day, and welcome to the Aadhar Housing Finance Limited Q3 FY '25 Earnings Call hosted by Investec Capital Services. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kamal Mulchandani from Investec Capital Services.

Thank you, and over to you, sir.

Kamal Mulchandani: Good evening, everyone. Welcome to the earnings conference call of Aadhar Housing Finance Limited. We have with us the senior management of Aadhar to discuss the financial performance.

Let me welcome Mr. Deo Shankar Tripathi, Executive Vice Chairman; Mr. Rishi Anand, MD and CEO; Mr. Rajesh Viswanathan, Chief Financial Officer; and Mr. Sanjay Mulchandani, Head, Financial Planning.

I would now like to hand over the call to Rishi sir for his opening comments, after which we will take the question-and-answer session. Thank you. Over to you, sir.

Rishi Anand: Thank you so much, Kamal. Very good evening, ladies and gentlemen. On behalf of Aadhar Housing Finance, I extend a very warm welcome to all of you to our Q3 FY '25 earnings call. We have successfully concluded the first 9 months of FY '25 with a strong growth momentum. There has been consistent growth in our AUM, which is evident as we have reached a new level at this quarter of approximately INR24,000 crores AUM, which is 21% growth Y-o-Y. Our prudent and proactive strategies have ensured a sustainable and profitable growth. As a part of our branch expansion strategy, we have opened 12 branches in quarter 3 and a total of 34 branches in the 9-month period.

The company continues to invest and develop its digital strategy with significant investment in the information technology and data analytics. As you would be aware, we had set a robust integrated technology platform developed by TCS in the year 2021 October and this has proved to be scalable and at the same time, flexible to work with various fintech offerings through APIs. We have, over the last couple of years moved from a paper-based company to a digital lending company. For example, 100% of our onboarding today happens paperless on mobility solution. We have provided mobility solutions to our underwriters, technical managers, collection executives and customers.

All these interventions have helped and will further help improve our efficiency and productivity. On the -- our data analytics team is at the forefront to ensure various analytic projects like customer risk categorization, scorecards, early warning triggers on collections, customer balance transfer early warning, new branch identification, etc., and is woven into company strategy and helps in overall risk mitigation and management.

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Turning to this quarter's performance. We have achieved an AUM of INR23,976 crores, reflecting a 21% Y-o-Y growth. As a result, we retain our position as one of the India's leading low-income housing finance company. Disbursements stood strong at INR2,094 crores in quarter 3 FY '25, a significant growth of 20% on Y-o-Y basis. Despite exhibiting strong growth we have not compromised on the loan quality book.

We continue to have 100% focus on retail secured loans with no exposures to corporates or developers. Our GNPA witnessed a drop of 4 bps coming at 1.36% with a stable collection efficiency of 98% to 99%. Our average ticket size still stands at INR10 lakhs with an average loan-to-value ratio of 59%, with salaried customer segment contributing 56% of the portfolio.

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At present, home loan represents a significant portion of our portfolio in comparison to other mortgage loans, contributing 74% and 26%, respectively. Our deeper impact strategy is working well for us and yielding positive results. It has enabled us to target niche markets in the Tier 4 cities and beyond catering to small talukas and districts.

On a 9-month basis, we have a total of 140-plus deeper impact branches across 545 districts and 21 states. In quarter 3 FY '25, we have added 12 branches which has helped us to serve more than 2.86 lakh live customer base across the country. None of the states is higher than 14% of AUM exposure.

We continue to focus on geographical expansion and strengthen our market presence. We have further strengthened our senior management with the induction of Head of HR, Mr. Vinod Nair, who comes with 20-plus years of experience in the leading financial services companies. Happy to share that Aadhar Housing Finance has been certified by Great Place to Work sixth time in a row.

Moving on to the outlook going forward. The improving macroeconomic landscape is driving the housing finance industry towards a projected growth of 16% to 17% over FY '25 and FY '26. A significant portion of this growth is expected to come from the affordable housing segment, which is estimated to achieve a robust 22% to 23% CAGR over the next 2 years.

The affordable housing finance sector has witnessed strong growth momentum in the recent quarters attributed to urbanization and rising demand for housing loans along with significant push given by the government. The recent budget announcements have been very positive for the affordable housing finance segment, like the income tax exemption up to an income of 12 lakh per annum is set to boost the purchasing power of LMI and EWS, driving increased demand for housing loans.

Additionally, the government's allocation of INR15,000 crores to the SWAMIH Fund 2.0, along with commitments to complete over 90,000 housing units will help resolve stalled projects, restore buyer confidence and create new lending opportunities.

Moreover, the budget allocation under PMAY will further enhance affordability initiatives, benefiting affordable housing finance companies that primarily serve the low and middle-income borrowers.

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The mortgage guarantee scheme has also been notified by the central government, specifically targeting the EWS, LIG segment, which will enable companies like us to look at those customers who fall out during the normal course of business.

With these initiatives, we are optimistic that the sector will see a huge push and demand will increase significantly. We remain optimistic in the opportunities coming our way and are well poised to cater to the rising demand.

I would now like to hand over to our CFO, Rajesh Viswanathan, to take you through the financial performance of the quarter. Rajesh?

Rajesh Viswanathan : Thanks, Rishi. Good evening, everyone. I would like you -- like to take you all through the financial performance for this quarter and 9 months ended December 2024. In 9 months FY '25, our AUM has grown by 21%. Our overall borrowings as on 31st December 2024, stood at INR15,135 crores compared to INR13,128 crores as at 31st December '23. This has grown by 15%.

The borrowing mix at the end of 31st December 2024 is 51% from banks. The share of NHB is 25%, and NCDs make up for the balance 24%. Our incremental borrowing for quarter 3 FY '25 stood at INR1,178 crores, which has come in at a Cost of Funds (COF) of 8.28%. We have around 43 borrowing relationships working with us.

We have drawn INR378 crores from NHB this quarter, of which the affordable housing finance fund is around 20% to 22% of this borrowing, and this has come in at a blended rate of 7.8%. The cost of funds Q3 FY '25 stood at 8.1%. In terms

of fixed and floating nature of the book,

79% of our borrowing is floating and 77% of our assets are floating.

The undrawn sanctions as at 31st December 2024 is INR1,100 crores. Liquidity for the quarter end stood at INR2,100 crores which is around 10.5% of the loan asset book. Portfolio yield for this quarter as we exited is 13.9%. In terms of spreads, the exit spreads, which is the exit yield minus exit COF has come in at 5.8%. These are the exit spreads. And as we have explained earlier in earlier calls, we expect to end the year in the range of around 5.7% to 5.75% levels. Our cost to income for this quarter stood at 34.8% as compared to 35.4% in quarter 3 FY '24. This is an improvement of 60 bps. We have mentioned in our earlier calls that we aim to drop our cost to income for the current financial year by at least 100 bps, and we are well in course for that.

As Rishi has mentioned, our GNPA as at 31st December 2024 is 1.36% as compared to 1.4% in quarter 3 FY '24, improvement of 4 bps. Our provision coverage of Stage 3 stands currently at around 36%. Capital adequacy ratio for quarter 3 FY '25 stood at 45.5% for Tier 1 and 0.6% for Tier 2.

And last but not the least, for 9 months FY '25, the profit after tax has come in at INR667 crores

compared to INR548 crores in 9 months FY '24, rendering a growth of 22% Y-on-Y. Quarter profits have come in at INR239 crores versus INR204 crores in quarter 3 FY '24. We retain our focus on maintaining a healthy book and delivering consistent performance every quarter.

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With that, we can open up for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhishek Jain from AlfAccurate Advisors Private Limited.

Abhishek Jain: Congrats for a strong set of numbers. Sir, the credit cost has increased in this quarter. So what is the outlook for the credit cost for the coming quarters and FY '26?

Rajesh Viswanathan: So from a credit cost perspective, if you look at our historical last 2 years also, quarter 4 is always a very strong quarter for the industry. I tell you the numbers, we were 1.4% NPA as at 31st March '23, and in March '24, the NPA had dropped to 1.08%. So always quarter 4 is a very strong quarter, not only for us but also for the entire industry. So we do expect a good improvement from the credit cost -- from the overall NPA number of 1.36%.

We believe that overall credit cost, as in terms of bps would be in the range of about 25 bps to 27 bps is what we expect as the credit cost to come in at. And as regards next financial year, though difficult to give, but generally, if you look at our overall credit costs, it will be in the range of that number about 25 to 27 bps.

Abhishek Jain: So how is the current outlook, especially on the delinquency side? Basically, we have seen that a lot of the stress (on the low-ticket items). So how is the current outlook in terms of the asset quality in the housing finance company?

Rishi Anand: So Abhishek, we are -- on a broad basis, we are very comfortable with the assets that we are holding. And if you are referring to the current market situation with discussions around MFI, etc. I would want to highlight two things here. One is that we are a 100% secured retail book. We have no exposures to personal loans, unsecured loans, that is one.

Second is if I were to -- and since we monitor this very, very closely, at least on a monthly basis, our total exposure to MFI individual loans stands at less than 9,000 customers over the 286,000 customers that we hold. And out of which, if I were to further give you a data split on how many are delinquent out of these 9,000 customers, to be precise, 8,780 customers, only 700 customers -- 707 customers are delinquent, not NPA, they are delinquent, they will be in various buckets.

kets.

So from an asset quality perspective, and the numbers that Rajesh just shared, we should be in the range of 1.1% kind of NPA numbers as of March. The asset quality looks good. The momentum, as I indicated in my initial speech, momentum of growth also looks very healthy.

Abhishek Jain: So what is the reason of the increase in the credit cost in this quarter, sir?

Rajesh Viswanathan: So basically, the one reason for the increase in the credit cost is the buckets of 30 to 60 and 60 to 90, which is basically are Stage 2. There is a slight movement in those buckets. And if you look at our Stage 3 also, if you look at it from quarter 2 end to quarter 3 end, it has moved up from, I think, 1.3% to 1.36%.

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So that is the reason -- primary reason for increase in the credit cost in the current quarter, which is coming at around INR18 crores to INR19 crores. But we expect that this is more or less going to be evened out as we exit quarter 4.

Abhishek Jain: Okay. And my last question on the housing sector growth. You mentioned that there will be a 15% to 16% growth in housing industry in FY '26, and 20% to 22% growth in the affordable housing. So what is the overgrowth -- what growth you are targeting for your company?

Rishi Anand: See, Abhishek, we've guided -- while we can't be giving you too many guidance's, but earlier also in the previous call, we've guided that from a 2 years to 3 years perspective, from a disbursement perspective, we will grow at 18% to 20% YOY, which will mean our AUM growth of anywhere between 2% to 2.4%, and we will maintain that trajectory.

Abhishek Jain: 20% to 22% for FY '26?

Rishi Anand: That's right.

Moderator: We have the next question from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: Just a little bit on the fee income line. There seems to be some weakness. I believe fee income is up or almost flat for the last 9 months. How should we really think about this? What are the drivers? And how should we model this going forward?

Rajesh Viswanathan: So if you look at fee income, I think the best way of looking at it would be in the range of around 2% to 2.1% on a sustainable basis. This quarter, we had specifically taken some one-offs on

processing fee and admin fee, which we ran some contests, as a result of which about INR7 crores to INR8 crores of fee income has come in lesser, which we do not expect to happen in quarter 4. These were more of contests and competitions run to do some acquisition to acquire businesses. But to look at it on an ongoing basis, I think it is better to look at it at a 2% to 2.1% levels.

Nischint Chawathe: And any increase because of any other avenues going forward?

Rajesh Viswanathan: As you would know, Nischint, we are -- we do have a fair amount of insurance cover, which is basically a credit shield insurance, which is for the protection of the customer as well as property insurance, which is, again, from a customer perspective, a very important cover. So apart from housing and the life insurance, I don't think we intend to add any other

Rishi Anand: No, no new revenues for now at least.

Rajesh Viswanathan: And in terms of fee income also on the processing fee and as far as the log-in fees are concerned, I think we are fairly about there. There may be some movements on the fee income line because in the fourth quarter, if we aggressively collect some check bounce charges, which are accounted on a cash basis, you may get some leg up on the check bounce charges in the quarter 4.

Nischint Chawathe: Got it. And just on the spread side, you kind of did allude to the fact that there could be a small reduction in the fourth quarter. Just curious, I mean, what is really happening? You see further increase in cost of funding? What is it that you're looking at?

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Rajesh Viswanathan: So I think the main driver over there will be the yields, which will be driving it more than the cost. As we had explained in the previous calls, your book is sitting at yields in the range of about 13.9% to 14%, whereas incremental business would be done at a ratio of 40, 45 bps lower than that, which is true even now for a 9-month period.

So that is the reason where the yields will start dropping to a certain extent. However, we believe the spread movement downward will be sort of by 10 bps at the end of the quarter. So you will be probably looking at exit spreads in the range of about 5.7%, primarily driven by new acquisitions, which is happening in the field, which is happening about 40 to 45 bps lower than the book yields, right?

Nischint Chawathe: Got it. And your cost of funding from NHB is 7.8% or is the cost of funding under the subvention scheme at 7.8%?

Rajesh Viswanathan: No, this is a blended cost is 7.8%. The 25% came in at a figure of about 5.3% to 5.5% was at 25% and the balance came in at around 8.3% to 8.4%.

Nischint Chawathe: Balance you mean, non-NHB?

Rajesh Viswanathan: What NHB is now doing is, they are saying that out of the total allocation, anywhere between 20% to 25%, you can draw as AHF and the balance has to draw under the normal scheme. So 75% would have been drawn under the normal scheme, which has come in at about 8.3% to 8.4%. The 25%, which has come in under the AHF has come in at a rate of about 5.5%. Hence, the blend has come in at 7.8% incremental.

Nischint Chawathe: Got it. And your overall -- sorry, incremental cost of funds at the company level, you mentioned was around 8.2%.

Rajesh Viswanathan: That's right. For the quarter, it's about 8.28%.

Nischint Chawathe: Got it. So probably some part of the NHB fund is actually coming in at a higher rate than the incremental cost of funds for the company. That's what I think we are trying to...

Rajesh Viswanathan: That's right.

Nischint Chawathe: Sure. And just one last data point. Can you share the BT out ratio for the quarter?

Rishi Anand: So annualized, Nischint BT out was 6.3%. And I'm sure you remember, last time we spoke about various initiatives that we've taken to reduce the BT out, from a 6.7%, it's dropped to 6.3% and the efforts continue. At stable state, 5.5% is the number that we would be looking at.

Moderator: We have the next question from the line of Parth from Nomura.

Parth Desai: A great set of numbers. So sir, I'm seeing that the write-offs have been lower, which is a great thing to see. But there has been some inch up in the Stage 2 assets. So are you seeing some flows from the top buckets to the lower buckets incrementally coming ahead?

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And sir, one more question on the budget side. I understand that on PMAY allocation, there have been some disperse that the issue is not always on the supply -- demand side, a bit on the supply side too. So how do you see your growth panning out with the current budget calls on the PMAY scheme and the general round view?

Rishi Anand: Parth, you might have to repeat the PMAY question. Sorry, it was not so clear.

Parth Desai: Yes. So on the PMAY side, post the recent budget announcement and also on the on-ground checks, we see that the issue is not always on the demand side of the houses, but also on the supply side because it is not quite affordable for the builders to develop affordable houses. So how do you see things panning out on ground on the demand perspective in affordable housing segment?

Rishi Anand: So let me answer the PMAY question and on the credit cost, Rajesh will come in. See, PMAY traction -- if you remember, PMAY got launched a couple of months back, PMAY 2.0. The traction is still building

up. We, as an organization have done roadshows across over 500 branches, where it was more of an education series to the customers.

Close to about 6,700 customers have shown interest in the subsidy scheme and for applications for newer applications, which means that there is quite a bit of traction. If you also would recall in the PMAY 1, we contributed close to about 88,000 customers of ours, which is 50% -- almost 50% of our customer base had received the PMAY subsidy.

So the traction looks nice. From a perspective of MoHUA, which is Ministry of Housing and Urban Affairs, the systems are up and running. We have just last week started the process of uploading consumers who are eligible after 1st of September. They have been uploaded -- started uploading process to the MoHUA website has started. And any time soon the disbursement tranche will start.

So obviously, PMAY will play its own role. Now you also had a point on the supply side. You would have heard the FM speaking about the SWAMIH scheme, which enables construction of stalled projects, further allocation of INR15,000 crores. These are typically targeting the affordable and LIG consumer segments.

Further in the PMAY scheme one of the vertical targets, construction of affordable housing. So there is little more than happening right now on the supply side as well.

So we are very -- we are quite bullish when it comes to the EWS LIG segment in terms of both supply side and the demand side as we move ahead in the year. Credit cost, Parth...

Rajesh Viswanathan: Yes, Parth. So you're right, there has been a slight slippage in Stage 2. We are seeing about 10, 12 bps slippage in December. However, as I explained on the -- to the first caller, we expect that this should sort of get evened out as we exit March '25. Hence, we are quite confident that as we end up here, our credit cost would typically come in the range of about 25 bps.

Just to give some numbers, if you look at our credit cost line item in quarter 4 of last financial year, if I'm not mistaken, it was very flat or it was a negative number. And if we are running for

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the NPA closure numbers, which we just discussed by Rishi, I think our credit cost line item in quarter 4 will be a very benign type of a line item.

So hence, we are quite confident that this is more of a sort of a seasonal type of impact. We typically see it in quarter 3, which is a festival season, where we see some slippages typically happening because of Diwali and Dasara, which typically gets even ed out in quarter 4.

Parth Desai: Sure, sir. This provides a lot of comfort on the growth and both the credit quality aspects. And just one more question, sir, you mentioned that it is a good thing that BT outs have reduced from 6.7% to 6.3% you mentioned, right? So you also mentioned that there was a one -off on the fee income because of some schemes you ran ?

So is this a BT out lower end because of all these schemes you ran, which help you lower the fraction of customers going out? And if so, and if you expect the BT out to further improve, do we expect you to spend a bit more on such schemes to retain the customers?

Rishi Anand: No. These schemes were basically on fresh acquisitions. BT out or customer retention is not a part of this reduction. We would love to keep the BT out in the range of about 5.75% as we exit the year. It is at 6.2%. We have seen that over all industry level BT out has increased

Quarter 4 is always a very busy quarter for BT out for the entire industry. We hope to sort of get it down to a sub -6% level. I would say -- I said that we would do a good job here. We have employed all our various channels. One, we have a specified retention team, which is working on BT outs headed by a very senior person. We also have data analytics working very closely with the retention team giv

ing a clear indication of expected customers who may BT out.

And even if a customer BT outs, what is the sort of rate which can be offered to retain that customer. So in that sense, we do not give an irrational rate drop, even the rate drop is more of a risk -adjusted rate drop, which is sort of taken out by data analytics and as part of our digital initiative is given to that retention team to retain the customer.

So -- but having said that, BT out has always been an issue. We have to work around it as an industry and as a company. If we ended the year -- if we end the year at sub -6%, I think we

would have done a fairly decent job there.

Parth Desai: That was helpful. And sir, the last question, I won't take too much time. Sir, I'm expecting the MPC meeting tomorrow and expectations of any potential rate cuts, how do you see your cost of funds panning out since, let's say, you mentioned 77% of your book is floating in nature?

Rajesh Viswanathan: We also, I think public news, everyone is expecting some sort of rate action. Hopefully, there will be some drop downward. But our own assessment is that by that time, it sort of comes from the banks to us would be a lag of at least 3 to 6 months. Then it depends on where my repricing or the readjustment of the rates takes place, on 6 months, 3 months, of 1-year MCLR.

For example, if you look at it today, 1 year MCLR is about 27% of our borrowing. 6-month MCLR is 36%. So basically, it will depend on which time it comes in and when is my repricing

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happening. It may take -- in our view, tomorrow's action may flow down in 3 to 6 months and our flow down to the customer may happen post that only.

So I think -- I don't see any immediate. But having said that, once we get the benefit and once it becomes a meaningful pass back to the customer, we are obliged and we will definitely pass it back to the customer.

Moderator: The next question is from the line of Chintan Shah from ICICI Securities.

Chintan Shah: Congratulations on good set of numbers. So sir, firstly, on the margin, just to again come on the margin front. So what was the disbursement yield for the quarter, if you could just give that number and as compared to the previous quarter also, please?

Rishi Anand So quarter 3 -- as the current quarter, disbursement yield, Chintan, was 13.6%. And for the year, YTD is 13.54%. You wanted the previous quarter also last year, right, which was 13.53%.

Rajesh Viswanathan: Quarter 2 sequential quarter was about 13. -- yes, quarter 2 was about 13.53%. We have improved by about 6 bps in quarter 3 and 9 months disbursement is 13.54%.

Chintan Shah: So basically, our overall portfolio yield is 13.9%, incrementally we are at 13.59%. So probably there is some chance of a slight decline in the yield. And the rate cut probably can we expect some further cut in the yield, sir?

Rishi Anand: No. So rate drop is on incremental business, whatever we are operating at, we might not want to reduce the incremental yields further. Rate cut will eventually impact the existing book. As Rajesh just explained in the previous discussion, we will eventually have to pass on to the existing customers.

Chintan Shah: Sure. So sir, when we say floating, 77% of our assets are floating, so could you just provide the breakup of which all benchmarks are they linked to?

Rishi Anand: So for example -- on the asset side?

Chintan Shah: Both on the asset as well as the liabilities will be helpful.

Rajesh Viswanathan: Liability basically is 1 year MCLR is about 30%, 6 months MCLR is about 36%, and 3 months MCLR is 17% and balance is a combination of others. These are basically our bank term loans, NCDs which we take from DFIs which will be again floating. For example, I think that is 80% floating what we take from. So inside the 24% NCDs, approximately half of that

would be from

DFIs and half of them would be floating.

And on the asset side, basically mostly our non-home loan book would be fixed. The incremental book that we do on non-home loans for the last 12 to 18 months, we have done more of fixed non-home loans. The other portion, which is fixed is because of NHB, when NHB gives us the AHF fund, we have to fix the customer at 350 basis points more than G-SEC rate.

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So it is a combination of NHB and the NHL loans that we do. Having said that, we believe that for the foreseeable near future, we should be in the trend line of 75% to 78% fixed to floating, 75% floating and 25% fixed to 75% to 78% in the next 12 to 18 months.

Chintan Shah: Sure. Sir, I was trying to understand if there is a rate cut, so how would we have to pass on the rate cut to the customers? That I was trying to understand.

Rajesh Viswanathan: Yes. Typically, what happens is that as soon as I get a substantial rate benefit passed back to me -- and we have ALCO determined RPLR formula. We have to apply the RPLR formula. And if the RPLR formula throws that I have to pass on, say, 25 bps back to the customer, I am obliged to pass it on to the customer.

So this is a complete, very transparent ALCO mechanism, which is even checked by National Housing Bank in their inspection. So the gap between pass back to me and pass back to the customer maybe maximum of a quarter.

Chintan Shah: Sure. So basically, these are all linked to our internal benchmark and not to any external benchmark like the repo rate or the T bill, et c.?

Rishi Anand: No. All our assets are linked out to our own RPLR, the base of which is predominantly the incremental cost of funds.

Chintan Shah: Sure. So logically, we can say that largely, we are immune to the rate cut, only it could be a lead lag of a quarter or so, right?

Rajesh Viswanathan: One is a timing difference that it would be there. Obviously, the timing difference will not be from a profit strategy. It is more from making it good operational activity, and it's making it a significant portion of pass back to the customer. 5 bps pass back doesn't make sense, slightly 10, 12 bps makes sense.

Second thing is, as Rishi said, if the cost of funds -- incremental cost of funds drop, hopefully, my incremental yields will not drop that much. So you will make up some of the loss over there -- some of the yield loss over there.

Chintan Shah: That is very helpful. And just on the fee income part again. So we say, around INR7 crores, INR8 crores -- we had an impact of around INR7 crores, INR8 crores, which we had to foregone due to contest, that kind of discount to the customer on the processing fee. So is this kind of an annual phenomenon like every year would be offering like near to the festive season, Diwali time or how is it?

Rajesh Viswanathan: Yes. I think it depends on company to company in the industry. Some companies run it in the fourth quarter. We thought it opportune to run it in quarter 3. So we would -- we have run it majorly in quarter 3 and some very small residual impact you would see in quarter 4, but majority of that has gone into quarter 3.

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But this is an annual thing. Somewhere or the other in the last year also, we ran it. Probably we ran it more into quarter 4 last year. But this time we ran it, we thought it was better to run it in quarter 3.

Chintan Shah: Sure, sir. And just lastly, on the branch expansion. So we have around 34 branches we brands opened in 9 months. And so what is the target of branch opening in next year as well, if you can just get a number on that, please?

Rishi Anand: Next year? Let me first complete the current year. We already had 34 branches, Chintan. And the way it looks, we should be closing the year

at about 55 branches for the year, and we will look at similar numbers in the coming year.

Moderator: The next question is from the line of Yash from Citigroup.

Yash: Sir, just wanted to check on this collection efficiency being at 98%, 99% and just 10 to 12 bps slippage, which you saw in Stage 2 assets. So is there any specific geography, which is contributing to it? Or it's more broad -based and you see the recovery as well more broad -based?

Rishi Anand: I would say partially yes and partially no. It is broad -based, Yash. But certain geographies like, I would say, East, Kerala, etc ., they have always been on the bottom of the pyramid when it comes to efficiencies. So they continue to be at the bottom of the pyramid. But broad -based -- the entire rest of the states that we are operating which is 19 - 21 states minus Kerala and East. So we'll be at about 19 states. They are, I would say, in the similar pattern.

You can always point out Rajasthan being the better one and even when you rate Rajasthan would top, Andhra Pradesh, Telangana would top in terms of being on the right side. But broad -based, I would say, you're right.

Rajesh Viswanathan: And the recovery also, as Rishi said, would be again broad -based. So we don't see any laggards to the slippages. We believe that the recovery also will be broad -based.

Yash: Got it. And sir, on the yields part again, sorry to harp on that, but could you share the differential between the home loan and non -home loan yields, if possible?

Rishi Anand: For the current quarter?

Yash: Yes. I mean just in general, and like does the non -home loan yields also like lag...

Rishi Anand: Yes. So let me give you a YTD number for the year. Home loan is at almost 12.36%. Non -home loan stands at 16.5%. And the weighted will be 13.55%.

Yash: Great. Got it. And these are the YTD numbers, right?

Rishi Anand: These are YTD 9 months, 9 months, right.

Yash: And even on the non -home loan side of the book, the disbursement yield would be, say, 40 to 50 bps lower?

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Rishi Anand: No, non-home loan, I just told you, 16.5%.

Yash: I mean, the disbursement yield, like the incremental yields, even those would be like lower than the balance book or?

Rishi Anand: So what I gave you right now is incremental disbursement for the year. If I give you AUM, the AUM non-housing loan stands at 16.8%, and my incremental number that we gave you was 16.5%. So again, the 40 bps that you are seeing is more evident both in home loan as well as non-home loan differentials.

Yash: Got it, sir. And sir, on the spreads front, so 5.7% is what you're guiding, but on a more sustainable basis in absence of rate cuts, say, not factoring in anything, would that be the like more sustainable number? Or should see more compression in there?

Rishi Anand: I would say, Yash, as a more sustainable number or spread to be in the range of 5.6%, 5.7%, the current year exit as well as the next financial year.

Rajesh Viswanathan: See, on a sustainable basis, if you look 2, 3 years down the line, I think this will be trending. We have guided in the past also that this would be the 2, 3 year basis would be around 5.5%. Because on a growth engine method where we will be growing our book also and to grow our INR22,000 crore s, INR25,000 crore s book there will be sections where we will have to play the yield game. But having said that, we will ensure that the drop in spreads is not very sudden, and the drop in spread is a much smoother one, as Rishi said 5.7% hopefully dropping by 10, 15 bps every year. Sustainable looks in the range of about 5.4% to 5.5% in the long run, which we want to retain as sustainable.

Yash: Got it. And sir, on the -- just last on the growth outlook, it continues to be around 25%, right?

Rishi Anand: Not 25%, Yash. We've guided always 22% to 24

% AUM, which will effectively mean 18% to 20% disbursement growth.

Moderator: The next question is from the line of Sonal from Asian Market Securities.

Sonal Gandhi: Congrats on the quarter, sir. So I had two questions. So can you please give out details on the type of property finance, construction, plot plus construction, apartments, commercial venues you are doing? And the second question was on the details on the AUM mix in terms of tier of cities. So what will be the contribution coming from Tier 1, Tier 2 cities, Tier 3, Tier 4 and maybe more deeper cities?

Rishi Anand: Okay. Sonal, let me first give you the split between the type of loans that we do. So purchase of house and flat, that is ready built property is about 45%. Stand alone construction, which is self-construction is about 25%. Plot plus construction, which is combo loans, purchase of plot and construction thereon is about 6%. And LAP is about 24%. So that is a mix of type of loans that we do.

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In terms of tier, while I don't have the tier data available, as we speak, but I can give you indicative. So close to about 64% will come from Tier 1, that's how we classify our main branches. Tier 2 will be about 23%, 24%, and the balance will come from Tier 3 and below.

Sonal Gandhi: And sir, what is the employee count at the end of the quarter?

Rishi Anand: Employee count...

Rajesh Viswanathan: We'll just come back on that. Please give us a minute. The on-roll employee count is 4,450.

Sonal Gandhi: Okay. So sir, if I look quarter-on-quarter, there is not much increase in employee costs despite our disbursement being very strong. So just wanted to get some sense how should we look at employee benefit expenses? And what would be the proportion of fixed and variable for your employees?

Rajesh Viswanathan: See, to be very honest, if you look at it on a -- this is slightly broader answer I'm giving, if you look at overall employee cost, we should look at the growth of employee costs in the range of about 17% to 18% is what we would like to look at the employee cost going back. Fixed to variable depends, for example, for people who are not on incentives, who are on bonus, typically the variable would be in the range of about 20% to 25%.

And if you look at people who are on front line sales employees, this will be in the range of 50% to 55% of incentives, which they will be getting as compared to the fixed. Middle-level branch people will be again in the range of about 25% to 30% of their fixed CTC, they will be getting as variable. So middle-level management, senior management in head office, everyone will be in the range of about 20% to 30% variable. Front-line sales would be in the range of about 50% to 55% variable.

Rishi Anand: Yes, because the front line typically, Sonal, works on a concept of lower fixed and higher variable.

Moderator: The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: I just have one question. You mentioned that usually in your third quarter, given that it's a festival quarter, you see some slippages that come in and they see balancing out by 4Q. Is there any way

to quantify how much roll back do you see from 3Q to 4Q over the past so many years that -- is there a way to track that?

Rajesh Viswanathan: So on a broader basis, if you look at NPA, typically, last year, we were about 1.4%. We moved back to 1.08%. And on 1 plus, I think we exited the -- overall 1 plus, we exited at 5.45%. So we were at the end of last year -- sorry, in December, we would be at similar levels -- 6.3%, if I'm not mistaken, was our 1 plus.

And we ended the year at about 5.45%. So there was almost a 90 bps improvement in -- and this is quite common, both in the company and industry. So both on the 1 plus and a 90 -plus level, 90 plus, you would see anywhere between

around a 30 bps improvement and 1 plus, hopefully, we'll see a 90 bps to 100 bps improvement.

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Shreya Shivani: Got it. That's very useful. And one question that I wanted to ask that while you're giving us -- or while you've given us the geographical mix in terms of peers, does that peering account for the location of the customer property or for your branch? Because your branch may cover -- may end up having customers outside of that geography, right?

Rishi Anand: Shreya, the way we have structured our branches, the geo limits from any branch is about 60 kilometres. So then we say the consumer and the property, it could be more or less, I would say, 95% match. There will be consumers who will be wanting to construct houses in their hometown, etc, that will hardly be about 4%, 5%.

Shreya Shivani: Correct. So mostly, there's a big overlap between your branches and customers because people taking loan from a particular branch and going 300 kilometres away and building...

Rishi Anand: No, that doesn't happen. If that happens, Shreya, then we would direct the customer to the closest branch office.

Moderator: The next question is from the line of Rudransh Kalra from MB Investments.

Rudransh Kalra: To be honest, Aadhar is generally seen as a high -growth company. I personally I'm not -- I was expecting some better numbers. Do you think in the coming quarters, the growth is going to be higher? And then the other question is what do you think going forward are going to be challenges and triggers -- positive triggers for your company?

Rishi Anand: So thank you for the compliment of us being a high -growth company, but that brings challenges on the table too because when you are on a higher base, the percentage growth might not jell with the kind of expectation the market would have. Having said that, I've already indicated, as I already indicated on the call twice, we would continue to grow our AUM at about 22%, 24%. So that's the growth number we are looking at.

And quarter -on-quarter, the numbers can move percent -- a couple of percentages here and there. But overall, on a yearly basis that these are the kind of AUM number growth that we are looking at. In terms of challenges, we actually don't foresee too many challenges coming in. From the budget, we had expectations. Pre budget, we got things like mortgage guarantee scheme coming in. PMAY is already there.

SWAMIH Fund got announced in the budget. So all this is going to boost both the supply side and the demand side. At the company level internally, the only challenge we see and which worries us a little bit is getting down the balance transfer out, which is an industry problem, not only a problem at Aadhar to get down this number from a 6.3% to 5.5% -5.7%, which is the comfort level. And we are aggressively working towards it. So that's the only challenge that I see. Otherwise, things are looking good and shining.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

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Rishi Anand: Thanks a lot for all of you for joining this analyst conference late in the evening at 6:30 pm.

Thanks a lot, and I hope we have been in a position to answer most of the questions, and we look forward to hosting you all again at the end of the financial year. Thank you, and good night.

Rajesh Viswanathan: Good night, all of you. Thank you so much.

Moderator: Thank you. On behalf of Investec Capital Services, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2025

Date: May 12, 2025

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001.
Security Code: 544176
Security ID : AADHARHFC To,
National Stock Exchange of India Limited
Listing Dept., Exchange Plaza, 5th Floor, Plot No.
C/1, G. Block, Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 051

Symbol: AADHARHFC

Kind Attn.: Listing Corporate Relationship Department

Sub:- Transcript of the Earnings Conference Call for the Financial Year ended March 31, 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our prior intimation dated April 25, 2025 please find enclosed the transcript of the Earnings Conference Call on the Financial performance of the Company for the Financial Year ended March 31, 2025 held on Tuesday, May 06, 2025:

The above information is also available on the website of the Company and can be accessed at:

<https://aadharhousing.com/disclosures-under-regulation-62-of-the-sebi-lodr-regulation-2015-pdf/schedule-of-analysts-or-institutional-investors-meet-and-presentations-made-by-the-listed-entity-to-analysts-or-institutional-investors>

The above is for your information, records and dissemination please.

Thanking you.
For Aadhar Housing Finance Limited

Harshada Pathak
Company Secretary and Compliance Officer
Encl.: As above

CC:- Debenture Trustees-
1. Catalyst Trusteeship Limited
2. Beacon Trusteeship Limited

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"Aadhar Housing Finance Limited Q4 & FY'25 Analyst
Conference Call "

May 06, 2025

MANAGEMENT : MR. DEO SHANKAR TRIPATHI - EXECUTIVE VICE
CHAIRMAN
MR. RISHI ANAND - MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER
MR. RAJESH VISWANATHAN - CHIEF FINANCIAL
OFFICER
MR. SANJAY MOOLCHANDANI - HEAD (FINANCIAL
PLANNING)

MODERATORS : MR. AJIT KUMAR - JM FINANCIAL

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Moderator : Ladies and gentlemen, good day, and welcome to A adhar Housing Finance Limited Q4 & FY'25 Analyst Conference Call hosted by JM Financial Institutional Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on the touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ajit Kumar from JM Financial. Thank you, and over to you, sir.

Ajit Kumar: Thanks, Rutuja . Good evening, everyone. On behalf of JM Financial, I welcome everyone to 4Q FY'25 Earnings Conference Call of Aadhar Housing Finance Limited.

From the Management Team , we have with us today Mr. Deo Shankar Tripathi – Executive Vice Chairman; Mr. Rishi Anand – MD & CEO ; Mr. Rajesh Viswanathan – Chief Financial Officer; and Mr. Sanjay M oolchandani – Head, Financial Planning.

We will start with opening remarks, and then we will open the floor for Q&A. I'll now hand over the call to MD & CEO, sir, for his opening remarks. Over to you, sir.

Rishi Anand: Thank you so much, Ajit. A very good evening, ladies, and gentlemen. On behalf of Aadhar Housing Finance, I extend a very warm welcome to all of you.

This year has been a landmark in our journey defined by strong performance. We are proud to announce that our AUM has reached INR 25,531 crores, representing a remarkable year -on-year growth of 21%. This outstanding milestone not only reflects our continue d momentum, but also reaffirms our leadership position in the Affordable Housing Finance sector. We have consistently delivered a strong performance in every quarter while maintaining our position in the Affordable Housing Finance industry. This sector has seen substantial growth this year with strong support from government and rise in demand for affordable housing. We believe affordable housing will continue to be the cornerstone of India's housing finance industry.

Moving on to Aadhar's performance for the Quarter and for the Financial Year ended 2025 : We clocked an AUM of INR 2 5,531 crores , crossing a key milestone of INR 25,000 crores, a significant growth of 21% Y OY. We continue to maintain our position as India's leading low -income housing finance provider. Disbursements stood strong at INR 8 ,192 crores, a growth of 16% YOY .

Quarter 4 disbursement at INR 2,556 crores has shown a growth of 18% YOY and growth of 21% YOY in Quarter 4 PAT at INR 245 crores . While maintaining this growth momentum, we Aadhar Housing Finance Limited

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continue to focus on maintaining our book quality. Our portfolio continues to be entirely focused on retail secured loans with nil exposures to corporates and developers.

Our GNPA has declined by 3 bps to 1.05% on Y OY basis, supported by a stable collection efficiency of 100% plus. Our average loan -to-value ratio is at 59%, majorly catering to the salaried segment constituting 56% of our portfolio with an average ticket size of INR 10 lakhs. Home loans make up a substantial majority of the AUM, accounting for 74%, while non -home loans is the remaining 26% .

Our deeper impact strategy has been instrumental in driving both meaningful outreach and operational efficiency. By focusing on high potential underserved regions, particularly smaller districts, and Taluk as, we have been able to scale our presence effectively while maintaining a lean operational structure. This has translated in aligning our long -term objectives of sustainable growth and prudent resource allocation.

As highlighted in the last quarter, the strategy has not only strengthened our foothold in these target segments, but also laid a strong foundation for

our future expansion.

On geographical front – our geographical footprint has shown substantial growth over the past year, now spanning to 21 states and covering 545 districts, supported by a robust network of more than 580 branches. In FY'25, we added 57 new branches, which has significantly enhanced our capacity to serve a wider customer base, which has now reached 2.99 lakh live customers. Another milestone we have achieved this quarter is our entry to the Northeast with its first branch in Guwahati, marking a pivotal step in our mission to provide homeownership accessible to the underserved communities. Our expansion to Guwahati aligns with NHB's vision of financial inclusion and Government's "Housing for All" mission.

Our portfolio remains well diversified with no single state accounting for more than 14% of our total AUM. This balanced exposure underscores our prudent risk management approach while supporting our strategic goal of sustainable and inclusive growth.

On technology front – we have led from start by leveraging our TCS -enabled core system to fully digitize our processes. We have implemented advanced data science solutions to streamline operations end -to-end. Over the past 4 years, we have focused on expanding data insights across teams, starting with basic reporting and evolving towards advanced analytical support for better decision -making.

With this strong foundation in place, we are now moving towards deeper insights through AI and machine learning, unlocking smarter, more transformative outcomes. This shift will further enhance data quality, governance, and compliance.

On the liability side, we continue to focus on our diversification strategy. And in the quarter 4, we have explored ECB as an option. Rajesh will be speaking a little more about it.

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The Affordable Housing Finance sector has witnessed a strong growth momentum in the recent quarters attributed to urbanization and rising demand for housing loans, along with significant push given by the government. Union Budget 2025 provides a strong boost to the Affordable Housing Finance sector through measures that directly benefit institutions like us. Key initiatives such as reduced personal income tax rate, enhanced funding for Pradhan Mantri Awas Yojana , revival of the interest rate subsidy scheme, credit guarantee program and allocation to the SWAMIH fund are designed to increase home loan accessibility and affordability for low- and middle -income groups.

To conclude – I would like to emphasize that Aadhar Housing Finance stands well positioned to continue its growth journey backed by a strong operational foundation, expanding footprint and robust technology infrastructure. With supportive government policies, rising demand for affordable housing and our commitment to the financial inclusion, we are confident in sustaining our leadership in the sector. As we move forward, we remain focused on delivering value to our stakeholders while deepening our impact in underserved communities.

I would now like to hand over to our CFO, Rajesh Viswanathan, to take you through the financial performance of the quarter and the year.

Rajesh Viswanathan: Thank you, Rishi, and good evening, everyone.

I would like to take you through the Financial Performance of Q4 FY'25 and Full Year 2025 :

As we exited FY'25, our AUM has grown by 21% on a YOY basis. And as Rishi said, we have crossed the mark of INR 25,000 crores, and we are the first low -income housing finance company to do so. Our overall borrowings as at 31st of March 2025 stood at INR 16,388 crores compared to INR 13,960 crores as at 31st March '24.

The borrowings has grown by 17% on a YOY basis. The borrowing mix as at 31st March '25 is 53% from banks. NHB share is 23% , NCD share is 21%. And as Rishi said, we have done our first ECB issuance and the ECB share is 3% .

The

ECB that we did was for US \$50 million. We did it in Quarter 4 FY'25 and this is a fully hedged transaction that we have carried out. This is carried out at a SOFR plus 156 bps and the full all -in hedged cost comes in around 8.1%.

Our incremental borrowings for FY'25 stood at INR 5,024 crores. We have around 43 borrowing relationships among national housing bank, banks, housing finance banks, mutual funds and DFIs. We have drawn INR 1,100 crores from NHB in FY'25, of which the affordable housing fund share is around 16%. The blended cost at which the INR 1,100 crores was borrowed was around 7.9% . The overall exit cost of funds at FY'25 stood at 8.2%.

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In terms of fixed and floating nature, 79% of our borrowings is floating and 76% of our assets are floating. Undrawn sanctions as at 31st March 2025 is INR 891 crores.

Liquidity , as at the end of the year stood at INR 2,200 crores, which is about 10.7% of the loan

book. The portfolio yield for the full year as we exited was about 13.9%.

In terms of spreads as we exited, we have exited at a spread of 5.7% is what we had also highlighted in our previous calls.

Our cost -to-income ratio for FY'25 stood at 36.4% as compared to 37.5% in FY'24. As we had mentioned in our earlier calls, we were looking at reducing our cost to income in the full year on 80 to 100 bps, and we have shown improvement of 104 bps. Further, as you would note, there is a movement in the overall OPEX in Quarter 4 as compared to Quarter 3. But as we have indicated in prior calls, what we have done is we have tried to spread OPEX to a great extent among Quarter 3 and Quarter 4 to ensure that there is no lumping up in Quarter 4. This was, as you would remember, had happened in last year Quarter 4.

Compared to that, in this year, the OPEX, which is basically the contest that we run from periods of November to March is spread over 2 quarters. GNPA as at 31st of March is 1.05%, and this is one of the best performances in terms of GNPA in the last 3 to 4 years that the company has demonstrated. There is an improvement of 3 bps of GNPA on an AUM basis.

The provision coverage ratio on Stage -3 currently stands at 34.5%. Capital adequacy ratio for FY'25 is 44.1% and Tier 1 and Tier 2 is 0.5%. For FY'25, the overall full year PAT came in at INR 912 crores compared to INR 750 crores in FY'24. Overall growth is 22%. PAT for Quarter 4 FY'25 stood at INR 245 crores versus INR 202 crores in Quarter 4 FY'24, which is a growth of 21% on a Y OY basis. We are focusing on maintaining a healthy book and delivering consistent performance on a quarterly basis.

With that, we can open up for questions.

Moderator: Thank you very much. We would now like to open the question -and-answer session. The first question is from the line of Renish from ICICI. Please go ahead.

Renish: Hi sir. Congrats on a good set of numbers. Just 2 things. One on the asset yields. So typically, in a falling rate cycle, there are 2 -3 moving parts. One of those is the BT-out rate then the PLR change and also the competitive pressure because generally the prime housing loans will get repriced lower and lower in line with the repo rate cut. So if we look at our yields in Q4 exit, how do you see yields are settling, let's say, over the next 2 to 3 quarters, considering all these 2-3 moving parts?

Rajesh Viswanathan: I think, Renish, if you look at our overall book yields, it has been quite consistent on a quarterly basis for the last 3 quarters. And as we had said, the full year yields are around 30 bps lower

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than the book yield. So in quarter 4 also, we have been quite good at managing to get incremental yields of around 13.5% to 13.55%, which is quite similar to what we had in Quarter 3. Yes, BT, as you correctly said, some of the prime housing finance companies

obviously do a lot of

aggressive BT-in Quarter 4. And the BT-out rate as we exited the year, we had a 6.5% BT-out, which was a drop from 6.9% in Quarter 4 of last financial year. So to that extent, some of the steps that we had taken on BT-out is something that has helped us to stem the BT-out to by about 50 bps on a quarter -on-quarter basis.

Renish: But I mean, let's say, in a scenario where there could be higher BT-out rates going ahead and in order to sustain 20% plus growth obviously we have to get into the price war. So in that scenario, I mean how comfortable or confident we are that we will be able to sustain this yield of 13.5.

Rishi Anand: So Renish, I can come in here. Rishi here. So Renish, as Rajesh said, we have taken multiple steps already with our central retention team in place, multiple other measures with respect to data analytics pooling in into the retention team. So all those measures have been taken and we can see initial results at 6.9% to closer to 7% falling to about 6.5%. Vision is to take it to a annualized number of 6%. What we have also interestingly done is and you are right, in the way you are looking at it, what we have done is to protect ourselves, we have now divided the country into something and that is effective this financial year. But I don't mind speaking about it right now into urban and emerging locations. So the top 15 cities which will contribute about 100 branches of ours is now urban which contributes to my topline and in emerging we have 3 categories of branches which is typically about 400 odd branches, so emerging A, B and C. And the strategy is for urban and emerging A,B, C for all 4 kinds of different location is completely different. When I say strategy I mean the ticket size, I mean the yield, I mean the BT-out strategy, the branch strategies, all the strategies for every branch category is different. Illustratively let us say emerging C location on which will be typically a Tier 4, Tier 5 location. I have a maximum ticket size cap, I have a BT-out cap, I have incremental yields which will be much higher than what an urban and emerging will be given to me. So as we move ahead, I think this strategy of ours which is going to play a big role in defining how Aadhar is going to maintain its current levels of spreads or even BT-out for that matter.

Renish: Got it. Rishi sir, just a request, would you be able to share the yield difference, let us say between urban and emerging, A, B, C, I mean, there will be 40 -50 basis points of rate difference between

each location or how is it?

Rishi Anand: While this is, as I told you it is 1st April, but I will indicatively give you the differential in yields overall. You can just bear with me for a second.

Rajesh Viswanathan: Renish, we will come back to you. We will just pull it and we will come back to you in the call and we can take up the next questions, if you don't mind?

Renish: Okay, sir. So sir, second question, again from the asset quality. So obviously this quarter we have seen a very sharp recovery. But when we look at the Stage -2 assets, that has been steadily

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increasing with it stacking at 4% as on March '25 versus 3.8% December quarter and 3.6% last quarter last year. So is there any specific reason or this is just a quarterly movement here and there?

Rajesh Viswanathan: I think, honestly Renish, we should not read too much into Stage -2. Honestly, as a company we have been a company which shows a lower NPA and higher Stage -2 always. There is also one more thing which I would want to share because, included in Stage -2 is some of our assets which were one-time restructuring we had done at the time of COVID. So on this basis, what you call it, conservative basis, we provide a provision of 10% and we also show them at Stage -2 though they are Stage -1 assets. So the impact of that is anywh

re between 0.6% and 0.7%. So of the total Stage -2 that you are seeing, 4% about 0.6% to 0.7% will pertain to assets which are actually Stage -1, but we show it under Stage -2 because we carry a Stage -2 provision as per RBI mandate of 10%. It is about 4 year since restructuring has happened on account of OTR. So probably somewhere in FY'26 we may take a view or a call of moving this back into Stage -1.

Renish: Got it. But all these accounts are regularly paying accounts?

Rajesh Viswanathan: Yes, this 0.6% to 0.7% which I have mentioned are actually Stage -1 in terms of actual DPD, but I classify it under Stage -2 for the purpose of reporting.

Rishi Anand: So Renish, if I can now, I have the data on the yield that you have required. If I can indicatively tell you, your urban location yield will be in the range of 12%. Your emerging A,B,C as I told you will be in the range of 14% to 16%. And that is how the combine 13.5 %-13.6% yield is.

Rajesh Viswanathan: And as Rishi said, the reason of us going on emerging A, B and C is primarily to ensure that our next year yields also fall into the same range as we exited in the current financial year. So we would like to maintain yields at similar levels, may be minus 5 to 6 basis points, but otherwise we would like to maintain at similar levels.

Renish: Got it. This is actually very helpful, and this is what sort of we wanted to get a sense of yields. Thank you very much and best of luck.

Rishi Anand: Thank you, Renish.

Moderator: Thank you. The next question is from the line of Yash from Citigrou p. Please go ahead.

Yash: Hi sir, Thanks for taking the question. Sir, on the borrowing side of the almost 79% -80% of the floating rate borrowings, can we get the split on like what's the benchmark they are linked to? And what could be the quantum of improvement, which we can see in sort of 1Q of FY'26?

Rajesh Viswanathan: So if you look at it on the total bank borrowings or even on the total borrowings, if you see, about 18% of them will be linked to short-term rates like repo or T bill s. So for example, let's take the bank borrowing, out of the total bank borrowing, approximately 18% is linked to either

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repos or T bills, where obviously, the pass on will be almost immediate. We are, for example, out of the total borrowings, 1-year MC LR is 20% and 6-month MCLR would be 30% and 3 months will be a further 30%. So in that sense, it is widely distributed and only about 18% is where we get immediate benefit. The bigger benefit will obviously start coming in when the MCLR starts moving. And what we have seen is that 2 rate cuts have happened, and we have not seen much movement in the MCLR. So honestly, I do not see MCLR moving the needle so much at the end of 1Q. Maybe in this in Quarter 2 that we will see some movement in MCLR, which will happen as a pass back to us. Maybe MCLR headline of the banks may change. But by the time it gets passed on to us, depending on whether we come into a 3-, 6- or 12-month MCLR resets, probably we see it happening somewhere in Quarter 2. As far as the interest rate drops are concerned, I think a lot of public experts have spoken on that. And as and when the drop happens, approximately 18% benefit comes immediately to us. In terms of fixed and floating, as I said, approximately 74%, 75% of my assets are also floating. and we calculate RPLR on a continual basis. And as and when the RPLR needs to get passed on, as per the mandate of the ALCO and the Board, we will pass it on to the customers. So we don't see much of a benefit on any movement in interest rate because our borrowing floating and our asset floating are more or less on a matched basis.

Yash: Okay. So basically from 2Q onwards, you would see some meaningful drop in borrowings, but it might get offset with yields?

Rajesh Viswanathan: And yes, to be very honest

, you may have a lag effect before we get a benefit and we may pass it on. But beyond that, I don't think neither we are building anything internally also on that.

Yash: Got it. And sir, second, on the asset quality more from the MFI exposure. I believe in the last call also, we have indicated around 9,000 -10,000 customers with MFI overlap. And now with the Tamil Nadu thing coming in, so any risk to the customers there? I believe we have around 56 or 57 branches in there. So anything incremental from the states we could see given the MFI exposure?

Rishi Anand: Yes, you're right. Our numbers were about 9,000 -odd customers, 9,096 customers who had MFI exposure. That number has dropped to about 7,077 customers now. So loans have been foreclosed. As regards to Tamil Nadu, I think it is too early to read what is going to happen. Yes, we have branches. As we speak today, things are perfectly okay. Our recovery efforts wherever applicable are completely online. The complete support from the government machinery like the DMs or the police wherever assistance required has been coming in even as close as today morning. So we don't see any issue happening as we move ahead.

Yash: Got it. That is it sir from my side. Thank you so much.

Rishi Anand: Thank you, Yash.

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Moderator: Thank you. The next question is from the line of Sonal from Asian Market Securities. Please go ahead.

Sonal: Thanks for the opportunity, sir and congrats on the quarter. Just I had one question on the yields. So when we look at it as a percentage of average assets, it has come down to 12.8%. So there is some drop. But the reported numbers, they stand pretty much similar at 13.9%. So what kind of explains this difference?

Rajesh Viswanathan: I think to be very honest, I would want to see the number that you're quoting 12.8%, I wouldn't be able to. So if we can take that offline and you can probably share it with us, and we'll be more than happy to help you on that.

Sonal: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Abhishek Kumar Jain from AlfAccurate. Please go ahead.

Abhishek Kumar Jain: Thanks for opportunity and congrats for strong set of numbers. Sir, in disbursement and AUM side what is your growth target for FY'26?

Rishi Anand: So Abhishek, in terms of growth targets or guidance we will maintain our AUM guidance of 20%-21%, disbursement growth of about 18% -19% and a PAT of about 20% -21%. And on the NPA front we believe that we should be around 1.10% to 1.15%.

Rajesh Viswanathan: That's right.

Abhishek Kumar Jain: And from where you are targeting this much of growth, basically on the emerging market or in your existing ?

Rishi Anand: So our primary growth is going to come from emerging markets. As I explained during the previous call er, emerging is going to contribute higher composition of our growth.

Abhishek Kumar Jain: And what is the current urban versus rural mix of your loan?

Rishi Anand: We don't do rural , Abhishek, just to clarify. We do only urban. Urban and emerging split , I can tell you is about 55% current is from the urban locations and the balance is from the emerging locations. And we would look at maintaining 55% should eventually in a couple of years should go to about from emerging and 45% from urban , so it will reverse as we move ahead.

Abhishek Kumar Jain: And how is the demand situation , urban versus rural at this point of time in affordable housing?

Rishi Anand: So demand, whether it is urban or whether it is emerging, not rural again, it is more or less similar. It is all about how do we reach there, where is competition playing a larger role? For

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example, in urban locations, competitors will play a larger role. And the moment you move to emerging A , B, C kind of locations that I

just explained, the competitive intensity goes down.

Hence, the probability of higher conversion ratios applies in emerging locations.

Abhishek Kumar Jain: Okay, sir. Thank you. That is all from my side.

Rishi Anand: Most welcome.

Moderator: Thank you. The next question is from the line of Siraj Khan from Ascendant Capital . Please go ahead.

Siraj Khan: Thanks for the opportunity and good set of numbers. So sir, first question is with regards to the credit cost. Credit cost for Q4 was elevated. I mean, compared YoY . last year Q4, we had a recovery, negative number. This year, we have a positive number . So I wanted to know, are there any write -offs, elevated write -offs, technical write -offs of that sort?

Rajesh Viswanathan: No. This is not on account of write -off as it was asked by one of the analysts, this is primarily because of the movement of Stage -2, because Stage -2, if you look at it on a year -on-year basis would have moved by about 30 bps-40 bps . And second is basically your standard asset provision would have increased because the AUM increases significantly in Quarter 4. Last year, the Stage -2 improvement was fairly significant in Quarter 4 versus Quarter 3. That is why there was a reversal of provision in Quarter 4. This year, that much benefit didn't flow through in terms of Stage -2 improvement. And that is why we are seeing a small credit cost of about INR 5 crores, INR 6 crores going into the P&L

Siraj Khan: Okay. So in Q4, we will not have any write -offs basically?

Rajesh Viswanathan: There will be standard write -offs, which, for example, if you sell an asset, for example, if there's a haircut of 10% on an asset sale, that 10% write -offs will happen. We have not taken any additional provisional write -off or prudential write -off, which we take. Normally, we take prudential write -off once a year. We have not done anything of that sort in Quarter 4.

Siraj Khan: Okay. So I want that number. So what was the Q4 write -off and FY'25 write -off?

Rajesh Viswanathan: This would be approximately INR 8 crores to INR 9 crores in Quarter 4.

Siraj Khan: Full year?

Rajesh Viswanathan: INR 32 crores would be the full year.

Siraj Khan: Okay. That's for the asset quality. One more question, another I had was on the sourcing, specifically in the Southern region. So many of the peers that have seen that is there in the Southern market, they have seen that Tamil Nadu market has seen a little bit of a slowdown.

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Karnataka is also facing some issues. Even Madhya Pradesh, there were some NBFCs showing that there is some tremors of very, very low level this thing, there is some asset quality issues. Are we seeing anything in these markets, Madhya Pradesh, or maybe Southern area? Anywhere in across of our states, we see some asset quality issues, maybe early signs in 30 DPD, 60 DPDs, anything of that sort?

Rishi Anand: So since you mentioned Siraj, certain states, Tamil Nadu, we are not seeing any issue as I see the numbers, Karnataka, no issue. Andhra Pradesh on a growth trajectory, Tamil Nadu on a growth trajectory. The states , and if you recall in the last quarter also, I mentioned the states, which historically have been a poor credit behavior, continue to be poor credit behavior, which is typically east of the country. You have Kerala. They continue to be bad. Madhya Pradesh, again, a growth trajectory, complete growth trajectory, no early indications from any of the states that you mentioned, neither in bouncing any negative indications nor in 1 plus nor in NPA.

Siraj Khan: Okay. And finally, on OPEX . So year-on-year cost to income has also come down. So what are the drivers that we will get this further lower? What is the target with respect to both cost to income and OPEX , OPEX to AUM?

Rajesh Viswanathan: I think when we reduce 120 bps of cost to income, I

think I have said that we want to reduce

about 150 bps in 2 years, to be very honest. And we have already done about 120 bps in year 1. I think to be very honest, next year, we will have around 30 to 50 bps sort of a drop in cost to income. The driver over here predominantly is that majority of our expansion has already happened. And the incremental expansions that we do over 50, 60 branches expansion that we do, about 60%, 65% of the branch expansion will happen in emerging B and C, which are smaller offices. and where the cost of OPEX of setting up these offices are predominantly lower and the remaining 30%, 35% will happen in the bigger offices. And the second thing is, obviously, since we have invested significantly 3, 4 years back in data analytics as well as in technology, the benefit of that is seen right across the company, whether it is sourcing, whether it is credit, the number of files that they can handle, technical in terms of turnaround time. So basically, the sheer productivity, not only of the sales guys, but also of the non -sales guys has stepped up. So that is the reason for the incremental Rs. 100 of business, the OPEX that I had to probably put in 3 years ago is not the same. Obviously, we are seeing benefits of productivity. And that is a driver that we constantly work on, whether it is frontline sales productivity or productivity right across all the business support functions.

Siraj Khan: Understood. Just a few statistics if you could provide what was the log in to sanction and the sanction to disbursement ratio for the year and the files per officer.

Rishi Anand: Files per officer or volume per officer ?

Siraj Khan: Yes.

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Rishi Anand: The third number I will try and pick up. But login to sanction was 60% and sanction to disbursement was 62%.

Siraj Khan: Okay. And the corresponding last year number if that is readily available?

Rishi Anand: The previous year, it was the log -in to sanction was 61.8% in FY'24. In FY'25, it is 60, sanction to disbursement was 62.5 and in '25, it is 62. So more or less similar in terms of numbers.

Siraj Khan: And the volume per employee, the officer, file number, if possible?

Rishi Anand: For the sales, right?

Siraj Khan: Yes.

Rishi Anand: For the sales, it is 1.15 per sales officer. This is for the frontline sales.

Siraj Khan: Yes, understood. ROs you are speaking about, right?

Rishi Anand: Yes, that's right. You got it right.

Siraj Khan: Thank you.

Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh: Thanks for the opportunity. On credit rating, how is the conversation with the credit rating agencies on possibility of credit rating upgrade? That is my first question. And then I have some data keeping questions.

Rishi Anand: Okay. So credit rating, as also informed, Nidhesh, earlier, we are already engaged with both the credit rating agencies. And I don't foresee that this rating upgrade should be prolonged for too long, while obviously, it is a decision that will be taken at their management level or the rating committee level. But we have had good rounds of meetings even as last as last 15 days. So that's the update.

Nidhesh: Sure. Because in terms of size and other financial metrics, we are doing quite well. And we have also reached gross INR 25,000 crores of size.

Rishi Anand: That's what both the rating agencies also tell us. So I will leave it up to their judgment.

Nidhesh: Second, if you can share incremental yields and incremental ticket size, loan size for Q4, incremental yields and incremental loan size?

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Rishi Anand: Incremental yields has come in around 13.45% and the incremental ticket size on a blended basis is INR 13 lakhs. HL is about INR 15 lakhs and INR 9 lakhs

is nonhome loan.

Nidhesh: And in terms of sourcing mix for the full year or for the quarter, if you can share the sourcing mix between in-house, DSA and connectors?

Rishi Anand: The split I will pull out, but broadly, if I can tell you, in-house, which was 54% last year, has grown to 59%. So almost 60% is now in-house. And the balance is external split between DSAs and connectors.

Rajesh Viswanathan: So of the 41%, your corporate DSA would be in the range of about 25%, the balance would be what we call connectors or retail DSA. A point that we wanted to mention over here is our Aadhaar Mitra program, which if you remember, we have been always talking about it for the last 3, 4 years. We have seen good traction in our Aadhaar Mitra offtake and the disbursement contribution by Aadhaar Mitra now is almost touching 30% for FY'25. To put it into perspective, in FY'22, it was about 22%. And FY'24, it was again about 22%. So there has been a significant movement both in the number of Aadhaar Mitras that we have and the contribution that Aadhaar Mitras are making to the overall disbursement mix. As you would know, Aadhaar Mitra is only a referral model where the case is actually closed by my internal sales team. And hence, these are all counted as internal businesses.

Nidhesh: Okay. So 59% internal includes Aadhaar Mitra?

Rishi Anand: Yes, Aadhaar Mitra is a referral program of providing leads to my internal channel. It is just a lead provider.

Nidhesh: Sure. And sir, last question is that if you look at 1.15 per sales officer, what are the steps we are taking to improve this? Because this productivity for an industry level also the productivity is broadly here only. But then, let's say, we want to build a INR 50,000 crore book, etc. this could become a bit of a constraint for reaching that particular scale because then we will require thousands of employees. So how are we thinking about improving this productivity?

Rishi Anand: See, the direct correlation of this 1.1 file per sales officer is linked to the attrition rate of the company and we've realized that and we understand the data, we understand the psyche of our front-end employees. We have launched multiple programs right from handholding to internal schemes of the growth trajectory, etc., just to ensure and we've seen early results, early positive results, at least in the last 3 quarters that we've been doing this, our attrition rates have dropped. The moment the attrition rates drop and if I were to look at numbers in the current quarter or the last month, for example, they have gone up, I'll not say substantially, but you can see a trajectory moving northwards. So it is directly correlated to attrition. We have started adjusting attrition,

which will eventually lead to a higher file per RO.
Nidhesh: Sure, sir. Thank you, sir. That is it from my side.
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Rishi Anand: Thank you

Moderator: Thank you. The next question is from the line of Abhishek M from HSBC. Please go ahead.

Abhishek M: Thanks for taking my question. Can you give a sense of the balance transfer that you are seeing? So how much is getting BT-out right now? And has that increased or remained the same over the last, say, 1 year?

Rishi Anand: So Abhishek, our balance transfer out annualized for March is 6.49%, which has dropped from a previous year. Previous year, it was 6.93%. So from 6.93% it has dropped to 6.49%.

Abhishek M: This is on the number of files. So if you are holding 100 files, 6.9 are getting BT-out or 6.4 or is it from value?

Rishi Anand: This is AUM, value.

Abhishek M: Right. So see, as per my understanding, a lot of larger HFCs are trying to build an affordable housing book, and they are trying to approach customers who have been with you and your peers for 2, 3 years, good track record, and they are able to offer lower rates given th

eir own lower

cost of funds and OPEX and all that. So is that not increasing in instance and that is why your BT-out trade is coming down? Or is it some calculation thing that is contributing to this? I just wanted to understand how you're able to retain these many customers, when the competition from large peers is increasing?

Rishi Anand: Yes. So there are multiple things, Abhishek, that plays around when BT-out is spoken about.

One is internally, we have taken multiple measures, right, from having a centralized retention team to data analytics contributing towards highlighting the consumer as red, green, and amber, etc. So there are multiple things from a data analytics perspective that has gone to the retention team. It's a centralized retention team operating out of Mumbai. So any customer across the 600 branches that process a branch for a BT-out is immediately redirected. We understand the reason of his BT-out, if it is yield, good customer, green tagged customer, we look at our own spreads and accordingly, maybe look at the customer, if he needs top up, based on our policy, we look at top up. That is one. Second is while you mentioned large housing finance companies, etc. everybody has a certain risk appetite, as we understand. There are certain large companies who are not very comfortable with a certain credit score. There are companies which are not comfortable with self-employed, no income proof underwriting. There are certain large housing finance companies not comfortable with the kind of properties my consumer buys. It is a mix of a lot of things, a generic statement that one large company can come and take away BT. No, it doesn't work like this. It is a combination of all these 3 things. Third, when we talk about larger companies looking at our consumers, this is primarily going to happen only or is happening, I would say, primarily in the emerging A and urban locations and that's why our shift in strategy emerging B, C. So that is going to balance out completely. And that is actually already, you can

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see the numbers panning out. For example, versus the last year, as I quoted, almost 7% of our BT-out has fallen to about 6.5% today.

Abhishek M: Yes. Thanks for that. That was very comprehensive. So another quick question on your sourcing mix. So you explained that almost 59%, 60% internal and the rest is through your channel partners. Even in an internal, you have this Aadhaar Mitras. Can you sort of pinpoint which is the fastest-growing channel? Is it Aadhaar Mitras and that's because you've added a lot of Aadhaar Mitras and that is helping the growth of 54% going to 59 entirely driven by that? Or there a reliance more on your internal teams as well.

Rishi Anand: Yes. my fastest growing 2 channels, Abhishek, are Aadhaar Mitra and my direct sourcing. Both of them combined are the fastest-growing channels for me today.

Abhishek M: Understood. Thank you so much for those two answers. Thank you and all the best.

Rishi Anand: Thank you, Abhishek.

Moderator: Thank you. The next question is from the line of Parth from Nomura. Please go ahead.

Parth: Congratulations on a good quarter, sir. So just 2 basic questions. You mentioned that the share of emerging markets is going to improve going ahead to 55% from the current levels of 45%.

And we also see good traction in the non-home loan segment. So do you see any incrementally improving impact on the yields with the growth in these 2 segments and geographies? And apart from that, since you will be growing in the emerging market segment, can we expect some improvement in the share of self-employed customers and EWS /LIG customers and this will be detrimental to the credit cost?

Rajesh Viswanathan: Yes. I think as we explained, overall, the strategy of moving into or splitting the business into urban and emerging 1, 2, 3 is to maintain the healthy yields that we currently have. So I think

the idea is to maintain the yields that we currently have. To be very honest, we don't expect the yields to grow significantly from where we are currently. Maintenance of the yields itself is a fair achievement. Whatever benefit we get from emerging B and C is where the yields will be slightly more stronger. If the business of that starts growing significantly in year 1 and year 2, that is where you may see some traction. But for that, we also have urban locations where competition will be high. So it's a sort of a setup that we have. That's why I'm saying holding yields is a fair assumption. The second question that you had was on consumer profile. See, consumer profile, what is going to happen is as we move ahead in this strategy, our self-construction business will go up. Our self-led business will go up because the more you focus on emerging B and C locations that these are smaller district centers where more of self-employed customers are available, which gives us an upside on managing. So, what are we trying to protect by doing broadly if I can give you a couple of points. One is we are trying to protect our ticket size, emerging locations, urban locations where the ticket size moves northward, cost of construction is high, cost of labor is high, so on and so forth. And the emerging locations, the Aadhar Housing Finance Limited
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cost of construction is comparatively lower. So I will be able to manage my ticket size. And as Rajesh explained, urban locations, you will have slight contraction on yields on spreads, whereas in emerging locations, that's where you will be able to manage. So a complete balance on ticket size and complete balance on spreads is what urban and emerging is going to give you.

Parth: Sure, sir. That is helpful. Sir, just another question was on the fact that since you will be looking in the emerging segment, do you see a rise in the EWS and LIG income group and will it have any impact on the credit cost side?

Rajesh Viswanathan: First, let me clarify to everybody on the call, including Parth you, that we are already in these locations. We are not going to these locations. What I have done is I have split my 600 branches that I'm available today into 2 categories. So I am not that I'm going to venture out into new locations. From a pure strategic and control perspective, ticket size perspective, yield perspective, I have just distributed not only the branches, but even my teams. I'm trying to put the best and the strongest team on the emerging side because urban locations are more or less on auto mode right now. So that's what I'm doing. So will my credit cost enhance because of this? No, it will not because this is a business that I've already been doing.

Parth: That is helpful. And just one last question. So your top states like Rajasthan, UP, Maharashtra and even Gujarat is now at 11%. So do you plan to change your threshold of maintaining per state AUM just 14% to EBITDA for higher threshold once you start seeing improved growth in the state?

Rajesh Viswanathan: No. We as management, we have strategically decided whether it is distribution whether it is incremental disbursement or whether it is AUM we will not breach the 14% mark, maybe 50 bps here and there 14-14.5 but that's the range we will be around.

Parth: Thank you. This is very helpful. Congratulations.

Rajesh Viswanathan: Yes, thanks.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Thank you for the opportunity. Apologies, I joined in late, so I'm not sure if this has been discussed already. I wanted to understand how much liquidity are you holding on balance sheet right now in terms of 3 months, 6 months, what is it right now? What was it in FY'24?

Where

would we want to keep it? And if any benefit can come through from reducing this on our spreads, on our margins, etc.? So some commentary on that, please. Thank you.

Rajesh Viswanathan: So our overall liquidity that we had at the year-end stood at about INR 2,200 crores, which is approximately 10% of the loan book. And if you look at it at March end last year, it would have been on a similar line. So typically, what happens is in intervening quarters, this typically is in Aadhar Housing Finance Limited
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the range of about 8% to 9% and the end of the year, it becomes 10% because there are significant drawdowns which happen at the end of the quarter, which gets utilized in the start of the next quarter. Typically, what we would like to keep it is, we would like to keep this in the levels of about 8%. And to be very honest, we would like to measure that more as a percentage of borrowing mix. So we would like to keep somewhere about 8% to 9% of the borrowing mix.

Obviously, this gets decided by the ALCO in terms of the liquidity in the market. If the liquidity becomes tight, we would like to keep it at a higher percentage. Otherwise, 8% to 9% is balance sheet liquidity. On top of that, we will always have undrawn lines. For example, on balance sheet liquidity was INR 2,200 crores, we also had undrawn lines of about INR 900 crores.

Shreya Shivani: Got it. So broadly, then you are pretty much in range and this will not really dramatically shift from where we are right now, right?

Rishi Anand: This may give you a release of about 1%, 2% to be very honest. Not significant.

Shreya Shivani: Got it. This is very useful. Thank you so much and all the best.

Moderator: Ladies and gentlemen, as this was the last question for today. I would now like to hand the conference over to the management for closing comments.

Rishi Anand: Thanks a lot. I thank all the participants for joining in. And I would like to apologize also for uploading the presentation a bit late. We had some problems at the site for upload. So we will ensure that next time at least we give you a slightly more bigger lead time for reading the presentation. I hope all the questions have got answered. If there are any unanswered questions, you can always reach out to the Investor Relations email ID, and we'll be happy to answer questions. Thanks a lot, and have a good day.

Rajesh Viswanathan: Thank you so much.

Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

Date: July 31, 2025

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001.
Security Code: 544176
Security ID : AADHARHFC To,
National Stock Exchange of India Limited
Listing Dept., Exchange Plaza, 5th Floor, Plot No.
C/1, G. Block, Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051

Symbol: AADHARHFC

Kind Attn.: Listing Corporate Relationship Department

Sub: - Transcript of the Earnings Conference Call for the quarter ended June 30, 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our prior intimation dated July 10, 2025 please find enclosed the transcript of the Earnings Conference Call on the Financial performance of the Company for the quarter ended June 30, 2025 held on Friday, July 25, 2025:

The above information is also available on the website of the Company and can be accessed at:

<https://aadharhousing.com/disclosures-under-regulation-62-of-the-sebi-lodr-regulation-2015-pdf/schedule-of-analysts-or-institutional-investors-meet-and-presentations-made-by-the-listed-entity-to-analysts-or-institutional-investors>

The above is for your information, records and dissemination please .

Thanking you.
For Aadhar Housing Finance Limited

Harshada Pathak
Company Secretary and Compliance Officer
Encl.: As above

CC:- Debenture Trustees -
1. Catalyst Trusteeship Limited
2. Beacon Trusteeship Limited

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"Aadhar Housing Finance Q1 FY -26 Earnings
Conference Call"

July 25, 2025

MANAGEMENT : MR. DEO SHANKAR TRIPATHI – EXECUTIVE VICE
CHAIRMAN , AADHAR HOUSING FINANCE
MR. RISHI ANAND – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , AADHAR HOUSING FINANCE
MR. RAJESH VISWANATHAN – CHIEF FINANCIAL
OFFICER , AADHAR HOUSING FINANCE
MR. SANJAY MOOLCHANDANI – HEAD (FINANCIAL
PLANNING) , AADHAR HOUSING FINANCE
MODERATOR : MR. RENISH – ICICI SECURITIES LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Aadhaar Housing Finance Q1 results metrics earnings conference call hosted by ICICI Securities Limited.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing "*" then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Renish from ICICI Securities Limited. Thank you and over to you, sir.

Renish: Thank you, Viren. Good evening, everyone and welcome to Aadhaar Housing Finance Q1 FY26 earnings call. On behalf of ICICI Securities, I would like to thank Aadhaar Management Team for giving us the opportunity to hold this call.

Today, we have with us entire top Management Team of Aadhaar represented by Mr. Deo Shankar Tripathi – Executive Vice Chairman, Mr. Rishi Anand – MD and CEO, Mr. Rajesh Viswanathan – CFO, Mr. Sanjay Moolchandani – Head, Financial Planning.

I will now hand over the call to Mr. Rishi sir for his opening remarks and then we will open the floor for Q&A. Over to you, sir.

Rishi Anand : Thank you very much, Renish. Very good evening, ladies and gentlemen. On behalf of Aadhaar Housing Finance, I extend a very warm welcome to all of you.

We are pleased to begin FY26 on a very strong and promising note. This quarter has been a continuation of our disciplined execution and strategic focus and I am proud to share that our AUM has reached an all-time high of Rs. 26,524 crores, reflecting a remarkable year-on-year growth of 22%. This achievement is more than just a number. It is a testament to the trust of our customers, the dedication of our teams, and the strength of our business fundamentals. It also reinforces our leadership position in the affordable low-income housing finance space, a sector that continues to gain relevance in India's evolving financial ecosystem. The affordable and low-income housing finance segment has seen renewed momentum over the past year, supported by proactive regulatory measures, improved credit demand, and growing aspiration of home ownership, especially among first-time and low-income buyers. These macro tailwinds have complemented on our ground efforts, enabling us to scale responsibly and sustainably.

Moving on to Aadhaar's performance for this Quarter:

As mentioned earlier, in Quarter 1 FY26, our AUM grew by 22% YOY at Rs 26,524 crores, with disbursement standing strong during the quarter at Rs 1,979 crores, reflecting a 32% YOY growth. Over the past year, even as we scale our lending operation, our focus on preserving asset quality remains unwavering. To ensure this does not get compromised, we have continued to

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fully concentrate on retail -secured lending with no exposures to corporates or developers. Our asset quality remains healthy, with gross NPA stable at 1.3% and collection efficiency consistently above 98%.

The portfolio continues to be well-secured, with an average loan-to-value ratio of only 59%. Notably, the salaried segment now represents 56% of our overall portfolio, reflecting our focus on stable income profiles. The average ticket size on AUM remains steady at INR 10 lakhs only. Home loan continues to form the core of our business, accounting for 73% of our AUM, while the balance 27% happens to be micro-loan against property.

As a part of our commitment to inclusive and efficient growth, we have focused on expanding into high-potential underserved regions, especially in smaller districts and talukas, through our deeper impact strategy. This targeted approach has enabled us to deepen our outreach while maintaining a lean and agile operational mo

del. It has also helped us strike the right balance between scale and sustainability, aligning well with our long-term goals of impactful expansion and optimal resource allocation. This has helped us expand our reach pan-India through 591 branches, serving more than 3 lakh live customers across 22 states and 547 districts. Our network continues to grow in alignment with the strategy, and during this said quarter, we have added 11 new branches.

Our portfolio continues to be geographically well-diversified, with no single state contributing more than 14% of our AUM, a testament to our calibrated and disciplined risk management framework. This diversification also marks a significant milestone in our broader mission to expand access to housing finance in under-penetrated regions. It aligns closely with the government's 'Housing for All' vision and National Housing Bank's mandate to drive financial inclusion across the country. This mission has led us to the birth of our strategy of urban and emerging. We have, based on our internal classification, selected approximately 130 branches, that is, top 15 cities as urban, and the balance as emerging. We spoke about this strategy in the last call as well. The quarter in discussion was effectively our first quarter under this new strategy and we seem to be going in the right direction with broadly aligning separate focus for urban and emerging with regard to ticket size, potential, yield and manpower.

Moving on : we have mentioned in multiple intervals that for us as an organization, technology is central to how we operate and scale efficiently. Our TCS-enabled core system has helped digitize key processes across loan life cycles, improving turnaround times and customer experience. Over the past 4 years, we have built strong data capabilities, moving from basic reporting to advanced analytics. We are now leveraging AI and machine learning to enhance decision-making, strengthen governance and support future-ready operations. As FY26 takes shape, we are seeing steady improvement in the economic environment. The first quarter reflected a gradual pickup in the market sentiment, supported by RBI's rate cut, stable macro indicators and support global context.

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The Affordable Housing Finance sector in India continues to be the cornerstone of inclusive economic growth, deeply aligned with countries' vision of becoming a developed nation by 2047. With urbanization projected to rise at 40% by 2030, affordable housing is emerging as a critical bridge to address the growing needs of migrant population across Tier 2 and Tier 3 cities. The sector continues to gain momentum, driven by sustained urbanization, rising demand from first-time low-income homebuyers and a consistent policy support. Additionally, government initiatives like PMAY 2.0, revival of interest subsidy scheme, a credit guarantee program and continued support for the SWAMIH Fund, amongst others, will give additional boost to the segment.

A key macro development this quarter was RBI's third consecutive repo rate cut, lowering it by 50 bps to 5.5 in June 2025, which has further improved housing affordability ahead of the festive season. We remain optimistic that these combined actions will accelerate formal credit penetration and sustain growth in the affordable housing segment.

I am pleased to share that the CARE rating has revised our rating outlook upward to AA+, from the old AA. This recognition reflects our consistent loan book growth, robust capital adequacy, strong asset quality. Our collection performance remains stable and we continue to benefit from the well-diversified funding mix. These strengths, along with our strong internal controls and governance framework, have reinforced CARE's confidence in our ability to sustain both our business momentum and financial resilience over the medium term. We

would also like to

highlight a few important recognitions and accolades received recently. Aadhaar enters the 22nd state in the said quarter with a branch in Guwahati, Assam. We received the NBFC of the year award under PMAY affordable housing. We received the prestigious NHB excellence award for product innovation. We received the gold award from CSR times for our clinic on wheels initiative. I am also immensely proud to let the audience know that Aadhaar under its vision of empowering women colleagues has launched its first ever all-women branch in Indore and we continue to look for more opportunities across the country.

Lastly, I would want to conclude by saying that Aadhaar Housing Finance is well positioned to sustain its growth trajectory, backed by strong operational foundation, expanding reach and robust technology infrastructure. With continued policy support, a stable macro environment, and rising demand for affordable housing, we are confident in our ability to maintain leadership in the sector. As we move forward, our focus remains on creating long-term value for stakeholders while deepening our impact on underserved communities.

Now I would like to hand over to our CFO ; Rajesh Viswanathan to take you all through the financial performance of the quarter.

Rajesh Viswanathan: Thank you, Rishi. Good evening, everyone and thanks for joining in late on a Friday for this call. I would like to take you through some of the financial numbers. Bear with me while I repeat

some of the highlights that Rishi has pointed out .
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In Quarter 1 FY26, our AUM has grown 22% on a YOY basis. Our overall borrowings as at 30th June, 2025 stood at Rs. 16,876 crores compared to Rs. 14,019 crores as at 30th June 2024. The current borrowing mix stands at 48% from banks, NHB share is 24%, NCD share is 23%, and ECB and others make up 4%.

As highlighted by Rishi, one big achievement for the company was an upgrade of our rating to AA+ by CARE during the quarter and an upgrade to a positive outlook from a stable outlook from ICRA. Our incremental borrowings for Quarter 1 FY26 stood at Rs. 1,165 crores which came in at around 8.1%.

Currently we have about 43 borrowing relationships. We have drawn Rs. 300 crores from NHB in Quarter 1 FY26. The cost of funds as we exited Quarter 1 FY26 stood at 8%. In terms of fixed and floating nature of the asset and liability side, 75% of both our assets and borrowings are floating in nature. Undrawn sanctions as at 30th June 2025 is around Rs. 1,500 crores. Liquidity as we ended Quarter 1 FY26 was Rs. 2,181 crores. The exit portfolio yield is 13.8%. In terms of spread, the exit spread was 5.8%. Over all NIMS for Quarter 1 FY26 was 8.8%.

Our cost to income ratio where we had seen more than 100 bps improvement in last financial year, happy to state that we have managed to even drop it further in the current quarter and compared on a Y-on-Y basis, the Quarter 1 FY26 cost to income has come in at 36.1 % compared to 36.7 % in Quarter 1 FY25.

GNPA 1.34% compared to 1.31% in Quarter 1 FY25. Capital adequacy as at end of 30th June 2025 stood at 44.1% Tier 1 and 0.5% Tier 2. Last but not least, for the first quarter FY26, the PAT came in at Rs. 237 crores compared to Rs. 200 crores in Quarter 1 FY25 rendering a 19% growth on a Y-on-Y basis.

With that, we can open up for questions. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Varun from Kotak Securities. Please go ahead.

Varun : Hi, sir. Thanks for the opportunity and congrats on a good set of numbers. With regard to the seasonality that you just mentioned, that the stages between 4Q and 1Q this quarter appear to be a bit higher than what it was last year in the same period. Are you seeing any heightened stress that is localized like any wa

y in some particular region, state or in particular cohort of customers that you see the stress peeking out or is it a broad-based thing? And the second question is with regard to the repayment rate. Calculated repayment rate appears to be low at about 15%. Is this just some seasonal effect here as well or are you seeing lower BT -outs, which is a bit surprising because players have called out higher competition ? So, can you just call out the BT -out rate as well? Thanks. Those are my questions.

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Rishi Anand: Great. Varun, thank you so much for your questions. So, Varun, part one of your question was with regard to the stress. If I look at our numbers on Quarter 1 YOY basis, we were GNP A of 1.31% moving to 1.34%. So, I would not say that there is any movement. It is more flattish and it is actually seasonality effect. Are we seeing any impact on any region, state, etc.? I would say no because our portfolio remains to be constant. The second part I will hand over to Rajesh.

Rajesh Viswanathan : In terms of asset rundown, you are right. The BT -out has come in at 5.3% for this quarter. Typically, in our business, we have seen that BT -out actually spikes in Quarter 4 when there is very high competition. So, 5.3% was for this quarter and just to put it in context, Quarter 1 FY25 last year was around 5.9%. So, 5.3% versus 5.9% same time last year.

Varun: Thank you.

Moderator: The next question is from the line of Manan Tijoriwala from ICICI Prudential. Please go ahead.

Manan Tijoriwala: Just in light of some of your larger peers giving some commentary on MSME being stressed, just wanted to understand if there is any colour that you can provide on the same and how do you see the credit cost for this year, for the full year and how should it trend across the quarters? That is the first question.

Rishi Anand: Hi Manan, MSME, we will have to look at what our portfolio is. Our portfolio is actually not the MSME portfolio. We do micro loan against property which is about 25% of my portfolio.

Are we seeing any stress? No, we are not seeing any stress. Our bounce rates on a YOY basis are steady state, exactly same I would say. Our GNPA's and delinquencies are same if I do a data cut on specifically on the loan against property that I do. So, good news is that we are not seeing any stress on that portfolio .

Rajesh Viswanathan : And Manan, on the credit cost, typically if you look at it last time also, we had ended up with a

credit cost of approximately Rs. 57 or 58 crores for the whole year and approximately Rs. 19-20 crores had come in Quarter 1 and approximately if you take Quarter 1 and Quarter 2, H1 put together, it was about Rs. 35-36 crores. So, in that sense, I think if you look at the slight growth that we have in the AUM, I think it will be better to extrapolate the Rs. 57 crores. So, we believe that overall credit cost for the whole year will be tending in the range of about 25-27 bps. In terms of current quarter, obviously, because of seasonality, it looks high at 40 bps odd, but we believe that we should be able to hold it between a range of about 25-27 bps as we exit the year.

Manan Tijoriwala: So, basically, the operating environment is not materially different from what it was in the last year. That's what you think?

Rishi Anand: No, I agree with your point. It is not different at all in fact. In fact, it's better. If you look at the numbers that we spoke about incrementally, the growth numbers, etc., it's kind of better. But from a pure asset quality perspective, it remains steady state.

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Manan Tijoriwala: Right, fair enough. So, could you give us some colour on the average ticket size that you have between home loans and LAP segment?

Rishi Anand: So, our home loan ticket size on disbursement, is 15.7 lakhs and non

-home loans, (micro -LAP)

is about 9 lakhs. Total average at the company level incrementally is 12.7 lakhs. And on AUM, I indicated it is 10 lakhs on AUM.

Manan Tijoriwala: Okay, fair enough. And could you explain how we should think about the spreads going on, on a quarter-on-quarter basis for the year?

Rajesh Viswanathan: Yes, I think we have seen some benefits that has come in the current quarter on account of a drop in the cost of funds for us. We will be assessing as banks start passing on MCLR, we believe that should happen somewhere in Quarter 2 and Quarter 3. And since a percentage of our book is floating, we will also be obliged to pass it on to our borrowers. So, the way of looking at spreads over here is currently we are at 5.8%. We were about 5.7% as we exited the last year. So, the exit spread was 5.7% March 25, 5.8% Quarter 1 FY26. So, it should be there about in the same range of 5.7% as we look ahead here.

Manan Tijoriwala: Sure. And could you talk about how the disbursements are picking up under the PMAY scheme?

Rishi Anand: So, see Manan, I explained last time also, I would not say disbursements are picking up because of PMAY. Disbursement comes and then it goes to the regulator to tag it as PMAY. So, it's the other way around. But having said that, we were fortunate enough to be the first ones to draw down subsidies for our consumers under the PMAY 2.0. And our customers, the first set of customers were called by the regulator, and they were given out letters. As we stand today, close to about Rs. 10 crores of subsidy is already disbursed to our consumers and the journey continues.

Manan Tijoriwala: Right. Fair enough. And any guidance on growth for this year?

Rishi Anand: Yes, I will give you. But coincidentally on PMAY, we get the data of the industry. We happen to be the number one leading player on PMAY subsidy. On growth guidance, we continue to maintain our growth guidance of generally at around 20%-22% of AUM, 18%-20% on disbursement.

Manan Tijoriwala: Right, fair enough. That's all from my side, sir. Thank you.

Rishi Anand: Thank you so much, Manan.

Moderator: Thank you. The next question is from the line of Abhishek Jain from Accurate Advisors Private Limited. Please go ahead.

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Abhishek Jain: Thanks for the opportunity and congrats for a strong set of numbers. My first question on the AUM growth, you have guided around 21% AUM growth in FY26. So, which are the key states which will drive this growth and how much will it be sustainable?

Rishi Anand: So, Abhishek, it is not fair on my part to say particular state will drive more growth and you will have to go back to my statement saying that we are now driving urban and emerging, right. So, in this particular year, emerging will give me slightly higher growth than my urban locations. Urban locations are steady state, we are not adding more branches, etc. It is the focus is more towards emerging. A combination of both will give us the desired 18%-20% average growth that we are talking about.

Abhishek Jain: And how is the BT -out trends across the urban versus emerging branches? Where is the state more visible, urban or emerging?

Rishi Anand: So generally, while I don't have the data cut right away, but generally urban will have a slightly higher BT -out rate.

Abhishek Jain: Okay.

Rishi Anand: And I will ask Sanjay to come back to you on that urban emerging data.

Abhishek Jain: Okay. And my last question on that, many peer companies are indicating that they have a lot of the competitions on the prime segment. So just wanted to understand that how is the growth potential and the risk reward dynamics of the prime housing segment versus the affordable segment at this point of time.

Rishi Anand: Abhishek, I don't think it will be fair on my part to comment on prime because we are not a

prime player at all. We are in the bottom of the pyramid which is affordable. So affordable, whatever you talk about competition, you talk about people operating in the affordable space, they continue to be the same set of people. And all of us are expanding reach and growth. So prime, I will not be able to comment too much.

Abhishek Jain: Okay, sir. Thank you.

Rishi Anand: Thank you so much, Abhishek.

Moderator: Thank you. The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh : Thanks for the opportunity, sir and congratulations for a good set of numbers. The first question is, can you share 1 plus DPD data at the end of the quarter?

Rishi Anand: S 1 plus for us, end of quarter in question is 7.1%.

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Nidhesh : And how is the trend in this number? Is it stable YOY ?

Rishi Anand: I would say I would say it is exactly same as we've been talking about , seasonality impact in Quarter 1 . YOY, we were close to about 6.2 %-6.4% in a YOY basis, we are 7.2 %. But currently under control.

Nidhesh : And if you can also share the sourcing mix in terms of connectors and own employee, that would also be useful.

Rishi Anand: Sure, Nidhesh . So Q1, the direct mix has jumped from 57%-58% to 61%. And the balance is DSA.

Nidhesh : Okay. That's quite good. Thank you.

Rishi Anand: Our emerging strategy starts to play around. The proportion of direct mix will slightly start inching up.

Nidhesh : What is the definition of emerging?

Rishi Anand: We have not gone by a scientific definition of emerging. As I indicated in my opening call, that , we have internally said that top 15 cities of the country, which contributes close to about 132 branches and the top 15 cities will be top metros are all urban for me and rest balance India is emerging for me. And if I can give you a few examples, if that helps, let us pick up APTL. In APTL, Andhra Pradesh, Telangana, Hyderabad would be urban , Wanaparthy and Kurnool will be emerging for me. If I pick up Rajasthan as an example, then Kota would be urban , Jaipur would be urban, but Bundi, Deoli, Bhilwara will be emerging for me. And in emerging, I have three categories A ,B,C. So, they are accordingly divided based on potential and what kind of spreads that I can derive from that location.

Nidhesh : Top 130 cities are urban and rest of them are emerging.

Rishi Anand: Not 130 cities, 130 branches, 15 cities.

Nidhesh : 15 cities.

Rishi Anand: That's right Nidhesh .

Nidhesh : And the last question is, what are the plans to add branches this year?

Rishi Anand: As we indicated in the beginning of the year, also, we will keep adding about 50 to 60 branches year-on-year basis. And we are on track, we have already in Quarter 1 launched 11 new branches, including one new state which is Assam. Nidhesh , I would want to add here in the branches,

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when I say 50 branches , 15 branches will be an urban location and about 35 branches will be in emerging locations.

Nidhesh : That's it from my side. Thank you.

Rishi Anand: Thank you, Nidhesh .

Moderator: Thank you. The next question is from the line of Sanket Chedha from DAM Capital. Please go ahead.

Sanket : Yes, so this is Sanket here. Sir congrats on good chart of numbers and particularly on the 30 plus DPD, which has stayed steady quarter -on-quarter. Just wanted to understand within that, say, Stage -3 has moved up by 31 bps and Stage -2 has come down by similar quantum. So apart from usual Q1 specific pinch up, were there any specific accounts which have moved to Stage -2 to Stage -3? Just wanted to understand better on that. Sorry, if you have already alluded on earlier.

Rajesh Viswanathan : We think the flow from Stage -2 to Stage -3 is a normal phenomenon which has happened during

the quarter. And so, whatever wa

s in opening Stage -2 during the quarter may have slipped into a Stage -3. And hopefully during the year, we will be working on this and getting it out of NPA. That is the normal process which we run with. So, this is a pure seasonality where Stage -2 flows to Stage -3. And then typically what happens is once it flows into Stage -3, it also allows us to start SARFAESI action on the customer.

Rishi Anand: So generally, that is what you see when we say seasonality, it's a very broad -based word. What we do is some accounts are allowed to be flowed in Quarter 1 so that you can go ahead and start doing your legal process, which is typically called SARFAESI . And that can happen only when the account flows to (+90). These will be typical sticky accounts, as we call them, who continuously are delinquent, then they try to be only in 60 or 90 buckets. Such accounts generally would flow. And that's the seasonality we talked about. And then we do SARFAESI , which is a six months process. And then you start seeing downward trend on NPAs.

Sanket : Sure, sir perfect. And since you indicated that maybe the SME or MSME specific thing would not be , say that in our case, we operate in a different segment, do we expect this 5% 30 plus DPD as a pool to sustain and not go beyond that maybe throughout the year or you expect it to come down?

Rishi Anand: No, we definitely expect it to come down, Sanket, because if you look at on a F Y basis also, we have always been in the range of about 3.5 % to 4%. So, we are today about 4.65% with the effort that goes around the next nine months, it is bound to come down.

Sanket: Okay, sure, that answers my question. Thanks a lot.

Rishi Anand: Thank you, Sanket.

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Moderator: Thank you. The next question is from the line of Yash from Citigroup. Please go ahead.

Yash: Hi, sir. Thanks for taking my question. Sir, one question on this differentiated strategy on urban and emerging locations since this is the first quarter. So how different is the underwriting infrastructure in both? And since we believe that we could extract benefit on the growth side from emerging, would this differentiated strategy also lead to help us extract benefits from asset quality as well, by focusing solely on emerging?

Rishi Anand: Yash, when it comes to the back-end functions, which is underwriting operations, collections, technical visit to the property, everything remains common for urban and emerging. As earlier indicated, we have a hybrid underwriting mechanism, all the salaried profiles are underwritten centrally at something called regional processing centers , whether it is for urban or emerging that happens for both urban and emerging, it is the same process. The self-employed consumers are underwritten from the branch network, and it continues for urban as well as emerging. So, the underwriting standards, underwriting process, even operation process, technical process, everything remains common. As far as leveraging the emerging, yes, when you focus more on certain locations, your asset quality, one is growth is bound to come in and asset quality is bound to improve. So that's what I think the agenda of the company is to realign our focus today, as I indicated to the first person we spoke to, 55% of my incremental business was coming from urban and the intent is to change this to 55% from emerging.

Yash: And the second is on this MFI exposure related customers, which you had shared last time as well, which I believe had dropped to around 7000 customers. So , any meaningful impact — obviously, it is in 1Q but any meaningful impact we saw from Tamil Nadu, Karnataka as well?

Rishi Anand: Not specific to Tamil Nadu, Karnataka, the number of customers remain more or less same 7077 customers. Delinquent broadly has dropped to about 2000 customers from 2600 customers it dropped to about 2100 customers

omers and NPAs out of each and delinquency across the bucket, NPAs will be around close to about 550 customers. So, I would say there is a slight improvement rather than deterioration.

Yash: Okay, slight improvement in the sort of this MFI-led customers .

Rishi Anand: Performance of the MFI exposed customers. Yes. And nothing very specific in Karnataka and Tamil Nadu.

Yash: Got it. And lastly, sir, if you could just share the incremental yield in 1Q .

Rishi Anand: The incremental yield stands at 13.45%.

Yash: So, it's slightly dropped from 13.55, is it?

Rishi Anand: No, it was 13.5, which is a full year. So, 13.43, more or less there.

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Yash: Okay, got it. Thank you, sir. That's it from me.

Rishi Anand: Thank you, Yash.

Moderator: Thank you. The next question is from the line of Lalitabh from Anti que Stock Broki ng. Please go ahead.

Lalitabh : Yes, hello, sir. Thanks for giving the opportunity and congratulations on your results. Two brief questions. Your gross Stage -3, if I see as a percentage, has actually improved on a sequential basis. Generally, it is seen that there is some seasonality impact in the first quarter, which is not visible this time. So, one thing that could be that, the book is behaving really well or is there some kind of a spillover or late spillover of that aspect that can be seen in Q2? Just your thoughts on that. And secondly, overall, our self-employed LAP category loans, particularly, are you seeing any change in the environment or have you done any changes in your credit tightening or things like that? How are you reading the situation, sir? Thank you.

Rishi Anand: Thank you, Lalitabh . I will answer your second question first. As I indicated, we are not MSME LAP consumers because our ticket size remains very -very small. We are incrementally only 9 lakh ticket size on the book is about 7.8 lakhs. So, we do micro loan against property. No stress observed on even on a YOY basis and even on a sequential basis, our bounce rates, our NPAs, our delinquency remains steady state. Hence, we don't want to change our approach, whether on underwriting or on property. One thing I would want to add is close to about 95% of our consumers in LAP are self-occupied residential property. The only change that we have done in approach recently is we wanted to take only residential properties which will mean that new incremental business will be 100% residential property. But that is only temporarily we have taken that decision, but we will continue to focus only on micro -LAP.

Rajesh Viswanathan : And on the first part of your question, the seasonality that we keep talking about is a comparison of as we end year end, which is March '25 versus June '25. So, March '25, when we ended, our NPA on AUM was around 1.05% which has moved to 1.34%. And this is the movement of anywhere between 25 to 30 bps which is always visible between Quarter 4 and Quarter 1 of the next year. And that is a seasonality impact, which basically stems down during the year and as we end the year, again, we probably go back to the 1.10% type level.

Lalitabh : Yes, sir. Thanks a lot.

Moderator: Thank you. The next question is from the line of Faraz Motani from Paragon Partners.

Faraz Motani: Hi, thank you so much for the opportunity. I have a couple of questions on geographical expansion. So, I see that we have entered a new state in the northeastern region Assam. The first question is that, is this more of a pilot expansion wherein we are opening a couple of branches or is this a full-blown expansion by opening say x done a state and potentially other adjoining states? Second question, on the similar lines, is that what kind of competition are you seeing in Aadhar Housing Finance
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our Affordable Housing Finance products, maybe from other ASFCs that are already pr

esent in
those states?

Rishi Anand: Okay, great. Thank you, Faraz, for asking those questions. So, when it comes to geo -expansion, when it comes to new states, the strategy is very clear. First is we identified the relevant cities where we can go and open branches. So, we identified a step one, Guwahati in Assam. Given the geopolitical dynamics that operate around the northeast states, we have not wanted to go full blown, but we have identified four or five branches or cities which make business sense to be in and we will take calibrated step s as we move ahead. Right now, it is going to be Guwahati. We are going to be settling down in Guwahati, understanding the dynamics of northeastern states and then expand there on in relevant cities. Your second question was with regards to competition. As I said in one of the discussions a little while ago, we are not seeing any fierce competition because the number of players broadly remain the same. There is little more than opportunity available in the market. We are all operating in the same market. We have created our own niche, but we happen to be —as in the opening statement I said, we happen to be —the largest in terms of AUM, largest in terms of incremental disbursement, largest in terms of our distribution network in the segment that we operate.

Faraz Motani: Got it. Thank you.

Rishi Anand: Thank you, Faraz.

Moderator: Thank you. The next question is from the line of Darshan De ora from Ind vest Group. Please go ahead.

Darshan Deora: Thank you for the opportunity. Just a question on the ROA and ROE. Can you give some guidance on what we plan to achieve in terms of ROA -ROE for FY26 and also what would be our aspirational ROE for this business?

Rajesh Viswanathan : I will come to aspirational. I think we will be targeting an ROA in the range of about 4.2% to 4.3% as we exit current financial year. 4% is obviously because of the credit cost which gets baked in in Quarter 1 . See, aspirationally, if you look at the way the business is, this is more of not a long -term guidance, but more of the way the math stacks up is that if you look at the way

the RO A and ROE will happen is that 2 years back, we delivered ROA in between 4.2% to 4.3%, which also translated to around 18% ROE. So, to be very honest, on a long-term sustainable basis, that is the sort of ROE that we would like to hit. Whether it's going to happen in 2 or 3 years, I don't want to comment on that. But typically, anywhere between a 4.2% ROA and anywhere between a 17% and 18% ROE is a good sort of a math for the business that we run. Current year, we would like to end between 4.2% to 4.3% RO A.

Darshan Deora: Got it. And the second question I had was regarding the loan book. What percentage of our loan book would be self-construction where the customer, the applicant is self-constructing his home vis-à-vis purchasing a ready flat or either resale or build a flat?

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Rishi Anand: Darshan, I will give you the complete breakup. So, self-construction happens to be 25%, purchase of ready-built property is about 43%. P plus C, purchasing a plot and constructing thereon is about 7% and the balance is micro-loan against property.

Darshan Deora: Okay. All right. Appreciate that. Thank you. That's all from my side.

Moderator: Thank you. The next question is from the line of Dixit Shah from A S Capital. Please go ahead.

Dixit Shah: Yes. So, my question was firstly with respect to a statistical one. What is that of the total AUM, individual housing loan book as a percentage of the number?

Rishi Anand: You want pure home loan, right?

Dixit Shah: Individual housing loan.

Rishi Anand: Individual housing is 73% and the balance happens to be loan against property.

Dixit Shah: Understood. Now, coming to a question with respect to the strategy. So, with respect to urban and emerging strategy

that we have, what will be the approximate rate differential with respect

to the yields that we could see that an emerging location will have over your urban location?

Rishi Anand: So, if I can indicatively tell you, urban typically gives about 12%-12.5% incremental yield. Your emerging will range between 14.5% up to 16%.

Dixit Shah: 14.5% to 16%, understood.

Rishi Anand: That's right.

Dixit Shah: And with respect to a question on our underwriting. So, typically with respect to we heard in con-call of one of our peers, not exactly in the segment that we have, but the peer that is more focused in the southern region, they had categorically called out that they are seeing a little bit of a slowdown specifically in the sub 20 lakhs segment of the ticket size. They are not seeing enough demand or the PMAY 2.0 has not seen as euphoric as the demand and that was seen in PMAY 1.0. What is your sense in that space with respect to in the southern markets? Because from the data that I have seen with respect to your, in the southern region, you are a good player and a leading in some of the states. So, what is the sense of the competition in that segment? And how would you look at the demand environment in that region for that segment?

Rishi Anand: Dixit, yes, you are right. We happen to be a relevant player in the southern market as well. In fact, one of the largest markets in the top three markets is Andhra Pradesh, Telangana. And while he was making the statement, I was thinking, I don't know why this statement has come in the industry that there is a slowdown. There seems to be no slowdown. In fact, our Quarter 1

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numbers have moved positively across the southern states. So, I don't see any slowdown happening there. I missed the second part of your question, but we don't see any slowdown.

Dixit Shah: So, with respect to the, how was the credit culture because of the MFI ordinance in the state of Karnataka, the Telangana also having a few bills being passed. So, is there any materially different credit behavior because some of the players were saying that they are seeing a bit of a spillover impact in their books?

Rishi Anand: No. So, if I can give you a top five states in best credit culture, out of the top five states, two states are from south, which is Andhra Pradesh, Telangana and Tamil Nadu. Again, I fail to understand why people are making such statements. These are good states. I think this is eliminating from the fact that the MFI issue and which happened in the ordinance that was passed in Karnataka and Tamil Nadu. Fortunately for us, we had a secured loan product. So, we are seeing no impact. In fact, these are pristine locations.

Dixit Shah: Understood. And just a final one, what would we look at with respect to branch addition with respect to a long term, 50 to 60 branches that you had said, will that be steady state like for 2-3 years or this is like year by year you might revisit and then...

Rishi Anand: No, so when we say 50 to 60 branches year-on-year, this is for 3 years from now and we will keep adding 50 branches year-on-year.

Dixit Shah: So, probably by FY28, it would be around (+700) branches.

Rishi Anand: 750 branches.

Dixit Shah: Thank you very much.

Rishi Anand: Thank you so much Dixit.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Rajesh Viswanathan : On behalf of the Aadhaar management, thanks a lot to all the participants on this call for taking time out on a Friday evening and joining the call. I am sure that this has been a very eventful quarter for the company and hope we have similar results to share with you in the forthcoming quarters of the current financial year. Thank you and good evening.

Moderator: On behalf of ICICI Securities Limited, that

concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

Date: November 11, 2025

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001.
Security Code: 544176
Security ID : AADHARHFC To,
National Stock Exchange of India Limited
Listing Dept., Exchange Plaza, 5th Floor, Plot No.
C/1, G. Block, Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051

Symbol: AADHARHFC

Kind Attn.: Listing Corporate Relationship Department

Sub: - Transcript of the Earnings Conference Call for the quarter ended September 30, 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our prior intimation dated October 29, 2025 please find enclosed the transcript of the Earnings Conference Call on the financial performance of the Company for the quarter ended September 30, 2025 held on Friday, November 07, 2025:

The above information is also available on the website of the Company and can be accessed at:

<https://aadharhousing.com/disclosures-under-regulation-62-of-the-sebi-lodr-regulation-2015-pdf/schedule-of-analysts-or-institutional-investors-meet-and-presentations-made-by-the-listed-entity-to-analysts-or-institutional-investors>

The above is for your information, records and dissemination please .

Thanking you.
For Aadhar Housing Finance Limited

Harshada Pathak
Company Secretary and Compliance Officer
Encl.: As above

CC:- Debenture Trustees -
1. Catalyst Trusteeship Limited
2. Beacon Trusteeship Limited

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"Aadhar Housing Finance Limited Q2 FY '26 Earnings
Conference Call"

November 07 , 2025

MANAGEMENT : MR. DEO SHANKAR TRIPATHI – EXECUTIVE VICE
CHAIRMAN , AADHAR HOUSING FINANCE LIMITED
MR. RISHI ANAND – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER , AADHAR HOUSING FINANCE
LIMITED
MR. RAJESH VISWANATHAN – CHIEF FINANCIAL
OFFICER , AADHAR HOUSING FINANCE LIMITED
MR. SANJAY MOOLCHANDANI – HEAD, FINANCIAL
PLANNING , AADHAR HOUSING (FINANCE LIMITED)
MODERATOR : MR. NIDHESH JAIN – INVESTEC CAPITAL

Aadhar Housing Finance Limited
November 07 , 2025

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Moderator : Ladies and gentlemen, good day and welcome to Aadhar Housing Finance Limited Q2 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nidhesh Jain from Investec Capital. Thank you and over to you, sir.

Nidhesh Jain : Thank you. Good evening, everyone. Welcome to Q2 FY '26 Earnings Conference Call of Aadhar Housing Finance Limited hosted by Investec Capital.

We will start the call with the Management commentary followed by a Q&A session . To discuss the financial performance of Aadhar Housing Finance Limited and to address your queries, we have with us Mr. Deo Shankar Tripathi - Executive Vice Chairman ; Mr. Rishi Anand - MD and CEO ; Mr. Rajesh Vishwanathan – CFO ; and Mr. Sanjay Moolchandani – Head, Financial Planning.

I would now like to hand over the call to Mr. Rishi Anand for his opening comments. Over to you, sir.

Rishi Anand : Thank you very much, Nidhesh, and a very good evening, everyone. On behalf of Aadhar Housing Finance, I would like to welcome all of you to the Q2 H1 FY '26 Earnings Conference Call. We would like to wish all of you a belated Happy Diwali and a prosperous New Year.

We are pleased to share that the first half of FY '26 has been marked by strong performance and continued progress on our strategic priorities. H1 FY '26 reflects another period of disciplined execution, operational efficiency and customer -focused growth. Our performance speaks for itself with the numbers showing the commitment of our teams and the strength of our business model. This milestone reinforces our leadership in the low income housing finance segment, which continues to play a pivotal role in India's inclusive growth story.

This quarter has witnessed positive developments in the economy with low income housing sector poised for further expansion, supported by favorable policy reforms and continued government focus. The recent rationalization of GST rates under the GST 2.0 framework is expected to lower housing costs and provide a significant boost to the affordable housing segment, particularly in the EWS /LIG categories. We expect these measures to drive sustained growth in the sector in the coming quarters.

Now , coming to Aadhar's performance for the said period :

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During the half year, our AUM touched Rs. 27,554 crores as on 30th September, which is a 21% growth on a Y-o-Y basis. This is another significant milestone for the company. Disbursement stood at Rs. 4,089 crores, which is 16% Y-o-Y increase, reflecting consistent lending momentum. Asset quality remains well -contained, with gross NPAs at 1.42%, collection efficiency above 99% and more importantly, Stage-II assets improving by approx 20 bps on a Y-o-Y H1 FY '26 basis, driven by robust risk management and disciplined underwriting. Our portfolio continues to be entirely retail and secured, with home loans forming 73% of the AUM and loan against property remaining at 27% . The average ticket size of Rs. 1.05 lakhs and average loan -to-value ratio of 60% reflect prudence and stability of our portfolio. The salaried segment contributes 55% of the book, aligning with our focus on borrowers with steady income profiles. Balance transfer out for H1 FY '26 stood at 5.4%, which is an improvement of 50 bps as compared to H1 FY '25. This is an outcome of our centralized retention team and data science team efforts. We continue to expand our presence in high -potential underserved market

s through

a measured and efficient approach.

During the quarter, we added 20 new branches, taking the total to 611 branches across 22 states and 549 districts, serving over 3.15 lakh live customers. Our portfolio remains well diversified, with no single state accounting for more than 15% of our AUM, demonstrating the strength of our distribution reach and risk containment framework. Digital transformation remains integral to our operating model. The TCS -Enabled Core System has streamlined processes across the loan lifecycle, improving turnaround time and enhancing customer experience. We continue to strengthen our data and analytics framework, leveraging AI and machine learning for sharper insights, improved governance and scalable operations. These capabilities continue to enhance efficiency and prepare us for the next phase of growth.

As mentioned earlier, we are very positive on the recent GST 2.0 reforms and are expected to significantly accelerate growth in the low and middle -income housing segment. The reduction in GST on inputs such as cement, marble, granite and bricks is lowering the cost of construction for developers, improving project viability and supporting price affordability for homebuyers with lower EMIs. Moreover, low -income and affordable housing projects under the government schemes such as PMAY 2.0 and Agnicart 2025 stand to benefit the most with reduced construction costs, enabling faster execution and delivery in rural and semi -urban areas. Beyond cost optimization, the reforms are also expected to strengthen credit quality and financial inclusion by improving loan affordability and spurring incremental demand within formal housing finance channels. The affordable housing finance segment in the country is poised for significant growth in the coming quarters, and we continue to support the government in fulfilling the mission of housing for all. Looking ahead, Aadhar Housing Finance is well positioned to sustain its growth trajectory, supported by strong fundamentals and expanding distribution networks and technology -led operating efficiency.

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With continued policy support and a favorable macro environment, we remain confident of strengthening our market leadership, creating long -term value and deepening financial inclusion. We remain steadfast in our mission to enable home ownership for low income families. Backed by a strong balance sheet, enhanced credit profile and structural tailwinds, Aadhar is well placed to capture emerging opportunities and continue to drive inclusive and sustainable growth. We have a positive outlook for the next 2 quarters, and we are confident of meeting our growth guidance given for this financial year.

With this, I now hand over to Rajesh, our CFO, to discuss the financial performance in detail.

Over to you, Rajesh.

Rajesh Viswanathan : Thanks, Rishi. Good evening, everyone. I would like to take you all through the financial performance for H1 FY '26 and Quarter 2 FY '26.

In Q2 FY '26 , our overall AUM has grown by 21% on a Y-o-Y basis. Our overall borrowings as on 30th September 2025 stood at Rs. 17,600 crores compared to Rs. 14,600 crores same time last year, which is a growth of 21% on a Y-on-Y basis. The borrowing mix at the end of 30th September is 50% from banks, NHB share is 21%, NCD is 22% and ECB and others make up the balance of 7%.

Our incremental borrowings for Quarter 2 FY '26 was around Rs. 1,800 crores, which came in at slightly lower than 8%. We have around 44 borrowing relationships. The exit cost of funds as at 30th September stood at 7.9%. In terms of fixed and floating nature of our book, 73% of our borrowing is floating and 75% of our assets are floating. So there is a great degree of matching in these. Undrawn sanctions as at 30th September 2025 is Rs. 2,381 crores, which includes Rs. 1,250 crores from

National Housing Bank .

We have not drawn down anything from NHB in Quarter 2 of the current financial year.

Liquidity for FY '26 stood at Rs. 2,270 which is around 10% of the loan book. Portfolio yield exit is 13.8% as at Quarter 2 FY '26. Hence, the exit spread stood at 5.9% as compared to 5.8% as at Q1. So there has been a growth of 10 bps on a sequential basis in terms of spread. Our cost to income for H 1 FY '26 stood at 36.1% as compared to 36.4% in H1 FY '25, which is an improvement of 30 bps on a Y-on-Y basis.

As we had earlier conveyed, we would like to drop our cost of income by around 40 bps for the entire financial year and we are well on track for that. GNPA as at 30th September is 1.4% as compared to 1.3% Q2 FY '25. And NNPA is 1% versus 0.9%. The Stage-III provision coverage ratio currently stands at 34.3%. One more important metric which we would like to share is that our Stage -II on a sequential basis has dropped by Approx 20 bps. The capital adequacy ratio for Quarter 2 FY '26 stood at 44.3% for Tier-1 and 0.5% for Tier-2.

H1 FY '26, we delivered an overall PAT of Rs. 504 crores compared to Rs. 428 crores in H1 FY '25, which is a growth of 18%. And on a quarter basis , in Quarter 2 FY '26, our PAT was Rs.

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266 crores versus Rs. 228 crores Quarter 2 FY '25, again a growth of about 17%. As conveyed by Rishi , we are focusing on maintaining a very healthy book and delivering consistent performance on a quarterly basis. With that, we can open up for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of R enish from ICICI. Please proceed.

Renish : Hello, am I audible?

Rishi Anand : Yes.

Renish : Yes. Hi, congrats on a good set of numbers and thanks for the opportunity. Sir, my first question is on asset quality. So when we look at the key asset quality metrics, as I just Look Credit cost, Stage -II asset, etc., improves sequentially , but when we look at the other , mortgage players have witnessed marginal deterioration on sequential basis. So I just wanted to understand what is this driving better asset quality performance than the industry ? And also, if you can share your exposure in, let us say, some of the stress market like Tirupur, Coimbatore, Surat ? And also, if you can share 1 plus DPD movement sequentially would be helpful, sir ?

Rajesh Viswanathan : So there are 3 questions in one, Renish, but I will try to answer the first and second by Rishi . I think, to be very honest, the benefit of more stable credit cost and credit behavior must be because the way we are spread out right through India. If you look at us one of our main strategy is not more than 15% in any major market or major state and probably that is helping us quite well. So even if there are other stress states with some of the other peer players may be seeing stress on, probably for us, it is a percentage of that stress. So to that extent, we have not seen any specific new spurts in any state, which is out of the ordinary. And as the first trigger, as all of us will know is the bounce rate. We have not seen any inordinate movement in bounce rate. And as I have explained, the Stage-II has also dropped by 10 bps. So to that extent, there is a slight degree of comfort that we are probably going in the right direction. And in terms of other micro markets, I think I will ask Rishi to just take that one on Tirupur and Ludhiana and other locations.

Rishi Anand : So Renish, thanks for coming on the call. See, the way we look at our business, while I will give you those numbers, the sequential numbers that you asked for, but the way we look at our business is when it comes to specifically tariffs, is there any particular city, etc., which gets impacted , no because, for example, textile, pharma, gems, they are spread across In

dia. But since

you have asked a specific question regarding some specific call outs of cities that have happened in various calls, for example, Tirupur, Surat, Coimbatore, all put together close to about 1.6 %-1.7% of our AUM, so not a very large exposure. But even in these markets, our sequential 1 plus has dipped. For example, Tirupur, from a 9.2 %, it has dropped to about 7.1 sequential quarter -on-quarter . Surat has dropped from 8.8 % to about 8%. Coimbatore has dropped from a 9.2 -9.3 to 8.2 -8.3. So in all the 3 markets which the market has been talking about, we have seen a drop in 1 plus. So our worries, obviously, the worries around these specific cities is not prevalent in Aadhar.

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Rajesh Viswanathan : And I just correct it, our Stage-II improvement is actually 20 bps. It is not 10 bps, it is 20 bps.

Renish : Got it. And overall, 1 plus DPD, how it has moved sequentially?

Rajesh Viswanathan : One plus sequentially was 7.18, it is 7.17.

Renish : So it is flat basically ?

Rajesh Viswanathan : That is right.

Renish : And my second question on the disbursement. So the first half looks better at 16% Y-o-Y. But when we look at the sequential disbursement, it is actually muted at 4%. So can you throw some light on this disbursement being lower in Q2? And are we still confident about delivering 18%-20% growth in FY '26 ?

Rishi Anand : So Renish, it might not be okay to take an isolated view on this particular quarter. And I will give you the reason why. This particular quarter on a quarter -on-quarter basis will definitely give you a distorted view. If you recall, last year, in Q1 of last financial year, there was a regulatory circular which had come with respect to interest recognition, which was supposed to move from a disbursement to cheque handover. And because of which, there was a substantial business which got carried forward to Quarter 2 of last year. Hence, if you observe, in quarter 1 of this financial year, our disbursement growth was 32% on a quarter 1 Y-o-Y basis. Hence and because of the bulge in Q2, you look at the numbers at 4%. The better way of definitely looking at it is the overall YTD H1, which is a 16% growth, which you rightly mentioned. As regards H2, we are very confident of market dynamics. We are looking at market very closely. We are looking at our login parameters very closely. And we are very confident of the guidance numbers that we had given. Another important aspect of our business is the way H1 versus H2 is tagged.

Generally, it is 40 -60. This year, already 42% has been delivered of whatever we planned, and the balance should be coming in with a lot of comfort.

Renish : Got it. And just last thing, would you like to share October disbursement number?

Rishi Anand : October disbursement number has been in line with our estimates. In fact, on the budget numbers, we are right on track on 100% achievement.

Renish : Got it. This is very helpful, sir. Thank you and best of luck.

Rishi Anand : Thank you so much.

Moderator : Thank you. The next question is from the line of Sonal Gandhi from AMSEC . Please proceed.

Sonal Gandhi : Thanks for the opportunity and congrats on the quarter, Aadhar team . So just going ahead with the question which was asked earlier on the disbursement , so disbursements, if you look at home

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loan segment particularly, there has been some degrowth over there. So if you could just throw some light if anything that we are doing in terms of tightening the credit policies or if there is any other change that has happened in the system because of which the disbursements are down?

Rishi Anand : I would not give any particular reason of why disbursement on home loan, it is actually flattish.

Primary reason is extended monsoons. When there are extended m

onsoons and good chunk of

our AU M incremental portfolio happens to be self -construction. For example, the entire Uttarakhand belt, in fact, the entire North belt saw a heavy impact on login when it comes to self-construction. And to add to it, we had slightly issued a caution to our underwriting teams with respect to whatever was going around with the tariff situation across gems and jewellery, pharma to some extent and primarily textile. I think both of them have contributed a little bit on the login side. But having said that everything is now behind us and coming quarters look very positive.

Sonal Gandhi : Sure. And sir, anything on the PLR hike? How do you plan? What is the guidance with spreads now? Earlier , we were thinking that it might go down a bit , but it is clearly improving. So how do we see spreads moving in Q3, Q4 or maybe 2H of this year?

Rajesh Viswanathan : See, we believe that there may be a further 10 bps sort of improvement in our overall cost of funds as we exit the current financial year. Having said that, you are right, we have not passed on anything on the RPLR bid. The 10 bps drop will be majorly benefited by the MCLR pass -on which will happen to us from the banks, which we believe should happen somewhere from December to February, March. And probably that is a period where we will probably take it to the ALCO. And if at any point of time, we will calculate and then pass it on to the customer. Our current spread, as you have correctly said, is actually coming at 5.9%. And the way we look at it is that probably we may end up around 5.8% as we exit the year .This is after the pass -on, we should be around 5.8%.

Sonal Gandhi : Sure. And sir, just one clarification, in the opening remarks, you said that 40 bps reduction in cost of borrowing. So we are talking about exit quarter, right, and we should be closer to about 7.8, 7.7 ?

Rajesh Viswanathan : This is all exit. When I am saying that when we are exiting the year, we will be exiting in the range of 7.75 to 7.80.

Sonal Gandhi : Got it. Thank you so much.

Rishi Anand : Thank you, Sonal .

Moderator : Thank you. The next question is from the line of Kunal Shah from Citigroup. Please proceed.

Kunal Shah : Yes. Hi, Rishi and Rajesh. Thanks for taking the question. So firstly, with respect to recoveries, overall, I think ECL provisions are still up like Rs. 20 odd crores, but in P&L, it is like almost

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Rs. 13 odd crores. So has there been any recovery during the quarter and what is the nature of that?

Rajesh Viswanathan : So we recovered somewhere in the range of about Rs. 6 -Rs. 8 crores from our old project finance portfolio mainly. If you remember, our project finance portfolio were written off. So there were some old recoveries to the range of about Rs. 8 crores that we had in the current quarter.

Kunal Shah : That is almost Rs. 8 crores?

Rajesh Viswanathan : That is right.

Kunal Shah : And this would have been entirely written off. So this would have been 100% provided or only a part of that is?

Rajesh Viswanathan : No. It was 100% written -off assets. So technically, it is a P&L pass -through. So it becomes a P&L benefit.

Kunal Shah : And is there a more pool to be recovered or this is more kind of a one -off?

Rajesh Viswanathan : So we have a Rs. 25 crore s pool which is left on project finance, which we believe will come

over after this recovery, which probably will take another 2-3 years, depending on how these stack up because these are really long tail sort of recoveries. So whatever comes, so for example, this recovery of Rs. 7-Rs. 8 crores has come in after a long time, I think, the first thing after about 7-8 quarters. So in that sense, it is a good thing to come. We have Rs. 25 crores, we are not sure how much we will recover from that, but it is a good positive to keep with us

Rishi Anand : And to add to it, this Rs. 25 crores that we are talking about is 100% written off.

Rajesh Viswanathan : Right. Any benefit will directly come into the P&L.

Kunal Shah : Sure. Got it. And secondly, in terms of the OPEX, which is up like, say, almost 34% year-on-year and quarter-on-quarter. So any one-off element in that?

Rishi Anand : No one-offs on OPEX.

Kunal Shah : Overhead cost, yes.

Rajesh Viswanathan : Yes, the OPEX is typically the typical management expenses that we generally have, as well as the stride, because we have set up approximately 20 branches in the current financial year. The impact of setting up those 20 branches are there. And if you look at OPEX, Quarter 2 FY '26 was in the range of Rs. 201 crores. We were Rs. 173 crores last year, same time, and Rs. 187 crores in the quarter 1. So from 187 on a sequential basis, we have grown to 201, which is

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typically 16% is a Y-on-Y growth, Q2 versus Q2. In a sequential quarter, we have grown from 187 to 201, which is a quite organic growth. There is nothing special on that.

Kunal Shah : Sure.

Rajesh Viswanathan : Just one point. As we alluded our cost to income that we look at very closely, that is where we would like to see that statistics. And we would like to see, we have seen it happen, and probably year end also, we will see a 40-50 bps that we will be able to target.

Kunal Shah : Sure. And lastly, if you can comment with respect to your entire strategy on the urban and emerging, how it is panning out, maybe Q1 was the full quarter, but how things have been. And over a period when we look at it in terms of the proportion of the branches, how much do we think like, say, A, B, C branches would respectively, maybe what proportion would those numbers be, say, over the medium term?

Rishi Anand : So Kunal, with respect to our strategy, I would say the current quarter in question was the first full quarter because we implemented towards mid of April in quarter 1. So we obviously did not get the first quarter in full. Whatever we had planned and the timeline that we had planned and the momentum we had planned, we are completely on track. If you recall, we mentioned at some stage that today 45% of the business comes from the emerging markets and eventually we want to get into a 50-50 model. Are we on track? I would say we are on track. The emerging C branches obviously need little more efforts for them to establish because it is a small setup. It is one or two manpower kind of branches. Broadly, if I were to break down urban and emerging today, urban is about 137 branches, emerging A, B, C and total will be about 475 branches. Out of which 400 branches will be in the B and C categories. Broadly, if I were to indicate, are we on track in terms of our commitments and guidance, we are completely on track. I don't see anything disturbing that 50-50 balance figure that we had indicated.

Kunal Shah : Got it. Thanks and all the best.

Rishi Anand : Thank you, Kunal.

Moderator : Thank you. The next question is from the line of Shweta from Elara. Please proceed.

Shweta : Thank you, sir, for the opportunity. A couple of questions. While you alluded to the fact that bulkier disbursements in Q1 led to slightly slower momentum in Q2, but then if we were to maintain 18%-20% full year target, then the ask rate for the second half is going to be pretty much higher, right, as high as 23%-24% kind of growth. So are we on track to achieve that kind of robustness and disbursements every quarter, like in second half?

Rishi Anand : Shweta, hi. Thank you for the question. Yes, as I indicated already, the way to look at it is 42% typically, 40-60 is what H1 to H2 happens across the industry. So for us, we have already delivered 42% against what we plan to do this year and the balance should be coming in Second

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half we are on track, if I want to answer that question? Yes, we are completely on track, the way October has panned out and the way we look at our current month. We are completely on track and you are right. If we were to look at our guidance numbers, we will have to look in terms of growth. We will have to look at 20%-22% kind of growth in the coming quarters and we are completely on track.

Rajesh Viswanathan : And Shweta, just to add, if you look at historically the performance of Aadhar over the last 3-4

financial years, typically you will see this ratio of 42 %-43% in H1 and then quarter 3 and quarter 4 actually moving in that direction of 57%. So I think that is why the full marketing team, the sales team, as well as the business teams are quite well guided plus, we believe that our entire strategy of emerging, which Rishi just spoke on, will get more activated plus GST, good harvest, good rains, the festival season behind us, PM AY, all these tailwinds will really help to really push demand and disbursements in the second half of the year, not only for us, but also for the entire industry.

Shweta : Understood, sir. Sir, second question is, was there movement from Stage-II to Stage-III because Stage-III climbed 13 -14 bps sequential basis?

Rajesh Viswanathan : This would typically be the movement, Shweta, from Stage -II to Stage-III. If you look at our NPA at Stage-III itself, it has gone up from 1.34% to 1.42%. So 1.34% to 1.42% of the 8 bps movement has gone from Stage-II to Stage-III typically.

Shweta : And sir, what has been the bounce rate for this particular quarter and for TDPD?

Rajesh Viswanathan : So the bounce rate is quite static.

Rishi Anand : It is static for the last 6 quarters in the range of early 20 % and that is where we have been for the last 6 quarters. What was the second question?

Rajesh Viswanathan : The 30 -plus is in the range of about 4.6%. The 30 -plus sequential quarter FY '26 quarter 1 was about 4.65%. So there is a movement of 5 bps positive over there.

Shweta : Perfect, sir. Thank you so much and all the best.

Rishi Anand : Thank you, Shweta.

Moderator : Thank you. The next question is from the line of Shubhranshu Mishra from Phillip Capital. Please proceed.

Shubhranshu Mishra : Hi, Rishi. Hi, Rajesh. Good evening. So I just want to understand the yield that we get on the retail loans versus other mortgage loans. Essentially, what I am trying to get at is the contribution to the profit from home loans versus the other mortgage loans ?

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Rishi Anand : Hi, Shubhranshu. Yields home to non -home , home gives us close to about 12.15% and non -home gives 15.75%.

Shubhranshu Mishra : So ballpark non -home would be contributing roughly around 35% -40% to the profit pool?

Rajesh Viswanathan : Yes, that is a way of looking at it. Because in terms of contribution, it will be about 26%-27% of our AUM. But obviously, it comes in at a higher ROA. So that is a way of looking at it.

Obviously , the NP As are slightly higher in NHL compared to HL., The difference in yield directly . be an ROA enhancer.

Shubhranshu Mishra : Understood. And the second part is about BT out and BT in as well. What would be the net number for the quarter? And how many people do we deploy as a team to have this kind of attrition ?

Rishi Anand : Shubhranshu, our BT out percentage for the said quarter has dropped to 5.4% annualized. So there is definitely an improvement of about 50 bps. BT in, as I have been indicating every time on the call, we are a company which does not entertain too much of BT in because of obvious reasons.. It is close to about 0.91% which is only reference cases from our existing customers. In terms of central retention team that we have employed, there are 16 people, more of telecallers and

people who engage with the consumers and one team leader. So about 16 people who help us retain the consumer. Apart from this, obviously the data analytics team, they help us churning out a lot of data with respect to consumers, which is a separate team. They have other deliverables as well, but they contribute towards retention.

Shubhranshu Mishra : And what percentage of this attrition is actually rested? So I present 100,000 a month , what actually gets retained?

Rajesh Viswanathan : Close to about, if I can put that number, 27 %-30% will get retained.

Shubhranshu Mishra : Understood. And any guidance for FY '26 for the remainder part of 26 and of course , 27 for disbursement?

Rajesh Viswanathan : On BT out?

Shubhranshu Mishra : Sorry, AUM and disbursement ?

Rajesh Viswanathan : On AUM, we have always kept a guidance of 20 %-22% and profit again about 18 %-20%.

Shubhranshu Mishra : Disbursement?

Rajesh Viswanathan : The disbursement will be, if you look at the reverse calculation, it will be again approximately 18%.

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Shubhranshu Mishra : Thank you so much. Have a great and clean quarters.

Rishi Anand : Thank you so much, Shubhranshu.

Moderator : Thank you. The next question is from the line of Rajiv Mehta from YES Securities. Please proceed.

Rajiv Mehta : Hi, good evening. Thank you and congrats on steady and solid performance. So a few of my questions are already answered, but again, just coming back to asset quality and Stage-II performance, which has been pretty stable, which also implies that your early bucket collections have slightly improved. And when I in fact look at the flow rates, it seems that your flow rates or your collection performance in the early bucket in this H1 is actually better than last H1. So my question is, if the bounce rates are stable, then has the resolution improved in the early buckets? And if it has improved, then what has driven it? Is it your collection effort, intervention, or is it something like at the customer end, the leverage has gone down and is able to kind of make the payment immediately?

Rishi Anand : I think I will not be able to pinpoint something very specific, Rajiv. It is a matter of continued focus on collection. Our teams, for example, we have separate teams for separate buckets. The focus continues across various buckets. I think multiple things all across the support from the legal system. We have in-house legal team right from Section 138, Section 24 filing to in extended buckets filing of SARFAESI, memos, DM orders. So I think it is a contribution of entire team effort. I will not be able to pick out any single item and say that this has contributed to additional efforts. We have a total close to about 1,500 people on the collection team, on the front end who lies in with customers across various buckets. I think it is a team effort across various buckets, Rajiv.

Rajiv Mehta : And just one last thing, when you look at the asset quality movement at the whole company level, and is it reflective of the movement in LAP as well, because LAP is a much smaller as portfolio than home loan. So within LAP, has the asset quality or the DPD movement been similar to the whole company?

Rajesh Viswanathan : I think yes. If you look at it, it is only at 10 bps movement on difference in the asset quality when it comes to LAP. Otherwise, it is quite similar. For example, home loan moved from 1.1% to 1.2% on a sequential basis and LAP moved from 1.9% to 2%.

Rajiv Mehta : Sure. Thank you so much and best of luck.

Rishi Anand : Thank you so much.

Moderator : Thank you. The next question is from the line of Rishabh, an Individual Investor. Please proceed.

Rishabh : Hi, sir. I am audible? Thank you for the opportunity.

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Rishi Anand : Hi, Rishabh. You are audible.

dible.

Rishabh : Thank you. So I have one small question. It is about the leverage on the book. So where do we intend to increase the leverage going ahead so that our overall ROE can reach up to 18% levels?

Rajesh Viswanathan : Basically, currently our lever is around 2.5 -2.6, and honestly, if you remember in the past, we have been saying that the rating agencies generally are comfortable in a range of about 4.5 for a AA rated company. We are today a AA+ rated company, at least in one rating agency and hopefully on the way for the others also. Typically, we would lie somewhere between a AA rated and a AAA rated in terms of leverage, which the rating agency would be comfortable. So we have some headroom on that. Having said that, I think getting even to a 3.5 -4x is going to be some way out of where we currently are. So it will take some time. We believe that first we should hit the 3x lever and then probably take it up from there. So it will be a slow process, steady process. We do not intend to push lever too much to be very honest. Internal accruals are fairly strong for us. So we have to take that also too viously into account when we look at our overall borrowings and as it is, we believe that we maintain sufficient liquidity also. So keeping all these elements in play, I think the movement is going to be fairly slow towards 3 x first and then we take it up from there.

Rishabh : Sure. So that answers the question. Sir secondly, if you can again recall on the collection efficiency, I think I missed at the beginning of the call?

Rajesh Viswanathan : Our collection efficiency stands at 98.96%.

Rishabh : So that is it from my side. Thank you and all the best to the management.

Moderator : Thank you. The next question is from the line of Siraj Khan. Please proceed.

Siraj Khan : Hi, thank you for giving me the opportunity. Sir, I wanted to understand with respect to our branch addition strategy, how many branches will we be trying to close at the end of FY '26 and any specific states that we are looking to target?

Rishi Anand : In terms of branch, Siraj, as we have always indicated, we will keep adding 50 -55 branches, out of which 15 will come in the urban category, which means the top 15 metro locations of the country and the balance 35 will come in the emerging category. Are we looking at any specific state? No, it depends on each state, the Zonal Head or the Business Head, looking at the potential of various locations, the data of which is sent to the data analytics team, which looks at the data very differently from a market potential perspective, delinquency perspective. That is how we

boil down to locations. But if I were to give you, these will be typically top 10 states of the country for now, and which is Phase-I. So it can be likes of Maharashtra, Tamil Nadu, Andhra Pradesh, Telangana, Rajasthan, Gujarat, Delhi NCR and so on and so forth.

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Siraj Khan : Understood. And with respect to a couple of questions on competition and your view on the Southern piece, so in Southern India, specifically Karnataka, there are a few locations where one of the participants earlier had said that there was some stress, although we have not seen that much in our book, but any specific ticket size wise or category wise, there has been early warning signs, although we might not see any stress, but any warning signs, maybe in the South or in general, any warning sign specific, say, less than 5 lakh or less than 7.5 lakh ticket size, are you seeing any stress?

Rishi Anand : Siraj, I would not want to pick out any specific consumer type or state type. Yes, you are referring to Karnataka. Karnataka was not consumer issues. They were more government related issues with respect to e -Khata policies, which have been sorted already. For us, if I were to talk about stress, it is typically the states that I have

been talking about in all my calls, which is typically East, in location like East and Kerala, where, and that is also not because of anything else, but because of the lack of legal support system. And our strategy of any state not contributing greater than 15% of our AUM actually plays out very well. So I will not pick up any state and say that my portfolio is under stress or a particular consumer segment or a known type is under stress. And because of East and Kerala, obviously our incremental numbers of our focus is much lower in these states. But since we are available there, we continue to do flat business.

Siraj Khan : And the competition bit, like for example, some of our listed peers and even unlisted peers have been very aggressive with respect to pricing, one of the larger listed players, although not in the same segment, but they had said that, they will try to undercut price it in a way that they will try to get good customer using their cost of funds advantage. So color on that with respect to the competition in general ?

Rishi Anand : Yes. Siraj, our view has been, and to all my 8,000 employees in the field, the view has been very clear that we are not in the race of undercutting and a war of rate. We have our own identified customer segment. We will play on technology. We will play on speed. We will play on TAT and we play on efficiency. End of the day, consumer is more interested in how fast can you provide me the funds rather than looking at rate. This is a very different kind of customer segment. You are talking about larger players trying to undercut. I think it is only a matter of, we have all seen, we have been in the industry for 30 years. We have seen players come and go in various segments. I don't think too many people are doing undercutting, but undercutting is a mechanism of creating your own space. But since we have a pre -identified space across cities, I don't think there is any cause of worry.

Siraj Khan : So competition is as is and you are not seeing any much of an issue that it will cause?

Rishi Anand : No, not really. I can relate to which companies you are referring to. As I told you, our emerging ABC is going to play a very important role and big role in the entire play area that we have been talking about.

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Siraj Khan : And just finally, with respect to the credit rating updates that we have had, in the AA plus and the long -term outlooks improving, we have already seen a bit of an improvement in the cost of borrowing. How much more, purely because of the maybe, although it is difficult to quantify, but how much more of an improvement can we see because of the credit rating of 10 -15 bps? Because I think now you would be also having access to maybe insurance money, which is longer tenor and that way ?

Rajesh Viswanathan : Yes, I think you are right. In fact, we have not seen maximum benefit of the rating upgrade in our incremental cost of funds as of yet. You are right. It will appear more in the debt capital market transactions that we do on NCDs. We are eagerly waiting for more rating agencies to take upgrade us because that will give us leeway to view for insurance as well as pension funds. It will not necessarily mean that it will come at lower cost, but it will come at longer duration, which we are also interested in. But you are right, the entire game will be on the 25 %-30% incremental NCD business that we do. There you will be seeing benefits between a AA and a AA plus company of anywhere between 20 -25 bps is something that you can see in a market, but that is an incremental and that is technically not played out till now. Probably will play out in the full way in more in next financial year rather than the current part of the financial year.

Siraj Khan : So what is the timeline when you expect these everybody, say ICRA and everyone t

o come up
and?

Rajesh Viswanathan : We can't speak for the rating agencies. The only thing is that they have sort of taken the outlook from stable to positive, which we see is one step towards an ultimate goal for us.

Siraj Khan : Understood. Thank you.

Moderator : Thank you. Due to time constraints, that was the last question. I now hand the conference over to the management for the closing comments. Over to you, sir.

Rajesh Viswanathan : Hi, thanks to everyone to come in and attend this call late on a Friday evening. Hope we have been able to answer all your questions. If there are any unanswered questions, please do feel free to get in touch with our Investor Relations team, and we will be more than happy to answer your questions. Thank you and hope to have a good call in quarter 3. Thank you very much and good night.

Rishi Anand : Good night, everyone.

Moderator : Thank you. On behalf of Aadhar Housing Finance Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

Call: Feb 2026

Date: February 4, 2026

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001.
Security Code: 544176
Security ID : AADHARHFC To,
National Stock Exchange of India Limited
Listing Dept., Exchange Plaza, 5th Floor, Plot No.
C/1, G. Block, Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 051

Symbol: AADHARHFC

Kind Attn.: Listing Corporate Relationship Department

Sub:- Transcript of the Earnings Conference Call for the quarter ended December 31, 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our prior intimation dated January 20, 2026 please find enclosed the transcript of the Earnings Conference Call on the financial performance of the Company for the quarter ended December 31, 2025 held on Friday, January 30, 2026.

The above information is also available on the website of the Company and can be accessed at:

<https://aadharhousing.com/disclosures-under-regulation-62-of-the-sebi-lodr-regulation-2015-pdf/schedule-of-analysts-or-institutional-investors-meet-and-presentations-made-by-the-listed-entity-to-analysts-or-institutional-investors>

The above is for your information, records and dissemination please.

Thanking you.
For Aadhar Housing Finance Limited

Harshada Pathak
Company Secretary and Compliance Officer
ACS: 19534
Encl.: As above

CC:- Debenture Trustees-
1. Catalyst Trusteeship Limited
2. Beacon Trusteeship Limited

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"Aadhar Housing Finance Limited
3Q FY '26 Earnings Conference Call "
January 30, 2026

MANAGEMENT : MR. DEO SHANKAR TRIPATHI – EXECUTIVE VICE
CHAIRMAN – AADHAR HOUSING FINANCE LIMITED
MR. RISHI ANAND – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – AADHAR HOUSING FINANCE
LIMITED
MR. RAJESH VISWANATHAN – CHIEF FINANCIAL

OFFICER – AADHAR HOUSING FINANCE LIMITED
MR. SANJAY MOOLCHANDANI – HEAD, INVESTOR
RELATIONS – AADHAR HOUSING FINANCE LIMITED

MODERATOR : MR. RENISH BHUVA – ICICI SECURITIES LIMITED

Aadhar Housing Finance Limited
January 30, 2026

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Moderator: Ladies and gentlemen, good day , and welcome to Aadhar Housing Finance 3Q FY '26 Earnings Conference Call, hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Renish Bhuva from ICICI Securities Limited . Thank you and over to you, sir.

Renish Bhuva: Thank you. Good evening, everyone, and welcome to Aadhar Housing Q3 FY '26 Earnings Call. On behalf of ICICI Securities, I would like to thank Aadhar management team for giving us the opportunity to host this call. Today, we have with us the entire top management team of Aadhar represented by Mr. Deo Shankar Tripathi , Executive Vice Chairman; Mr. Rishi Anand, MD and CEO; Mr. Rajesh Viswanathan, CFO; Mr. Sanjay Moolchandani, Head , Investor Relations. I will now hand over the call to Mr. Rishi sir for his opening remarks, and then we'll open the floor for Q&A. Over to you, sir.

Rishi Anand: Thank you very much, Renish, and very a good evening to you all. Thank you for joining us this late evening to discuss Aadhar Housing Finance performance for third quarter and 9 months ended December 31, 2025. I would like to begin by wishing all of you a very Happy and Prosperous New Year .

The third quarter has been significant for the Indian housing finance sector with RBI reducing policy repo rate by additional 25 bps in December, bringing it down to 5.25%. This marks a cumulative easing of 125 basis points in 2025, which has significantly pushed home buying affordability, particularly in the affordable and mid -segments where customers are more sensitive to EMI movements.

Furthermore, we are seeing a tangible benefit out of GST 2.0 framework. The reduction in GST on construction inputs like cement and brick is lowering the cost for developers and improving project viability. The combination of lower borrowing costs and resilient buyer sentiment positions the housing finance market on a strong footing for 2026.

Overall, the combination of supportive policy measures, increasing borrowing costs and sustained end user demand provides a constructive backdrop for affordable housing finance sector. Moving to Aadhar's performance for the quarter. I am happy to share that we continue to deliver healthy growth while maintaining strong portfolio quality.

As of 31st December 2025, our AUM stood at INR28,790 crores, registering a 20% year -on-year growth. Disbursement for 9 months FY '26 stood at INR6,469 crores with a 15% Y -o-Y increase and PAT stood at INR797 crores, registering a growth of 20%, reflecting steady lending momentum across our core segments.

These numbers reinforces our confidence on the historical guidance that we have given during the last 3 quarters and further boosts our confidence as we enter quarter 4. Our portfolio remains

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entirely secured with home loans and loan against property continuing to be well balanced within the book. Asset quality remains well contained.

Gross NPA stood at 1.38%, a sequential improvement of 4 bps versus last quarter. Collection efficiency remained upward of 99% during the third quarter. Importantly, early bucket delinquencies remained stable and Stage 2 asset continues to show improvement by 20 bps compared to the last quarter.

1 plus DPD also reflects an improvement of 30 bps on a sequential basis, reflecting the effectiveness of our underwriting discipline and field -level collection process. Our average ticket size stands at INR10.7 lakhs

with 60% loan -to-value ratio, reinforcing the resilience of our portfolio. The salaried segment continues to be at 55% of AUM, aligning with our focus on borrowers with stable and predictable income profiles.

Balance transfer outflows during the 9 months FY '26 stood at a comfortable position of 5.6% annualized, a 50 bps improvement on a Y-o-Y basis, which was supported by focused retention efforts and data-driven customer engagement.

During the third quarter, we continued to expand our physical presence in a calibrated manner. We added 10 new branches, taking our total network to 621 branches across 22 states and 552 districts, serving over 3.2 lakh live customers.

Our geographic diversification remains strong with no single state contributing disproportionately to the AUM, which is not greater than 15%. Technology continues to be a key enabler of scale and efficiency. Our TCS-enabled core system and data analytics framework are reducing turnaround times, strengthening governance and improving customer experience across loan life cycle.

We continue to leverage analytics and machine learning tools to sharpen credit assessment, monitor early warning signals and support scalable growth. The Pradhan Mantri Awas Yojana, PMAY 2.0 scheme continues to play a supportive role in driving demand across low income and affordable segment.

Aadhar continues to lead from the front on this very important initiative of the Government of India, spearheaded by National Housing Bank. 10,000-plus customers have already received first tranches of their interest subsidy under this renewed program. The availability of interest subsidy under the PMAY 2.0 has improved affordability for the first-time homebuyers, particularly in the EWS LIG segment.

We expect the scheme to gain further traction as customer awareness improves, supporting disbursement growth in the affordable segment. Looking ahead, we remain strongly optimistic about the operating environment over the coming quarter.

With strong fundamentals, our diversified branch network and continued policy support for the affordable segment, we remain confident of sustaining our growth trajectory and meeting our guidance for FY '26 and in the medium term. We are driving a key mile stone of crossing INR30,000 crore s AUM by the end of this financial year.

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Aadhar remains steadfast in this mission to enable homeownership for low-income families while delivering consistent and sustainable returns for our stakeholders. Before I hand over to Rajesh, our CFO, to take you through the financial performance, I would like to reinforce that we have a positive outlook for quarter 4 FY '26 and are very confident of meeting our medium-term growth guidance on AUM, asset quality and all profitability metrics. Over to you, Rajesh. Rajesh Viswanathan: Thanks, Rishi. Good evening, everyone. I would like to take you through some of the financial data. Some of these have already been covered by Rishi, but I would like to reiterate some of these numbers.

In quarter 3 FY '26, our AUM has grown by 20% on a Y-on-Y basis. Our overall borrowings as at 31st December 2025 stood at INR17,500 crores compared to INR15,100 crores on 31st December '24, which is a growth of 16% on a Y-on-Y basis. The borrowing mix at the end of 31st December '25 is 50% from banks, NH B share is 22%, NCD share is 21% and ECBs and others make up the balance of 7%.

Our incremental borrowing cost for quarter 3 FY '26 stood at 7.5% and was 7.9% for the 9 months ended FY '26. We have 41 borrowing relationships. In quarter 3, our NHB borrowings were INR299 crores, which came in at 6.6%. And for the 9-month period, the NHB borrowing was around INR600 crores, which came in at a 7.4% cost. The exit cost of funds as at 31st December 2025 stood at 7.74%.

In terms of fixed and floating nature

of the book, we run a very disciplined fixed and floating nature, 74% of our borrowing and assets, both are on floating basis. Undrawn sanctions as at 31st December '25 is INR2,400 crores, of which we have around INR950 crores, which is still drawable from NH B.

Liquidity at the end of quarter 3 FY '26 stood at INR1,435 crores. This is balance sheet liquidity. Portfolio yield exit is 13.71% at the end of quarter 3 FY '26, and I'm repeating the exit cost of funds was 7.74%. The exit spread hence stood at 5.97% as compared to 5.93% at the end of quarter 2.

Our cost-to-income ratio for 9 months FY '26 stood at 35.4% as compared to 35.9% in 9 months FY '25, an improvement of approximately 50 bps on a Y-o-Y basis. This is in line with our guidance where we had stated that we would like to drop our cost to income by around 50 bps for the current financial year.

GNPA, as Rishi has said, has come in at 31st December '25 at 1.38% as compared to 1.36% in quarter 3 FY '24 and the NNPA stood at 1% versus 0.9% last time same year. Capital adequacy ratio stood at 43.6% for Tier 1 and 0.5% for Tier 2. For 9 months FY '26, the PAT without the

impact of the new Labor Code was INR797 crores compared to INR667 crores in 9 months FY '25, rendering a growth of 20% Y-o-Y.

PAT stood at INR294 crores for quarter 3 FY '26, again, without the impact of the new Labor Code compared to INR239 crores in quarter 3 FY '25, resulting in a growth of 23%. ROA and ROE were 4.4% and 15.6%, respectively.

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The 15.6% is also impacted also because of the capital raise of INR1,000 crores that we had done in last May. For quarter 3, the ROA and ROE were 4.6% and 16.5% as compared to 4.4% and 15.8% in quarter 3 FY '25. Impact of the past service cost due to implementation of the new Labor Code is INR16 crores.

And in line with the ICAI guidelines, we have shown this as an exceptional item. The number of employees as at 31st December '25 on rolls were 5,200 employees and off-rolls were around 3,800 employees. We are focusing on maintaining a healthy book and delivering a consistent performance across all metrics, whether it's AUM growth, cost to income, performance of our portfolio as well as profitability metrics.

With that, we can open up for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhishek Kumar Jain from AlfAccurate.

Abhishek Kumar Jain : Congrats for strong set of numbers. Sir, you have delivered very strong growth in the disbursement ahead of your peers. So just wanted to understand what gives you confidence in sustaining it in the fourth quarter and FY '27, where most of the peers are struggling on the parameter?

Rishi Anand: Thank you, Abhishek, for the question, and thanks for your message and congratulations. What gives us confidence is, see, I will not be able to talk about what others are doing. But the way I look at my current numbers, even for January, they are upward of what we delivered in December. So with the current pace of numbers, I foresee that the quarter 4 is completely protected and the guidance numbers that we've been giving is completely protected.

As we enter 2026, obviously, we'll bring on table, our core competence has always been the branch network, which we are very confident of, and we are expanding branch network, as I indicated even in the last call, we will keep adding about 40 to 50 branches year-on-year basis even as we go ahead in the next financial year. So a combination of multiple things gives us that confidence that we will be able to deliver our commitments.

Abhishek Kumar Jain : So can we expect that 20% kind of the disbursement growth in the next quarter onwards?

Rishi Anand: You're talking for the next financial year?

Abhishek Kumar Jain : Yes. Yes, sir.

Rishi

Rishi Anand: So let us look at the current financial year right now. Current financial year AUM, which should be upward of 20%, disbursement will be upward of close to about 16% to 17%. Similarly, the similar trends, we would want to maintain next year, and that's where the confidence comes from.

Abhishek Kumar Jain : Okay, sir. And my next question is Stage 2 assets, where we have seen very good improvement. Was Q3 improvement broad-based or driven by specific geographies like Surat and Tamil Nadu?

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Rajesh Viswanathan: I think it's answering your question about Stage 2 improvement, it is pretty broad-based. we wouldn't be able to specifically link it to any particular geography. Honestly, just pre-empting a question on this one, we are not seeing any specific geographies behaving very badly or very superbly in the sense that whatever has been our performance of our portfolio for the last 3, 4 quarters is sort of showing itself up in this quarter also.

So neither has there been any drastic improvement or drastic deterioration. However, we are very happy with the way our Stage 2 has been consistently dropping by 20 bps consistently for the last 2 quarters, which we believe is a good sign for maintaining the overall health of the portfolio and for stopping slippages into Stage 3, which is a 90-plus portfolio.

Rishi Anand: Yes. If I can add to that, Rajesh. Abhishek, you had a very specific point pointing out a city state called Tamil Nadu. So Tamil Nadu, I can understand where the question is coming from. For us, Tamil Nadu, we've seen, I would say, substantial improvement on delinquency trends, which is 1 plus and 90 plus. And if I can give a number, Tamil Nadu has shown 20% to 25% growth on disbursement and AUM. So for us, Tamil Nadu has been a good location.

Abhishek Kumar Jain : Okay, sir. And my last question on the PMAY 2.0 incentives. So can you give us a few updates

on the approval time line, disbursement linkage? And in the upcoming budget, are there any additional policy meters or incentives housing finance company is outing for or expecting, sir?

Rishi Anand: So one is PMAY update I gave in my speech, and I told that we are a company which is leading from the front. We are the highest subsidy takers today for our customers, 10,000 -plus customers have already availed the subsidy. Actually, the traction of PMAY 2.0 has happened in the last, I would say, 1.5 quarters. The total process starts only when we disburse the loan.

And the TAT of which is there through NHB, the nodal office, where the subsidy comes from is anywhere between 2 to 3 working days. So it's not too much of a turnaround time. As regards expectation from the budget, I think the previous budget has already put a lot of things on the table.

We, as an industry, will have to first deliver on those, for example, PMAY, GST, overall funds for stalled projects, etcetera. What we anticipate this time is may be a redefinition of the word affordable in terms of ticket size. That might just come in.

Moderator: The next question is from the line of Arun from JM Financial.

Arun : Congratulations on a very good set of numbers. Just a couple of questions. One, credit costs for the quarter have slightly inched up despite the overall Stage 3 PCR coming down. So against this backdrop, what would be your guidance for credit cost for the full year FY '26? Does it change? And also, where do you see your GNPA level settling by the end of the year?

Rajesh Viswanathan: So basically, credit cost, if you look at quarter 3 FY '26 is 0.28%. As you would be tracking the industry, what happens in quarter 4 is we typically see an improvement in the overall NPA numbers. I'm just going into a second question, which we are currently at about 1.38%. And we basically believe that we may end in a trend line of 1.1% to 1.15%.

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So if you look at that, typically, the credit cost in the last quarter will be very minimal or sometimes could surprise us with a negative credit cost also. So typically, to that extent, you can assume that whatever credit cost on a YTD basis is there is going to grow very less. And hence, this gives us confidence that our credit cost number for the entire year will be within the 25 bps as we had suggested earlier and the guidance that we had given earlier.

And that still remains our medium -term guidance when it comes to credit costs, along with our AUM guidance in the range of about 20%, 21%, we are confident that we should be maintaining year-end AUM . Year-end NPA numbers will be in the range of 1.1% to 1.15% and credit cost in the range of about 25 - 26 bps. In the medium term, I think we are confident of that. Second question, specific answer, we should be ending the year at NPA levels of between 1.10% and 1.15% on AUM.

Moderator: The next question is from the line of Chintan Shah from ICICI Securities Limited.

Chintan Shah : Yes. Congratulations on the quarter. Firstly, in terms of the disbursement, the disbursement growth has been quite robust, 14% sequentially. So any specific state which has led to some disbursement? And so given that we think the peers we have seen many peers have been struggling on that front. So what is leading to this disbursement?

And secondly, on this disbursement, so this is also coming without any compression on the margins front. So going ahead also, do we expect this disbursement trend to continue along with stable margins? Yes, that's the first question.

Rishi Anand: Chintan, while you're asking the question, I'm struggling because all the states have contributed almost equally. So I don't want to pick up any particular state which has given me higher growth or lower growth. Everybody has contributed, barring one state, which I can point out, Punjab, which is still struggling from coming out of the flood situation because it takes a little time. Rest all the states have equally contributed. So as regards to margin, are we confident of maintaining those margins as we go ahead in quarter 4 and end the year? Yes, we are very confident, Chintan.

Chintan Shah : Sure, sure. So basically, I think there were some states like Tirupur, Coimbatore, Chennai, which were probably impacted, not for us, but for the industry overall. So that -- those sales are also not leading to any -- those sales are also growing at a decent pace. I think you already mentioned, but just wanted to get some...

Rishi Anand: No. So Chintan, you're talking about specific cities, which I think I only called out in the last call with regards to the tariff impact, if that is the question. Yes, I remember calling out textile and gems in these 4 cities would get impacted. But I am also equally surprised looking at our numbers.

One is -- one thing I want to highlight is on an AUM level, these cities don't contribute very large. They are all sub -1% for me. But the good part here is, if I look at the last 2 -3 quarters movement, both on 1 plus and on NPAs, all these states have performed very good.

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And if I can just indicatively give you one example, 1 plus drop of about 3% has happened in Tirupur and NPA drop of 0.7% has happened in Tirupur. And similar is the trend in Surat, Chennai and Coimbatore. So overall, a very comfortable zone to be in.
Chintan Shah : That's very pleasant to hear. And sir, I think on the BT out, if you could just share the number, I think that was 5.4% for H1. So how has the BT out been in this quarter?
Rishi Anand: Yes. So we are in a similar trend, Chintan. 5.6% is what we have recorded, which is a drop from a 6.1% Y-o-Y basis. So from a 6.1%, we have come to 5.6

%, which is definitely an improvement. And obviously, the credit goes to the retention team and the data analytics team.
Chintan Shah : Sure. So there is no competition as such coming from the larger players, which is likely to also impact this BT.

Rishi Anand: I will not say there is no competition. I would want to say that the teams here are doing a better job, if that helps.

Moderator: The next question is from the line of Prithviraj Patil from Investec.

Prithviraj Patil : I just wanted to the 1 plus DPD number for the quarter and our plans to expand into other geographies and the branch expansion? Just give some details on there.

Rishi Anand: Prithvi, thank you for the question. I'll take the second question first. In terms of plan for expansion into new geographies, I would say that we are available in all the possible geographies of the country. We are available in 22 states. So there is no more state that is getting added. But we will keep adding 40 to 50 branches year-on-year basis in the states that we are present. If you recall, last time I spoke about our deeper impact strategy, the strategy continues, 30 branches of ours will keep coming in the lower category, which is deeper impact and the balance 20 will keep coming in the urban and emerging A locations. So we'll keep expanding our network in the geographies that we are present.

Rajesh Viswanathan: And on the 1 plus number, the 1 plus number as at December end is 6.86%, which is a 31 bps improvement on a sequential basis. It was 7.17% as at end of September '25.

Moderator: The next question is from the line of Siraj Khan from Ascendancy Capital.

Siraj Khan : Firstly, I wanted to know, I mean, the numbers that I'm seeing in the PPT, the Y-o-Y growth in the NHL disbursement is 25% and the HL is only 11%. So I mean, are we focusing more on NHL? Or is there like a rollover effect happening? Because 11% growth in the HL disbursement seems a bit low. So are we seeing a little bit of like going slow for any specific reason or this is by rollover of any disbursements in the coming quarter?

Rishi Anand: Thank you, Siraj, for the question. In fact, if you look at our quarter-on-quarter performance, our home loan has grown by about 14%, 14.5% and non-housing has grown by 9%. So it's the other way around. And it's an impact of the refocus that we did post the tariff issues, et c. Slight refocus has been done, and this is interim.

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So will I go back and start doing a little more of NHL as we go ahead? Yes, we will. But for the time being, we kind of, I would say, kind of cautioned our teams, and that's how the output is. Home loan is again, I'll give the numbers. Home loan has grown at 14% on a quarter-on-quarter basis and non-housing has grown at 9% on a Y-o-Y 9-month basis, home loan has grown by 11.5% and non-housing by about 24%.

Siraj Khan : Correct. Correct. So I was referring to that. I was referring to that itself because in the PPT, the 9 months to 9-month comparison, it is 4.5%. So this is by design that we are...

Rishi Anand: Yes. Completely by design, 70-30 is the number that the regulator allows us to do, and that's where we want to be. We don't want to breach that point. So at any given point in time on an AUM basis, we are today at about 27%, if I'm not mistaken, Sanjay can correct me, 27% NHL. We still have some room. So we're going to be maintaining a 30% bracket on that.

Siraj Khan : This is not a reflection of anything with respect to a slowdown in the demand in the affordable segment or anything, just to understand.

Rishi Anand: Not at all.

Siraj Khan : Okay. So now because we are going slightly higher on the NHL side and just to confirm, we have not taken any PLR cuts and with respect to an outlook on that because we have held the yields at a good place for the last 4, 5 quarters, 12

5 basis that you have mentioned and it

happened. On the ground, we are seeing that there is a lot of competition. So overall yields on onboarding must be lower. Where does the yield trajectory go? And what is the time line that you see with respect to the PLR cut? And how much would be done?

Rajesh Viswanathan: So as we had explained in the past 2 calls, in the case of downward trajectory of interest rates,

we are also morally and regulatory required to pass on the interest rate benefit to our customers who are on a floating rate basis. And as you would know, we have 75% of our book is broadly on a floating rate basis. In today's ALCO, the ALCO has decided to drop our rates by 15 bps from February 2026.

It could be applied between 10th and 15th of February 2026, a 15 bps drop, which will be impacting 75% or benefiting 75% of the customers. So technically, the pass-through will be to the range of approximately 12 bps, which will happen from February. And as has been our basis, what will happen in the last 3 months of business will be we'll get this benefit over the next 3 months.

For example, January business will get the benefit in May. December business will get the benefit in April and the last we will get in the month of March. So basically, that's the way we have taken on the way up. On the way down, we will be doing it in this way. We believe on the cost of funds basis, we are currently at 7.74%. Maybe as we enter quarter 4, we may have a 2, 3 bps improvement in our cost of funds.

Beyond that, I don't think because we have already, to a great extent, maxed out on the pass-through. If the banks have decided to pass through more MCLR cuts, probably we may be benefited. But otherwise, we broadly believe that another 3, 4 bps may come through.

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So anyhow, I think as we end the year, we may end in a range of approximately 5.8% spread, which importantly is about 10 to 11 bps better than the exit spread as at March 31, 2025. So typically, for the whole year, we have protected and the exit spread that we would have in March is projected to be at least 10 to 11 bps better than when we entered the current financial year.

Moderator: The next question is from the line of Maulik Chaudhari from Monarch Network Capital Limited.

Maulik Chaudhari : Am I audible?

Rishi Anand: Yes, very much, Maulik. Yes.

Maulik Chaudhari : Yes. Congrats on the good results. So I just have one question. Just wanted to get your perspective on the competition. Like there is a broader narrative that the competition is rising.

So I just wanted to know your take on this.

Rajesh Viswanathan: So Maulik, when we talk about competition, it's a broad-based. We will have to look at various segments. For example, there is competition in the prime segment, and there is affordable segment and then there is low-income segment. And we operate in the low-income segment. And low-income segment is typically those companies which operate in average ticket size below INR15 lakhs that's where we operate.

Are we seeing any big traction here? I would defer and I would say no, we are not seeing any big traction here. Is there competition in the affordable space? Today, the affordable definition goes up to loans up to private sector definition goes up to INR50 lakh of loans. So yes, there is some traction happening there, and there will always be a 5%, 7% overlap. In the low-income space that we operate, we are not seeing big traction.

Point number two here is to be noted is that we keep talking about 620 branches. Out of the 620 - odd branches, about 150 branches happen to be in the urban locations for us. And rest 450 -plus branches happen to be the emerging locations. So as we go down in to deeper impact locations and emerging locations, the competitive intensity definitely goes down. So that's how we will

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ave to look at it. So basically, when I say no traction means competition is less.

Moderator: The next question is from the line of Siraj Khan from Ascendancy Capital .

Siraj Khan : Sir, you were mentioning that the MCLR is the total book, not the bank of the total book, how much is MCLR linked?

Rajesh Viswanathan: Total book is about 50% and of the book, approximately 23% is MCLR linked.

Siraj Khan : Okay. 23% is MCLR. So approximately 12% is...

Rajesh Viswanathan: Siraj, one sec, I'll just get the number. Just hold on for one second.

Siraj Khan : Not a problem. I'll move on to the next question. So with respect to the...

Rajesh Viswanathan: Siraj, I got the number. 67% of bank borrowings is MCLR -linked.

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Siraj Khan : So almost 30% of the total. Okay.

Rajesh Viswanathan: Yes.

Siraj Khan : So on the asset quality, I mean, we are holding up quite good. And as you said that in some of the states that you had earlier called out with respect the tariff could become an issue, but it is positively surprising us.

So with respect to the acceleration for growth, you are saying that at 20% is what you are aspiring. But say, what would be the conditions with respect to some of the states, say, MP or Tamil Nadu or some of the other states where you see there is good growth how much can the growth accelerate to?

I mean, given that you are already going to cross the INR30,000 crore s mark, what is on the upside that you see that growth could go to? And will the asset quality remain sustainable in that range because you might see a few other delinquencies coming here and there.

Rishi Anand: Okay. Siraj, the way we look at our businesses, since we are in 22 states, there will be certain states will give us higher double -digit growth. There will be certain states which will give us lower double -digit growth. There will be certain states, and I can call out states whenever you want. There will be certain states where I, as an organization, don't want to grow beyond single digit. and there are multiple reasons around it. So it is a combination.

Since you called out Madhya Pradesh, the way we look at Madhya Pradesh, it should give me a Y-o-Y growth upward of 25%. Similarly, Maharashtra will give you close to about 25%, 30%.

So that's how the dynamic works. There will be states where, for example, where I have low legal support, I might want to grow only single digit because I still have presence there.

So it's a combination of multiple things. But overall, as we indicated multiple times on this call, we are very comfortable with a 20% AUM growth in the current financial year and as we enter the next financial year.

Siraj Khan : A quick statistic. So what is your funnel with respect to the login to sanction and sanction to disbursement?

Rishi Anand: See, our current log -in to sanction ratio would stand anywhere between 65% to 66% and our log-in to disbursement would range at about 39% to 40% today.

Siraj Khan : This is on count, I believe?

Rishi Anand: That's on volumes. Count is more or less similar, 1% here and there. So count is more or less similar.

Siraj Khan : Understood. Understood. And because why I'm asking this is because as you say that you try to maintain 20%, 21% growth sustainably over the next -- over the medium term, 2 to 3 years, 20% growth breakdown will be what? I mean how much of it would be ATS le d? How much of it would be, say, branch expansion or something. So how much will be this -- what will be the breakdown for this 20% or whatever you...

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Rajesh Viswanathan: Yes. I think broadly to look at it is 5% to 6% will be typically linked to inflation. And broadly, the balance would be a combination of productivity improvements, which will happen with our existing mat

ure branches and 5% to 6% will be the incremental bus iness, which the branches set up in the last 18 months, which start providing in the next financial year. So that's a broad way of looking at 6% productivity gains, 6% inflation related and 6% impact of new branches providing more.

Rishi Anand: If I can add to that, Siraj, the branches that I will add next year will not give me traction for next year, they will give me a year after that. So that's how the model works. So for example, the branches, 40 -odd 40, 50 branches that I would have said thi s year will start giving you numbers next year. So that's the combination of the 3 things.

Siraj Khan : General gestation period is , what, 15 to 18 months, I believe ?

Rishi Anand: Depends on the size of the branch. We have 4, 5 categories of branches, starts with sales office goes up to large setups. So anywhere between 12 to 18 months, depending on the type of branch is where it breaks even.

Siraj Khan : With your experience to say, if you set up a sales office, in, say, 18 months' time, it would reach up to, say, the middle level, say, the small branch.

Rishi Anand: Yes. I'll tell you the way we look at it, if I set up a sales office within 9 months, exactly 9 months, it should break even. And after that, it should all be adding to the bottom line.

Rajesh Viswanathan: What Rishi was alluding to, sales office is the lowest branch category of. That will take 9 months. And the highest branch, which will be a city branch and an urban branch may take anywhere between 15 to 18 months because obviously, the target for him is a lso higher compared to a sales office.

Moderator: the next question is from the line of Sonal from Asian Market Securities.

Sonal : Congrats on the quarter. So I have 3, 4 questions. One is on the co -lending part. So if I look at the numbers, co -lending seems to be a little low this quarter. So if you could just give us some guidance on how do you see co -lending fees moving from here o n? Any targets that you have on the disbursements or on the AUM from the co -lending?

Second is if you could just let us know what are the incremental deals for the quarter? And also if you could give us some sense on how your non -home loan book is behaving because you

slowed down on disbursement. So any signs that you're seeing of stress over there? Or is it more precautionary where you've decided to go slow? Some trend, how is it currently in terms of delinquencies and how it was like a year back?

And the fourth one is on the attrition rate. If you could just let us know how the attrition rates are and whether it has improved or you're seeing some increase in attrition currently. These are my 4 questions.

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Rajesh Viswanathan: Yes. So if we remember the 4 questions, we will answer. We have forgotten the second question. But the co-lending that we did, co-lending is a small piece for us. We did only INR26 crores of co-lending in the current quarter. Previous quarter was approximately INR97 crores. So co-lending is a smaller piece.

For us, we did direct assignment of approximately INR440 crores in the current quarter. And if you look at it, the way we are looking at co-lending and assignment combination this year is that we have tempered the proportion of co-lending and assignment. And if you look at the growth in the P&L, which is a line item of initial recognition of income, that has grown only by 11%, whereas my AUM has grown by 20%.

Another point, which I think all of you analysts do understand is what you see on the face of the P&L is only the initial recognition we do on new assignment that we do. Of the assignments that we have done in the past, there is also an unwinding of upfront profit. So the net impact for the 9-month period is to the total of approximately INR22 crores to INR23 crores, which

is a net

impact on the 9 months profit. So I think from that perspective, this is a very important number.

So on the full 9-month PAT, the impact on the 9-month PAT of the overall securitization and co-lending is only to a net extent of INR28 crores. So on the total profit for the 9-month period, only a net income of INR28 crores has come from co-lending, net of what has been unwound out of previous year's co-lending that we did. Third question was on non-home loans and are you seeing the performance and behavior of non-home loan portfolio?

Rishi Anand: Okay. So on non-home loan, let me give you a few numbers. One is on an overall basis, Y-o-Y, home loan has grown close to about 18%, non-home loan close to about 25%. In terms of NPA, there is a differential of about 65 to 70 bps. But incrementally, you should also look at in correlation with the yields, risk-adjusted yields are upward of 300 bps. So that's how we look at NHL versus HL. What was the next question? Sorry. Sonal, if you want...

Rajesh Viswanathan: Employee attrition.

Rishi Anand: Employee attrition. So employee attrition at the company level, if I remove regret attrition is about close to about 22%.

Sonal : What was this number a year back?

Rajesh Viswanathan: Year back number...

Rishi Anand: I'll come back to you, Sonal, on this.

Rajesh Viswanathan: Yes. We'll have to get back on that. Sorry about that.

Sonal : Sir, my question -- no worries. On non-home loans, sir, basically, I just wanted to understand how is the book behaving? I mean is it similar or is it improving or -- because you've kind of tightened the credit filters over there. So generally, what we hear commentary from others is they are seeing some stress over there. I just wanted to know.

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Rajesh Viswanathan: No, no. So if I were to talk of behavior in the last, let's say, 4 or 5 quarters since the time we've also gone ahead and given a caution remark to our teams, the behavior has, in fact, better by about 20 bps.

Sonal : Got it. And sir, incremental for the quarter?

Rishi Anand: Incremental yield of the quarter...

Rajesh Viswanathan: 13.1%.

Rishi Anand: For the quarter, it's 13.1%.

Moderator: The next question is from the line of Siraj Khan from Ascendancy Capital .

Siraj Khan : Is there any material change in the repayment behavior, not the BT out, the prepayment , repayment behavior? I mean one of our peers was alluding that they are seeing elevated repayments, prepayments in their book.

So basically, it's a good thing if we are also seeing that because that means our book is strong. But are we seeing normal repayment behavior or people are coming to you with cash and trying to repay and prepay at a much faster rate than we have generally seen?

Rajesh Viswanathan: No, I think, Siraj, thanks for the question. I think if you take the overall AUM runoff for the 9 months FY '25 was 17.5%. And if you look at 9 months FY '26, it only 16.8%. So on an overall basis, our runoff of our opening AUM is lower. Obviously, it was aided by a combination of 2 factors.

One is the lower BT out, which has happened. Second, more importantly, the specific question of repayment behavior triggered by the customer, we are not seeing any material differentiation between the 2 periods of the customer coming and doing either a part prepayment or a full foreclosure of the loans. It is behaving quite similar to the trend that we had in the last financial year.

We are very happy with the runoff of our portfolio. In fact, if you remember, we have always been saying that the runoff of the portfolio will be in the range of about 17% to 18%. And we have ended FY '26, 9 months, that is December '25, we have ended at a runoff of about 16.8% on the opening AUM, which we believe is a very robust number, which helps into maintaining our overall

I AUM.

Siraj Khan : And on the BT, how much of -- so the BT that we have saved it. But what was the BT out request for? I mean was it purely for the rate? Or what was the composition for the request? People are asking going to BT out for more top -ups, more rate?

What was it? And how much of it was retained? So like we got 100 requests for BT, how much were retained? And what was the composition of the 100 request?

Rishi Anand: So Siraj, if I can take that question. See, BT request is very hard to say. Sometimes it's a combination of request for rate and top -up. Sometimes it is only top -up, sometimes it is only

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rate. We, as an organization, we generally avoid doing top -ups in -- until about 18 months of disbursement of the loan because we don't want to reevaluate the property.

So that's where if the customer still wants to reevaluate the property and go, we would allow him to go. But it's a combination of multiple things. Sometimes it just comes for rate and the moment you say, okay, fair, I can still look at this rate, he would say, give me some top -up also. So it's a combination, very difficult to point out. But approximately, I would say, 25% to 30% would come for rate requirements.

Siraj Khan : Okay. And so what was the number of requests, if you can give or you could give me like a percentage of how many requests that had come for BT, how much did you retain?

Rajesh Viswanathan: Apologies, Siraj, I am not having that number ready with me, but I will in Sanjay give that number to you.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments.

Rajesh Viswanathan: Thank you. Thank you, friends, for joining our call on a Friday evening. I hope we have been able to answer all your questions. Again, as we would reiterate, we believe as management, we have delivered consistently not only this quarter, but the full financial year and whether on our guidance that we had set out at the start of the year in terms of AUM growth, disbursement, profitability, cost to income, I think both for the 3 -month period as well as for 9 months period, we have achieved that.

And as Rishi has alluded during the call, we are quite confident of achieving that both in quarter 4 and the near -term future. So we look really forward for the closure of quarter 4 and as we get into FY '27. And we will be happy to take any further questions if anyone has, they can get in touch with our Investor Relations team and happy to take those questions.

And as one of the questioners said, we would also like to see a good budget and budget, which supports the low income and affordable housing industry. With that words, I think we can get the call to the end. Thank you from the management side.

Rishi Anand: Thank you, everyone. Thank you so much.

Moderator: Thank you, sir. On behalf of ICICI Securities Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2026

Date: 11th May, 2026

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001.
Security Code: 544176
Security ID : AADHARHFC To,
National Stock Exchange of India Limited
Listing Dept., Exchange Plaza, 5th Floor, Plot No.
C/1, G. Block, Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 051

Symbol: AADHARHFC

Kind Attn.: Listing Corporate Relationship Department

Sub:- Transcript of the Earnings Conference Call for the Financial Year ended March 31, 2026.

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our prior intimation filed in this regard please find enclosed the transcript of the Earnings Conference Call on the financial performance of the Company for the financial year ended March 31, 2026 held on Tuesday, May 5, 2026.

The above information is also available on the website of the Company and can be accessed at:

<https://aadharhousing.com/disclosures-under-regulation-62-of-the-sebi-lodr-regulation-2015-pdf/schedule-of-analysts-or-institutional-investors-meet-and-presentations-made-by-the-listed-entity-to-analysts-or-institutional-investors>

The above is for your information, records and dissemination please.

Thanking you.
For Aadhar Housing Finance Limited

Mitali Sanap
Junior Vice President
Secretarial

Encl.: As above

CC:- Debenture Trustees-
1. Catalyst Trusteeship Limited
2. Beacon Trusteeship Limited

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"Aadhar Housing Finance Limited
Q4 FY 26 Earnings Conference Call "
May 05, 202 6

MANAGEMENT : MR. DEO SHANKAR TRIPATHI – EXECUTIVE VICE
CHAIRMAN – AADHAR HOUSING FINANCE LIMITED
MR. RISHI ANAND – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – AADHAR HOUSING FINANCE
LIMITED

MR. RAJESH VISWANATHAN – CHIEF FINANCIAL
OFFICER – AADHAR HOUSING FINANCE LIMITED
MR. SANJAY MOOLCHANDANI – HEAD FINANCIAL
PLANNING – AADHAR HOUSING FINANCE LIMITED

MODERATOR : MR. AJIT KUMAR – JM FINANCIAL INSTITUTIONAL
SECURITIES LIMITED .

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Moderator: Ladies and gentlemen, good day and welcome to Aadhar Housing Finance Limited Q4 FY26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Ajit Kumar from JM Financial Institutional Securities Limited. Thank you and over to you.

Ajit Kumar: Thank you Rituja. Good evening, everyone. Apologies for the slight delay. Welcome to 4Q FY '26 Earnings call of Aadhar Housing Limited. On behalf of JM Financial, I would like to thank Aadhar management for giving us the opportunity to host this call. Today, we have with us the entire top management team of Aadhar represented by Mr. Deo Shankar Tripathi, Executive Vice Chairman; Mr. Rishi Anand, MD and CEO; Mr. Rajesh Viswanathan CFO and Mr. Sanjay Moolchandani, Head of Financial Planning. I'll now hand over the call to Rishi sir for his opening remarks and then we can open the floor for Q&A. Over to you, sir.

Rishi Anand: Thank you so much, Ajit, and a very good evening to all of you. First of all, apologies for this slight delay. Technology sometimes plays its own role, but there we are. Thank you for joining us today to discuss Aadhar Housing Finance performance for the fourth quarter and full year ending March 31, 2026. We are pleased to close the financial year on a very strong note with consistent execution across growth, asset quality and profitability metrics.

I am happy to share that during the year, we have achieved a critical milestone with our asset under management crossing INR30,000 crores. This reflects the strength of our business model and our continued focus on Affordable Housing segment. In addition, we have delivered our highest ever disbursement of INR3,087 crores in a single quarter in Q4 FY '26, driven by steady demand and improved execution across our branch network.

The operating environment during the quarter remained very, very supportive for the housing finance sector as a whole. We saw healthy demand momentum across markets. Importantly, demand in our segment continues to remain largely end user driven with significant share coming from first-time homebuyers, particularly across emerging markets. This provides stability to growth and limits speculative activity in the segment.

At the same time, competitive intensity remains elevated in certain segments, particularly in the urban segment, where banks continue to be active. However, in the low-income segment where we operate, demand trends remain very steady with well-supported structural drivers. Overall, the combination of supportive policy measures, stable demand and healthy asset quality trends provide a constructive backdrop for Affordable Housing Finance segment.

Now coming to Aadhar's performance for the quarter and full year. As of 31st March 2026, our AUM stood at INR30,571 crores, crossing the INR30,000 crore milestone which I just mentioned, registering a 20% Y-o-Y growth. Disbursements for FY '26 stood at INR9,556

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crores, a 17% Y-o-Y increase, reflecting steady lending momentum across our core markets and a PAT of INR1,096 crores, a 20% Y-o-Y growth.

On all the 3 critical parameters, we have stood by our guidance and commitment to the market. As we go ahead, we would continue with similar guidance of 20% AUM, 20% profit and 17% to 18% disbursement growth. Disbursements during the quarter 4 was highest in the company's history with INR3,087 crores, which was 20% Y-o-Y increase, supported by strong on-

the

ground execution and consistent sourcing through branch network.

Our portfolio continues to remain fully secured and retail in nature with a balance between home loans, which is 73% and non-housing loan, which is loan against property at 27%. We continue

to maintain a well-diversified book with an average ticket size of INR10.9 lakhs and a 60% loan-to-value ratio, which is well within comfort levels. The salaried segment continues to be at 55% share of the AUM.

Balance transfer outflows during the financial year FY '26 improved by 60 bps as compared to FY '25, supported by focused rate retention efforts and data-driven customer engagement. Asset quality remains pristine with gross NPA standing at 1.08%, a sequential improvement of 30 bps versus quarter 3 FY 26. Collection efficiency continues to remain strong, above 99.8%, reflecting consistent on-the-ground execution.

Importantly, early bucket delinquency remains stable and Stage 2 assets continue to show improvement by 30 bps compared to last quarter. 1 plus DPD also reflects improvement of 78 bps on a sequential basis. Our underwriting discipline, combined with strong field-level collections and analytics-led monitoring continues to support overall portfolio quality. We continue to expand our distribution footprint in a calibrated manner.

We have added 5 new branches in quarter 4 and 46 branches in the full year, in line with our strategy, taking our total network to date -- as of March 31 to 626 branches across 22 states, covering over 550-plus districts. We are beginning to see encouraging traction in our urban markets, along with continued support -- sorry, continued strong performance in the emerging markets.

This gives us confidence in our approach of building a balanced presence across geographies. Our deep local presence and branch-led sourcing model continue to be key strengths, enabling us to understand customer profiles better and drive consistent growth. Our geographical diversification remains strong with no single state contributing disproportionately to the AUM. We continue to maintain less than 15% exposure in any state on all 3 critical parameters, that is AUM, disbursement and distribution. Our approach of combining branch expansion with productivity improvement of existing branches continues to support sustainable growth. Technology continues to be a key enabler in our growth.

During the year, we are increasingly leveraging AI and analytics across sourcing, underwriting, collections, which is helping us improve turnaround time, strengthening risk assessment and enhance collection efficiencies. We have also started incorporating AI-led tools in select part of our loan life cycle.

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And while this is still evolving, we are seeing early benefits in terms of productivity and decision-making. Looking ahead, we remain confident about the operating environment. The Affordable Housing segment continues to benefit from structural drivers, including favorable demographics, increasing formalization and continued policy support such as PMAY. We believe demand in our segment will continue to remain stable and end user driven, supported by first-time homebuyers and increased penetration in underserved markets. While we remain mindful of competitive intensity in certain segments and in the evolving markets, our current portfolio trends and operating metrics give us confidence in our growth trajectory. With a strong balance sheet, stable asset quality, diversified distribution network and continued focus on execution, we remain well-positioned to sustain our performance and deliver on our medium-term guidance. Aadhar remains committed to its mission of enabling homeownership for low-income families while delivering consistent and sustainable returns to all the stakeholders.

With that, I would now

hand over to Rajesh, our CFO, to take you through the financial performance in detail. Rajesh, over to you.

Rajesh Viswanathan: Thanks, Rishi. Good evening, everyone. I would like to take you all through the financial performance for quarter 4 FY '26 and full year FY '26. In quarter 4 FY '26, our AUM has grown by 20% on a Y-on-Y basis. Our overall borrowings on 31st March 2026 stood at INR18,744 crores compared to INR16,322 crores as at the previous year-end, which is a growth of 15%. The borrowing mix at the end of 31st March '26 is 51% from banks.

NHB share is 22%, NCD share is 19%, ECB share is 5% and others is 4%. Our incremental borrowing for quarter 4 FY '26 stood at INR2,430 crores coming at 7.6%. And for the full year, it was INR6,396 crores, which came in at 7.8%. Currently, we have 42 strong and diversified borrowing relationships. In quarter 4, fresh NHB borrowings were INR705 crores, which came in at 6.9%.

Of this, the Affordable Housing finance fund was INR141 crores, which came in at a rate of 4.3%. Full year FY '26, NHB borrowings were INR1,304 crores, which came in at 7.2%, of which the Affordable Housing finance fund was INR261 crores, which came in at 4.7%. As a strategy to diversify the funding mix, during quarter 4 FY '26, we have upheld term loan of INR500 crores from domestic DFI NABFID, which is National Bank of Financing Infrastructure

and Development.

The exit cost of funds on 31st March 2026 stood at 7.71%. In terms of fixed and floating nature of our book, 76% of our borrowings and 73% of our assets are on floating basis. Undrawn sanctions as at 31st March '26 is INR1,687 crores, of which we have INR246 crores undrawn from NHB. Liquidity at the end of quarter 4 FY '26 stood at INR1,425 crores.

The exit spread stood -- at the end of 31st March '26 was 5.82% as compared to 5.7% at the previous year -end. Our cost -to-income ratio for FY '26 came in at 35.9% as compared to 36.4% in FY '25, an improvement of approximately 55 bps. This is in line with our guidance of dropping cost-to-income ratio by about 50 bps in the current financial year.

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GNPA has seen a marked improvement, which is also a seasonality impact in quarter 4. GNPA came in at 1.08% as compared to 1.05% in quarter 4 FY '25. Capital adequacy ratio for quarter 4 FY '26 stood at 42% for Tier 1 and 0.5% for Tier 2. Finally, the PAT came in at INR1,108 crores without the impact of the new Labor Law Code.

This is compared to INR912 crores in FY '25, rendering a Y-on-Y growth of 22%. Quarter 4 PAT came in at INR311 crores as compared to INR245 crores in quarter 4 FY '25, a growth of 27%. FY '26 ROA and ROE, again, without the impact of the new Labor Law code is 4.4% and ROE is 15.9%.

For quarter 4, the ROA and ROE is 4.8% and 17.1%. This is compared to 4.4% and 15.9% in quarter 4 FY '25. Now the impact of the Labor Law code, which we have already taken in quarter 3 FY '26 is INR16 crores, which as per the ICAI guidelines is shown as an exceptional item.

Also included in the manpower cost for quarter 4 FY '26 is an amount of INR13.5 crores, both in quarter 4 FY '26 and full year FY '26, which is the impact of fresh ESOPs that we have granted to employees in the quarter 4 of the current financial year. The impact of this is in the quarter 4 and full year is INR13.5 crores.

Number of employees as at 31st March '26, on -roll was 5,400 and off -roll was 3,900 as compared to 4,600 on -roll last year and off -roll was 4,300 in March '25. We are focusing on maintaining a healthy book and delivering consistent performance on a quarter and yearly basis. With that, we can open up for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Renish from ICICI.

Renish : Yes. Hi, sir c ongrats on a good set of numbers. J

ust two things, sir. One, on this impact of West

Asia war. So I mean do you foresee or do you see any impact on ground let say in month of March -April. And if yes, are we intending to calibrate disbursement in near -term just as a precautionary measure?

Rishi Anand: Hi, Renish. Thank you for your question. West Asia war or the current geopolitical issues, the first line of defense, and I always make this statement for us, the first line of defense is always if there was something to be going wrong, it would be the bounce rate increase or decrease in the boun ce rate. Fortunately, the last -- the current month, 3 cycles of bounce rates have not seen any trend whatsoever.

Our bounce rates have been stable for the last 6 quarters. So from that perspective, we are, I would say, safe as we speak. That is one. Second is from a ground -up perspective, all our 2,000 people in the collections have been given heads up to be very car eful and closely in connect with the customers.

That is point number two. Point number three is most of our customers actually deal in essential commodities. And if I can go back and relate to various situations that we have all seen, for example, the COVID situation, et cetera, the essential commoditi es was people dealing in

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essential commodities got hardly impacted because that's what the cycle of essential commodities continues.

That is number three. And lastly, our belief and the way we look at the West Asia crisis is the first people who will get impacted are companies which would be highly exposed to NRI communities. Fortunately, in our case, we hardly have any exposure to NRI consumers. I hope that helps, Renish.

Renish : Yes. I think most of these indicators are actually showing no sign of stress at least as of now.

Rishi Anand: That's right.

Renish: And sir, my second question is on this growth, right? So I'm not too much keen on upheave you about FY27. Just from a 3 to 5 perspective, I mean, can you share just your thoughts on the broader industry-wise data points in a sense less than INR25 lakh ticket size, the total disbursement market and our market share. And how that market shares have been trending towards the last 2 to 3 years. So just to get some idea about how we are positioned and whether had this INR30,000 crores AUM and 20% plus growth are sustainable or not?

Rishi Anand: Right. Okay. So Renish, a few data points, total outstanding of the entire housing portfolio across various financial institutions would be close to about INR37 trillion. If I break that structure down into low-income housing, that's where we belong. So low-income housing basically would be average ticket size of the book at the book level below INR15 lakhs.

That's where we belong. And if I were to further -- which approximately housing finance companies in the total pool holds about 20% market share. And if I come to low-income housing finance companies and look at our share in that peer group, we have been trending around 16%, 17%. If I look at the current numbers, we are at about 18% market share.

And these are ballpark numbers. How do I look at our numbers and how do we look at our growth strategy as we go ahead? We've been delivering constantly, we've been delivering an AUM growth of upward of close to about 20%, 22%. And I have just in my opening statement, clearly mentioned that we will look at similar numbers from a short-term to medium-term perspective.

And as an organization, on a lighter note, we work on something called milestones when we opened this year, and I remember interacting with you as well that we had a milestone number of INR30,000 crores. We fortunately crossed that number with all the efforts of the entire Aadhar team. If I look at the trajectory of numbers that I've guided 20% growth, if I look at 3 years from now, the next miles

tone, obviously in 3 years should be INR50,000.

That is one perspective number two. The third point is there is -- and I've been making this statement and the more I travel and go out to state levels, et c, I get little more pulse about it that there is a little too much that is happening at the ground level right now, right from state level government authorities to central level.

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And then recently, I was in the state of Odisha last week itself, and I happened to catch up with the -- or I was fortunate to meet up with the additional Chief Secretary, Housing Development, Finance Secretary, Odisha. And you could clearly see how the BLC projects under PMAY and AHP projects, which is Affordable Housing projects are shaping up 25,000 plus units up for grab.

And similar is the situation across multiple states. You talk about Tamil Nadu, you talk about Karnataka, you talk about MP, you talk about Gujarat. Every state government is sitting on almost ready structured houses, BLC advances being given already. So there is too much that is happening at the ground level, and I don't foresee any reason why demand should be under question. It can be unless unforeseen situations like COVID, et c, happen, which obviously touch wood -- we are not looking at those situations. But steady state, INR50,000 crores 3 years from now.

Moderator: The next question is from the line of Kunal Shah from Citigroup.

Kunal Shah: So three questions. Firstly, with respect to the left growth, both in terms of disbursements, I think maybe it is lagging a bit on the home loan side. Would it be more kind of a seasonal phenomena, any particular reason like last 2, 3 quarters, in fact, the overall I nonretail home loan part, maybe non-home loan part that is growing relatively slower.

So if you can address that and how should we look at it in terms of the overall AUM growth?

Second is on the fee income side or maybe on the noninterest income side, both the assignment income is quite high. So was it like equally larger proportion of assignments done during the quarter or it was more in terms of the spreads, which have led to this assignment?

And even other income seems to be slightly higher. Is there any one-off out there? Yes. So that's the second question. And thirdly, on ESOP cost. So this is just Q4 cost, which is there. This is not going to accrue even in FY '27. This is like a onetime cost which we have taken, and it is over. There will be no impact getting into FY 27 too?

Rishi Anand: Okay. So I'll take the first question first. LAP growth -- and you're right, when you read at the data that LAP growth has been slightly slow, I would say this was deliberate and it was kind of completely planned. And this plan or deliberation started when the tariff issue happened, and we cautioned our teams to be very careful and go -- I will not say go slow, it might be the wrong choice of words, but be very careful.

We don't want to do something in haste, which will go out and look at our delinquency numbers. So we kind of cautioned them. Right now also, I would say, given the current situation of West

Asia, and I spoke about it a while back, I don't want to again have the same things. We are today at the book level at the AUM level, we are 73 -27.

We have a lever of about 3%, and we would want to play at the right time. We did incrementally about 26% loan against property in Q4 FY26, and we want to maybe take it to about 27%, 28% in the current quarter, and we'll wait out, as I said. So there is -- I wouldn't say there is anything which is growth or degrowth in loan against property. It was purely our management call to wait and watch. And we still maintained 23% at AUM level. But do we have a room of increasing it?

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Yes, we have a room of inc

reasing it, but we'll wait for the right time. On your next question,

Rajesh will comment.

Kunal Shah: No differences in the delinquency or bounce rate trends between LAP and home loans?

Rishi Anand: Fortunately, no. But when it comes to Stage 3, we all know that there is a differential of about 0.75%. The loan against property is always 0.75% to 1% in our current book, it will be 0.7% higher NPA, but risk-adjusted spread will be about 3.35%. So obviously, that sets off completely.

Rajesh Viswanathan: In case of DA income, you're right. The total fresh DA that we did for the whole year was in the range of about INR1,725 crores, similar to last full year. And the upfront income, which seems higher is on account of better spreads that we have got. Spreads are better in the range of about 80 bps to 85 bps. So that's a benefit that we got.

Quarter 4 DA looks slightly higher because some of the deals which ideally we would have liked to consume in quarter 3 got pushed to quarter 4. So to that extent, it looks slightly higher. But otherwise, if you look at it, this would be broadly divided by 4 in our case, the impact -- and the way we look at DA income is that the net impact of DA in FY '25.

When I say net impact of DA, it is the upfront income that we book on fresh assignment and the unwinding of the existing book. If you look at it for FY '25 and FY '26 is exactly the same figure. So the overall impact on P&L is actually positive to that extent in the current financial year.

So -- and the other -- the way we look at DA is probably you will see in overall DA compared to the INR1,725 crores that we did in the current year, probably next year, we would be trying to grow that in the range of anywhere between 10% to 15% in terms of overall DA. In terms of other income, you are right, there were some one-time items to the extent of about INR6 crores to INR7 crores.

One was an IT refund of about INR2.5 crores that we have taken back to the P&L. And the second was some old write-backs that we had, which we had not done for a long time, and that is about to the extent of about INR3.5 crores. So put together, it is the extent -- in the range of about INR6 crores to INR7 crores that we had as a one-time, which is sitting in the fee income.

Kunal Shah: Sorry, IT refund was?

Rajesh Viswanathan: It was at INR2.5 crores. Okay.

Kunal Shah: And total was INR7-odd crores?

Rajesh Viswanathan: That's right.

Moderator: The next question is from the line of Shreya Shivani from Nomura.

Shreya Shivani: Congratulations on a good set of numbers. I have one question for you on the yields. So can you help me understand, you've taken a PLR reduction from February '26. The interest rate

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environment seems very -- I mean, it's very volatile depending versus what you would have -- how you would have thought in February 2026?

So how are we thinking about the yields for the year of FY '27? Also, as you spoke about the LAP book, can you just clarify how much does that -- if you increase your LAP mix for example, how much of that -- how much boost does that give to our yield? So just the commentary on yield basis the interest rate environment we are in right now? And what would we do with that PLR cut we have taken in Feb '26?

Rajesh Viswanathan: Shivani, Rajesh here. I will chip in and then probably Rishi will top it up. The February rate pass on that we did of 15 bps was the impact that we had received over the financial year that we passed on as per our RPLR formula that we had. And as is guided by the ALCO and our Board, we had to pass it on, and there was no questions on that pass on. Yes, things have changed significantly when we look at February and when we look at now.

Our view is that the interest rate cycle has stagnated and to a certain extent, will be stagnant for at least two,

three quarters. And we -- post that, if inflation doesn't come under control, then there will be some interest rate surprises on the other side. But as we look at it, at least from the next 2, 3 quarters, I think to a certain extent, there will be status quo. Now coming to the other important thing, the way we like to look at it instead of yields is basically spreads. As we look at it, our exit cost was about 7.7% and our exit spreads were 5.82%. We have always guided that our spreads year -on-year will probably see some contraction to the extent of about 8 bps to 10 bps.

This is predominantly because our incremental business that we do in terms of yields is lower than the book yield that we are carrying. Our book yield is, if I'm not mistaken, about 13.52% - and if you look at our incremental yield, the incremental yield will be in the range of about 13%. So yes, the other question which you asked was will there be a kicker that you will receive by doing more of LAP.

So for example, the benefit that we get by doing more NHL versus HL is almost to the extent of 400 bps. So if my incremental disbursements was theoretically 25% LAP and if I swing 5% towards NHL, I would obviously get a benefit of 400 bps on that particular portfolio that I disbursed. And to that extent of that, we think that we have one lever that is available for us to ensure that the spread doesn't contract in a very fast manner.

Rishi Anand: I can add to that, Shreya. Rajesh spoke about spreads and another data point at the company level is 74% of our asset side is floating in nature and similar 76% of our liabilities is floating in nature. So while we are talking about the current scenario, et c, and if at all, there is a substantial increase in our cost, we being a majority floating book, it's going to be passed on to the consumer, of course, subject to ALCO and Board approvals, et c. So at any stage, we will try and -- we will definitely protect our spreads.

Shreya Shivani: Just one clarification we needed. The part you mentioned about 8 bps to 10 bps year -on-year reduction in spreads is if the mix between LAP and home loan stays where it is. If you do anything about the LAP that -- does that reduction still play out for you ?

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Rajesh Viswanathan: So when we talk about 8 bps to 10 bps reduction, we are -- the data that we work on is about 25%, 26% LAP. But yes, you are right. We have -- we still have room of about 3%, 4% of enhancing LAP, and that can be a play area. But I also -- if you remember my opening statement, I said -- in fact, to the first question and Renish, I said that on LAP, we are wanting to look at it very carefully. We are not in a hurry. So I'm sure in the current quarter, I'm not going to be taking substantial jump on LAP. We will wait out. But yes, we have a room. So if push comes to shove, that's the play area.

Moderator : The next question is from the line of Arun Antony from JM Financial.

Arun Antony: First of all, congratulations on a good set of numbers and crossing the milestone of INR30,000 crores. Just a couple of questions from my side. First of all, I just wanted to know what has led to the increase in 1 plus DPD by approximately 80 bps ? And then another question would be on the disbursement growth.

So disbursement growth has been quite robust in this quarter, approximately 30% Q -o-Q. So is there any specific states or state which has led to this strong momentum? And then one last question is that the incremental cost of borrowings have also gone up by approximately 10 bps. Is there any reason which -- why it has gone up during this quarter? That's all from my side?

Rishi Anand: Great. One correction, a clarification. You mentioned 1 plus increasing by 80 bps. Actually, it has reduced by 80 bps. So I just wanted to clarify that. I will not -- I can't be singling out any

one effort on a reduction of 80 bps of 1 plus. I think it is a continuous effort. All our foot soldiers in collection side, about 1,800 of them on a daily basis track that.

As an organization, I would say about 18 months back is when we started driving down 1 plus as a deliverable number from purely focusing on NPA to also coming back to 1 plus because 1 plus gives you that bulge of 61-90 bucket and we wanted to avoid that at any given point in time. So I think it is a combination of concentrated efforts, multiple efforts right from our basics of call center, calling to the customer, banking cycles, field efforts.

It's a combination of multiple things, which has reduced the 1 plus by 80 bps. Your second part of the question was 30% overall growth for the quarter on a sequential basis. Has any particular state given me a huge jump on disbursement? I would say if I can -- I don't want to single out any state, but I will still give you some names which are standing out.

Maharashtra standing out for us, Madhya Pradesh standing out for us. Tamil Nadu did surprisingly well, Delhi, Karnataka, Uttarakhand. So these are a few top line numbers, I thought I'll mention. But these states have given the required numbers. The third part was on cost, Rajesh.

Rajesh Viswanathan: In terms of cost, the cost for quarter 3, as you rightly said, was 7.45% and quarter 4 was 7.54%. This is predominantly because we had kept bank borrowings to the extent possible. We had deferred the drawdowns of that. Some of the drawdowns or incremental higher drawdowns

happened in quarter 4 vis-a-vis quarter 3, and that is precisely the reason the 10 bps is playing out.

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Anyhow, we are saying that our exit cost, which is 7.7% and we believe that for a significant point of time, there is not going to be a significant downward movement on this cost considering the interest rate scenario that we just talked about. If we are able to maintain 7.7% cost throughout the entire next year, I'll be very, very happy to be very honest.

As we said, we will have to wait and watch for the interest rate movements. Rishi says we -- anyhow, we are floating -- specifically floating book. If we see any incremental interest rate movements, which is very significant we have an ability to pass it on to our borrowers based on our internal ALCO and Board approvals. And we will then wait and watch and do it. But we personally believe that there is going to be a stagnancy in interest rates at least for the next 2 to 3 quarters.

Moderator : The next question is from the line of Prithviraj Patil from Investec.

Prithviraj Patil: So I just -- I was looking at the opex to AUM, and it has increased sequentially. So I just wanted to know like the branch count has grown by only around 4 branches. So what has led to this growth? Have we added on new employees here?

Rishi Anand: I think opex to AUM, it is always a quarter 4 phenomenon because we run various competition and contests in quarter 4 for our employees. And if you look at -- I'm just flipping it to cost to AUM or even the cost -to-income ratio, if you look to the cost -to-income ratio, if you look at quarter 4 last year and quarter 4 of current year.

There has been an improvement in cost -to-income ratio from quarter 4 to quarter 4, but sequentially, between quarter 3 and quarter 4, there will always be a growth because there are some onetime events which typically get booked into quarter 4, which is predominantly related to contest and competitions that we roll out for our sales employees in the field.

Rajesh Viswanathan: Y-o-Y reduction 50 bps.

Rishi Anand: Yes. On a Y-o-Y basis, if you look at cost -to-income ratio, there has been a reduction in cost -to-income ratio from about 37.9% to 37.1%. And even if you take the full year, it has reduced from 36.4% to about 35.9%.

Prithviraj

Patil: Sure. And what is the employee count as of March '26?

Rajesh Viswanathan: The off-roll -- on-roll count is 5,430, off-roll count is 3,965.

Moderator : The next question is from the line of Shreya Chatterjee from Ageless Capital Finance.

Shreya Chatterjee: Congrats on a good set of numbers. So my first question is a bit -- if you could give a bit more granularity on the 20% AUM growth that you are guiding for on the basis of the states which you see the higher number of growth or which you think will grow faster? And also on the ticket size, meaning your average ticket size is INR1.1 per million, INR11 lakhs around. But in the EWS and LIG space, like are you seeing a higher amount of growth in the INR2 lakh to INR5 lakh space or higher than INR5 lakhs, if you could give some color to that?

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Rishi Anand: One is you wanted -- the first part of your question was 20% AUM growth, which are the states that are going to contribute. So broadly, all of the states are going to be contributing substantially where we are present. But as in the previous question, I had highlighted, if I can call out a few states, Uttar Pradesh will be contributing the largest chunk for us, followed by -- and it is not in any order.

So I'm just naming a few states, Maharashtra, Madhya Pradesh, Tamil Nadu, Delhi NCR, Karnataka, Haryana, Uttarakhand, Rajasthan, these are the top 8 or 10 states which contribute the largest chunk for our business, followed by the other states. And on a lighter note, we see some potential now in West Bengal, too, as we look at the political change. That is one.

Second is you spoke about INR11 lakh of ticket size, EWS, LIG, below INR5 lakhs, hardly any traction. And even if I talk about our AUM numbers below INR5 lakhs, it will be close to about 3%, not much. The real traction is actually between INR5 lakhs to, I would say, INR25 lakhs.

And that's where we are able to -- we have our concentrated efforts across urban and emerging, we are able to maintain that INR11 lakh kind of average ticket. Incrementally, our average ticket size will be about INR12.5 lakhs.

Shreya Chatterjee: Got it. And sir, my second question is on this opex to AUM ratio or the cost -to-income ratio. So where do you see it going forward? And like what will contribute to it? Like what is your branch productivity right now? And how many branches are above that average branch productivity and

how many branches are related to -- just elaborate a bit more to that?

Rajesh Viswanathan: So the way we look at cost-to-income is and if you look at it consistently over the last 2 financial years, we have dropped almost to the extent of about 150 bps, 160 bps. We're looking at another 50 bps probably in the next financial year. What will be driving this is a combination of productivity, some of the projects that we have taken up on sales productivity, which will come from our AI-driven models that we will be able to deliver on productivity.

In terms of how productive are our branches. Typically, the branch that we set up in a 9 - to 12 - month period, if it's a small branch, they become profitable or productive, if I can use the word. And the slightly bigger urban branches, they take anywhere between 12 to 15 months to become productive.

So going by that scenario, I think majority of the branches that we have set up to quarter 1 of last financial year have in that sense becoming -- become productive, I would say. And the way we look at contribution of the branches is how fast they can achieve this 9 months and 12 months for a smaller branch and for a bigger branch, 12 to 15 months. And I dare say that majority of the branches do turn productive within this period of time.

Rishi Anand: I can comment there quickly, Shreya, I think Rajesh explained it very nicely. But just as a point, when we talk about branches

at Aadhar, we follow a very differentiated structure as against anybody else in the market. We follow something called -- we have 4 categories of branches, starting from a very small 50, 60 square foot office called ultra micro moving to a micro branch, small branch and then main branch. So that's the category Rajesh spoke about 9 months to 18 months. Every branch will have a different trajectory of becoming breakeven or profitable.

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Shreya Chatterjee: That was really helpful. Just my last part of the question is on the cost of funds, do you see any meaningful improvement in FY '27 or will it continue?

Rajesh Viswanathan: As I said, considering the overall macro, I would be very happy if I'm able to maintain the exit rates of the current year. To be very honest, we don't think that anyone is expecting a drop in the cost of funds from here or a drop in interest rates from here. And the pass on for us also has come through majorly.

So I think there will be, to a great extent, next 2, 3 quarters, at least we see a status quo right through our cost of funds. And if we are able to pull the lever on the LAP business that we do and some of the emerging market business that we do, we believe that we will be able to take the yields a bit higher. And technically, our spreads, spreads will get protected. That is basically the strategy we are trying to play out.

Moderator : The next question is from the line of Nischint Chawathe from Kotak.

Nischint Chawathe: If you could give some color in terms of how your incremental ticket sizes have moved over the last 4 quarters. I mean you mentioned a number of INR12.5 lakhs in this quarter, but how would this be like a year back?

Rishi Anand: Just a minute, Nischint. They're just pulling it. Just a minute.

Rajesh Viswanathan: So the movement has been in the range of -- so INR10.5 lakh as I told you, is INR10.8 lakh is on the book. I will do a club of home loan and nonhome loan. So INR13.6 lakh was in quarter 3 FY '26, INR12.6 lakh is the last quarter, slight drop. Prior to that was INR13.8 lakh, INR14 lakh. It's been in the range of, I would say, INR12.5 lakh to INR13.5 lakh, Nischint.

Rishi Anand: And Nischint, the point to note over here is our LAP contribution has dropped slightly in quarter 4. We have done only about 24%, 25% of our disbursements in LAP. Typically, we do about 28%, 29%. If we did more LAP, probably that ticket size would have come in slightly more lower.

Nischint Chawathe: Got it. Got it. So you're actually going down the ticket size. You're not going up the ticket size, right? I mean is that?

Rajesh Viswanathan: No, I will not say we're going down the ticket size, I mean, that is where our emerging and urban strategy plays out. When we focus more on emerging locations, and I have called it out in the previous call as well, emerging ticket sizes will be much lower. Today, my emerging C ticket size will be in the range of about INR8.5 lakhs, INR8.6 lakhs.

Emerging B will be again INR10 lakhs. Emerging A will be INR12 lakhs. So that's what plays out. So if the team start and urban will be typically INR17 lakhs, INR18 lakhs, depending on which city we are talking about. But if the strategy that we want to drive of urban emerging is right, the ticket size should be under control.

The intent is to maintain the book level ticket size even in the shorter term in the range of INR10 lakh to INR11 lakh, INR11.5 lakhs. So that's the aim. Some quarters it will go up, some quarters

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it will come down. If emerging performs in 1 quarter, emerging performs over the targets, your ticket size suddenly will jump a little bit, that's how it works.

Nischint Chawathe: So basically, you are -- emerging essentially, you mean deep impact branches, right

?

Rajesh Viswanathan: Sorry?

Rishi Anand: Basically deep impact, yes.

Rajesh Viswanathan: Smaller -- deeper impact branches, right.

Nischint Chawathe: Yes. So you are comfortable to go down the ticket sizes is what we are seeing, but probably the deep impact strategy doesn't change, but maybe in terms of focusing on LAP, that's something which you probably kind of be a little bit more careful at this stage. Is that a fair way to read it?

Rajesh Viswanathan: No, I will not say we are comfortable by ticket size going down. We are very, very comfortable by sustaining the ticket size. And we know with cost of construction, et c, going up, there will be a slight increase in the ticket size, which we are fine with. Today at a book level, 10.9 lakh moving to 11.5 lakh eventually doesn't bother me too much.

Nischint Chawathe: And, sir, the reason I'm asking all of this is your disbursement growth in the retail side or essentially in the core portfolio is almost 26% on the home loans is almost 26% this quarter, which is obviously a phenomenally good number. So just curious as to what is it that has driven this? And how should one think about it? I mean it's something which I guess is way ahead of probably your peers?

Rajesh Viswanathan: I would say 2 things, Nischint. One is just as a slight correction, we just do retail. So not on retail side, we just do retail. We don't do any.

Nischint Chawathe: Sorry, I was meaning home loans, sorry.

Rajesh Viswanathan: Yes, yes, yes. So in home loans, yes, this quarter has been -- there has been a 26% growth on home loans. I think it is also to -- also go to the various government initiatives like PMAY. We are the largest player in PMAY play today, close to about INR50 crores of our subsidies have gone to the consumers about 15,000, 16,000 customers.

So that obviously has started playing out. And I will come back to my emerging word again, a lot of trust and focus from the senior management on emerging is giving a little push on more home loans. And that is also evident that is point number two. Point number three is I called out saying that for the last 3 quarters since the tariff issue happened post that, we've been very careful on non-home loans.

The non-home loans, you see a slight dip in the way the quarter-on-quarter non-home loans has moved. But the teams still have to do business. They still want to meet their budgets and incentive structures. So home loans started coming in, which is good news. Higher the home loan, the better it is. But -- and with a clarification that we will want to maintain at about 70-30 in the medium term.

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Nischint Chawathe: And just finally, so this also means that there could be some small lever to your margin or basically yields if the emerging kind of loan book goes up?

Rajesh Viswanathan: Sorry, Nischint, you'll have to repeat that, please?

Nischint Chawathe: No, no. So this also means that there could be some small lever to yields if your emerging book goes up?

Rajesh Viswanathan: Yes, absolutely. The 2 levers that we have got to yields is obviously pushing more business in emerging B & C and LAP. And the second lever is actually, as Rishi said, LAP, if we can take the disbursements rates in a calibrated manner back to 28% to 30%, that is a good . And third is our overall strategy where we always tell that.

Always have guided that self-employed business will -- as a percentage of the AUM will move towards self-employed from -- overall book will move towards self-employed by 1%, 1.5% every year. And the more emerging B & C that we do, the more self-employed business that we will underwrite. So I think this all works out to a slightly higher yield generating strategy.

Moderator : The next question is from the line of Rakesh Kumar from Valentis Advisors .

Rakesh Kumar: So

first question is with regards to the funding sources. So just wanted to know that in the last 1 year or so, like in this declining interest rate scenario, so what portion of nonbanking funds would have got repriced and to what extent?

Rajesh Viswanathan: A significant portion of our floating funds are only banking funds and NHB funds. And NHB also approximately 50% of our NHB is fixed and 50% is floating. So that NHB floating portion will always get repriced. It would have got repriced in the range of about 50 bps, 60 bps, if I'm not mistaken, NHB. And in the terms of banking funds, I think banking funds, I'll just get the

number to you. The banking funds would have got -- in terms of bps, it would have got repriced by in the range of about 50 bps.

Rakesh Kumar: And the nonbank -- so like from Q4 FY '25 to Q4 FY '26, we have a drop of approximately 80 bps of interest rate, the borrowing cost number. The interest rate number for us, the diversified funding number that has fallen from 8.4% to 7.6%?

Rajesh Viswanathan: That's right. That's the -- that is the incremental cost of fund has fallen from 8.4% to 7.6%. And the benefit which has been passed on to the banks to us is about anywhere in the range of 70 bps to 75 bps. It was not 50 bps, it is 70 bps to 75 bps.

Rakesh Kumar: So if I take like 75 bps and so basically 30 -- so out of this 80 bps, 35 bps benefit has come from bank. That is what you are saying?

Rajesh Viswanathan: Yes. The other way of looking at it is my exit cost of funds in last year was 8.14% and the exit cost of funds in the current year is about 7.72%. So that is the benefit of the entire book that has actually come through to us, and we have passed on 15 bps to the customers also.

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Rakesh Kumar: No. So passing on to customer is just like -- so this is the secondary thing. So what I'm just trying to understand is that nonbanking resources that we have, what portion of that can get further repriced and to what extent? So that is what I wanted to arrive at.

Rajesh Viswanathan: See, our NCDs is about 22% is our NCD. So NCDs typically are 3-year, 4-year NCDs, which typically don't get repriced. These are all -- these are NCDs are broadly fixed type of instruments.

Now it comes to banks, banks are 51%, which gets repriced, which are all floating rate.

NHB, as I said, 22% is NHB, NHB 50% is floating, 50% is fixed. Now NCDs will also include a small portion, which will also get fixed. So typically, out of our NCDs, 32% is floating and 68% is fixed. So we have 22% of our overall portfolio -- borrowings is NCDs. Of the NCDs, 32% is floating and 68% is fixed.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Rishi Anand: Thank you all for coming in quite late for this call. And I hope that we have been able to answer and manage to answer all your questions as per your expectations. If there are any pending questions, you can always reach out to Sanjay Moolchandani, our Head of FP&A, and we'll be happy to answer these questions. Thanks, and happy to meet again in quarter 1 of the next financial year. Thank you very much.

Rajesh Viswanathan: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, on behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.